

[Session Name]

Day-01

[Case Name]

**Sahara Building Systems Co. (S.A.E) V Siemens Mobility
(L.L.C.)**

Exported By Alok jha

On

Sep 27, 2026



01 0001 Testing testing.

02 Sunday, 27 September 2026..

03 Q. All

04 Testing testing.

05

06 .

07 . Mr.

08 DR ABDEL WAHAB: Testing.

09 DR EL-SIRAFY: Testing.

10 (10.30 am)

11 (10.36 am)

12 PRESIDENT: Thank you very much. Good morning. Ladies and

13 gentlemen. I wish to welcome all. This is the hearing

14 in the case in circle row centre case 17412024. Sahara

15 Building Systems S.A.E., claimant, Siemens Mobility

16 Egypt respondent.

17 I'm the chair of this arbitral tribunal, I sit with

18 my co-arbitrators that you know, so I would not waste

19 much time presenting the panel. Benedetta Coppo is here

20 as secretary to the arbitral tribunal, and then of

21 course we have the circle row centre staff that I wish to

22 thank, and all the centre for their hospitality. (^chk

23 name), and the others.

24 I, before starting, I think with housekeeping

25 matters, I think there is something you have to be aware

01 of, are we just received a letter by Tarek Fathy that
02 was the claimant factual witness of this morning, and
03 I will read out the message.
04 To the honourable arbitral tribunal, are with
05 reference to the claimant's request for my attendance at
06 the hearing before the honourable tribunal scheduled to
07 be held ...(reading)... arbitration on 27 September at 4 pm, and for me to provide my testimony
08 at the said
09 hearing, I regret to inform you that due to unforeseen
10 health circumstances I will be unable to attend the
11 hearing. Please accept my apologies and sincere
12 appreciation."
13 (doc).
14 This is of course last minute news. We will --
15 Mr Tarek Fathy was the only factual witness on
16 claimant's side, so this is something that I would like,
17 I wish, to know whether respondent has something to
18 comment, because before starting, also, to -- in order
19 to organise our day, I think it would be good.
20 Mr Tarek Fathy produced a witness statement on which
21 respondent was ready to test the testimony, it was not a long one, so in terms of probably, you
22 know, time, or
23 duration of the cross-examination was not something that
24 would change much, but that is something I would like to
25 know whether respondent has any comment.
26 One second. We have -- I have been advised to give
27 you some instruction as to using the microphone.

01 Microphone in the room will be on, only if you press
02 the button, of course, but then no more than four
03 microphones at a time. So once you have taken the floor
04 and you finished, please press, off, the button.
05 Then tell take one or two seconds before it works,
06 so don't talk immediately, but wait for a couple of
07 seconds before talking.
08 So I would start from respondent on this letter that
09 of course I will, it is here, if you want to see, but
10 I just read it out entirely.
11 DR ABDEL WAHAB: am I heard? Is it working? Thank you.
12 Good morning, sir. I think that adds another or
13 a fifth point to the housekeeping, but let me start with
14 it. Of course it is regrettable. I had a degree of
15 scepticism that Dr Fathy will appear, because had he
16 appeared he would have faced serious problems with both
17 credibility and content. That aside, PO1 is abundantly
18 clear. It says if a witness fails to appear at the
19 hearing, and unless the tribunal specialise otherwise,
20 the only remedy is to strike that statement off the
21 record.
22 Until the tribunal decides the matter, what
23 I proposed to in the 30 minutes allocated, is I would
24 tell the tribunal what I intended to do with Dr Tarek
25 Fathy, and perhaps share with the tribunal exhibits or

01 points on the record. Unless the tribunal of course
02 strikes that completely off the record, because the
03 evidence of Dr Fathy not only any gates and runs counter
04 at the that, he is a witness who has not been on the
05 project site, and has not been involved in the
06 day-to-day operations. In fact, all THE's, the house of
07 experts correspondence confirms that his testimony is
08 nothing but simply balancedder dash and has no value
09 whatsoever. We are in the tribunal's hands, PO11 clear,
10 that comes at the 11th hour just before the start of the
11 hearing. We could have been informed much earlier.
12 These are not wasted costs, these are costs, the only
13 answer that is going to be allocated to the claimant.
14 So the costs we have incurred in preparation for the
15 cross, and we are prepared to cross-examine him will
16 undoubtedly have to be borne by the claimant.
17 This is the limit, what I have to say for now, sir,
18 but we are in the tribunal's hands, of course.
19 PRESIDENT: Thank you counsel.
20 Claimant? Had you have the floor, if you wish to
21 comment.
22 SPEAKER OFF CAMERA: (microphone muted).
23 am I heard? Okay. We just received that letter
24 yesterday, and the email was attached there to, and we
25 can see it, yes, in the back. (microphone muted).

01 PRESIDENT: It has been received yesterday at 1 pm, right.

02 SPEAKER: Yes.

03 PRESIDENT: 1.18 pm yesterday.

04 SPEAKER: May I start? Mr President, members of the

05 tribunal,ler good morning. Yes, the hearings I finished

06 my comments, I finished.

07 PRESIDENT: I have a statement, I wish to give you the

08 possibility to comment on --

09 SPEAKER: No, we no problem to strike the witness statement.

10 PRESIDENT: Okay.

11 SPEAKER: As per the procedural order 1.

12 PRESIDENT: Okay. So we can start with the hearing, but

13 before the hearing, I have a few housekeeping matters to

14 deliver. If you don't mind.

15 First of all, we have to put -- first of all, we

16 have to put on record the attendees of today, and we

17 have received a list of attendees from both sides.

18 I think you are aware of them, rather than going through

19 the names of everybody, for the sake of efficiency,

20 I would like to ask claimant and respondent whether the

21 list of attendees that you provided is confirmed? If

22 there is someone else, on are someone missing.

23 No.

24 PRESIDENT: Then I will ask the court reporter, that is

25 sitting in London, to the best of my understanding, to

01 report and court reporter has those list, to transfer
02 the list in the report.
03 (attendees inserted)
04 Do you confirm all those in your list are here and
05 no one is missing.
06 SPEAKER: Yes.
07 PRESIDENT: Respondent.
08 SPEAKER: Except Mr Fathy.
09 PRESIDENT: Except for the witness Mr Fathy.
10 DR ABDEL WAHAB: We confirm that all the people in our list
11 are there. No, nothing new, no one new, sir.
12 PRESIDENT: Very good, thank you.
13 Then let me see, because I made a list of
14 housekeeping matters I have been asked to share with
15 you. The agenda of today is the one that has been
16 decided, and agreed on September 5th, and on PO10, so
17 I would not go through the agenda again, because you
18 have those communication and PO.
19 So my only request to the parties, we have enough
20 time, to please, to have a collaborative approach and
21 attitude. Let's say, a little bit more than what has
22 happened so far, and I would not go into detail, so
23 please, I expect you to play fair and respect the other
24 party's counsel, and the arbitral tribunal, because we
25 are here to serve you, but of course we need your

01 collaboration.

02 Today, the sitting hours will be 9.30, 6, ... we

03 have the court reporter on line, and actually I would

04 ask the court reporter, in case the court reporter needs

05 to communicate, maybe will go through our technician

06 down there, thank you very much, in case there is any

07 need to a break, I'm very respectful to court reporter

08 job, and if they need to break they raise their hands

09 and we stop.

10 Opening statements are almost ready, you have

11 PowerPoint presentations on both sides which we have

12 received, and we thank you.

13 I'm not sure whether parties wish to include their

14 presentation in the record of this arbitration, I don't

15 remember to discuss it, but I would suppose all in

16 favour of including in the record, so that's good. Very

17 good.

18 .

19 When we get to the witness statement, or the

20 examination of witnesses, I might just also add few

21 housekeeping matters about the cross-examination, about

22 how to pose questions that might be repetition, but

23 sometimes it is good. We have studied the file. That's

24 something I would like to guarantee, the tribunal has

25 done its homework properly. So don't have any doubt.

01 We are here, ready to listen, but we are quite prepared.
02 So that's -- and I know that I talk also from my
03 colleagues.
04 We might start. I don't know, of course my
05 colleagues are more than welcome to take the floor if
06 there is something I missed? Mohammed? Karim, and I.
07 DR HAFEZ: Just a small point of oath and affirmation of
08 witnesses of fact and experts, if we can get that agreed
09 between the parties over the next break, if they are not
10 already agreed, that would be useful.
11 PRESIDENT: ... to the best of my understanding, but if
12 there was any agreement, please share with he is,
13 otherwise I have my formula that I use in international
14 cases. It is not a real oath because in international
15 arbitration witnesses can actually, they cannot be put
16 under oath, but there is a formula that I will use, but
17 if there is any agreement already reached between the
18 parties, I will be very happy to -- no agreement.
19 DR ABDEL WAHAB: We are very relaxed about a tribunal seated
20 in Cairo, would normally not hear witnesses under oath,
21 but ... the oather of the report, and our experts, to
22 affirm and to be candid and honest in giving their
23 evidence. Nothing further, we are in the tribunal's
24 hands, but we do have a few housekeeping matters.
25 PRESIDENT: I will give you the floor in a minute. That's

01 the same in Italy for arbitrations sitting in our
02 country, my country, there is no obligation for
03 a witness to testify under oath, but again,
04 a declaration that they will tell the truth, nothing but
05 the truth, that is something that according to some
06 laws, like in Switzerland, they might have criminal --
07 it might be a criminal offence if they don't say the
08 truth. It is not the case here, but, so it is a formula
09 that I like to remind the witnesses, because they must
10 know, for their protection, so that's something I will
11 do.

12 Respondent, if housekeeping matters to be shared,
13 please do it. Same for you. But.

14 DR ABDEL WAHAB: Yes. Let me start.

15 The four housekeeping matters I bring to the
16 attention of the tribunal are not intended to create
17 further work or objections that the need to deal with
18 eminently (^), but it is to put under the tribunal's
19 actually knowledge what has happened.

20 The first point -- and they are four -- procedural
21 order 10 states:

22 "Parties will exchange demonstrate Is, including
23 PowerPoint presentations, provided that they do not
24 contain new evidence."

25 (doc).

01 In that sense.

02 On Thursday, we gladly reached out to our learned

03 colleagues representing claimant by phone, and we agreed

04 that there would be no new evidence.

05 Now, what came from the presentations -- now,

06 interests another requirement for the tribunal in PO10,

07 which is effectively any presentation ought to include

08 specifically the referenced exhibits. The tribunal will

09 no doubt have seen that the presentation by claimant

10 does nothing short of ignoring that, except few sporadic

11 references 2 to 3. What we have done and it has taken

12 considerable time of us, yesterday, is to go through

13 that, and we looked and found the following.

14 So their opening presentation is about 47 slides,

15 only 18 are fully or partially on record, aspects, 29

16 slides include information and photos that are not on

17 record.

18 So effectively, it is about 61.7 per cent of the

19 opening statement not already on record.

20 Now, some statics are important to give the tribunal

21 context. There are 71 is photographs, now we don't know

22 the date, where we are, which sites, the relevance,

23 nothing whatsoever, excluding diagrams and tables, only

24 two of them after we have gone through everything are on

25 record. So this means that 97 per cent of the

01 photographs you are going shown are not already on
02 record.
03 That includes slides 1 to 7, 8 to 20, and even 21,
04 there is a graph that is only partially on record at
05 C/34/21, while the table itself that one is not on
06 record, sir.
07 Slides 125 to 31 the diagrams and the photos are not
08 on record except for slide 26, which is partially on
09 record,s at C/44/4, and C/30, which is partially on
10 record, the top photograph (slide), is there at C/48/3.
11 Slides 34 and 35, the photographs are not on record,
12 slide 36 includes two new arguments that seems to imply
13 that Siemens deliberately undertaken certain aspects,
14 including Siemens did not include in their activities,
15 did not include a clause in the contract, and ultimately
16 that we intentionally withheld the IRs.
17 These do not feature in the submissions at all.
18 Then 34 to 45, ...
19 Now we have that already printed to the tribunal,
20 and ready to be provided.
21 We are not asking presently for a remedy to give our
22 colleagues the courtesy of saying what he they want, but
23 we want to ensure that is, if it is going to be heard,
24 because effectively this means that 97 per cent of their
25 presentation is out of the record. On a de bene esse

01 basis, until we decide and see. Because we consider
02 most of that is irrelevant anyway but we want to put
03 that before the tribunal.
04 The other things, while preparation, and I assure
05 claimant we are not making an application to put
06 anything on record, what we are saying is that we looked
07 at engineer who is an's witness statement, he is here to
08 give evidence later in the day, and what he found is
09 that we used something called exhibit manager, which
10 automatically adds the exhibits. Unfortunately
11 17 exhibits are from engineer's Islam's witness
12 statement, he has about 89, 17 of them were
13 inadvertently omitted.
14 What I can tell the tribunal, and we have that
15 a record, the good news, is 9 out of 17 are already on
16 record elsewhere. So not appended to the statement, but
17 already on record. And 8 out of the 17 which were
18 inadvert.Ly omitted ... on record and we have the
19 exhibit numbers that can easily be provided to the
20 tribunal.
21 We only have two exhibits out of the 8, so out of
22 the 17, issued only two, (^) either inadvertently
23 omitted or wrong reference.
24 The tribunal generally has of course under the
25 applicable rules that is article 27(3) of the Cairo

01 regional centre rules the ability to request those, if
02 with wishes.
03 If it doesn't, that is perfectly fine because you
04 have the evidence of who is Asian who has been on site
05 and following the project. We just say that in full
06 transparency. Our colleagues have not picked this up in
07 their submissions, so we are telling them, and they are
08 free to cross-examine on that. What we would like to do
09 is share with the tribunal the references so that can
10 assist the tribunal to find its way.
11 Nothing new at all.
12 The final point on the errata sheet. You have our
13 positions, you will hear the experts.
14 The sheets of course are, quite interestingly, apart
15 from the duty owed by independent experts to the
16 tribunal, claimant's position has ceased to be reasoned
17 ... it is reflects to object even where the very course
18 owe opposed operates to their own advantage.
19 The figures we have corrected -- by the way they are
20 in the realm of about 273,000 Egyptian pounds, this
21 whole thing about the errata, and it benefits them.
22 I say this because it is -- that reflects of
23 opposition is unat the time erred from both reason and
24 interest. Claimant appears determined to quarrel even
25 with its own advantage.

01 What we say, in light of their objection, claimant's
02 firm objection necessarily carry consequences. If these
03 do not find their way to the record ^ (unclear words)
04 waived their right to have the reduction made by experts
05 to their own claims effective.
06 Which means our position stands at the higher end,
07 so they lose the edge and advantage of benefiting from
08 the micro-adjustment being made.
09 They leave us with no alternative but to treat that
10 as an unequivocal position of waiver of any right to
11 object to respondent claiming the marginally higher
12 amounts that we are claiming that follows.
13 Put simply they those the procedural position they
14 wish and they cannot disclaim the consequences.
15 So that is on the errata sir.
16 The final point on our presentation and full candid
17 and transparent view, there is one slide, 49, that has
18 already been printed, that includes two figures, we have
19 just corrected the typo in the figure, because they are
20 both there, we are simply saying it is one corrected
21 figure, so when we distribute that, these are the four
22 housekeeping matters we wish to bring to the tribunal's
23 attention and we thank you the tribunal from its
24 understanding and patience, Mr President.
25 PRESIDENT: Claimant, do you wish to add or say something on

01 those housekeeping matters?

02

03 **SPEAKER OFF CAMERA:** I think the new facts or -- regarding

04 the new evidence that it is claimed to be presented in

05 the presentation by Mr Engineer (^word), it is not new

06 evidence whatsoever, it just a mere example or mere

07 photo just to present or to simplify his presentation to

08 the tribunal.

09 Doesn't present any new facts or evidence to the

10 case, that's the only comment that we can reply to.

11 **DR ABDEL WAHAB:** This is news to us. We understood that

12 counsel is pleading. I understand now there is someone

13 called Mr (^word) board member of Sahara making the

14 presentation, to my understanding he is in the a witness

15 in this arbitration. Will we have an opportunity to

16 cross-examination or is he part of the counsel team?

17 What is the plan? Because that is new to us.

18 **SPEAKER OFF CAMERA:** Counsel team.

19 **PRESIDENT:** As it has been said, it is in the arbitrator's

20 hands to decide, and I think that we can postpone our

21 decision when we will get to the evaluation of the

22 evidence, especially because respondent did not object

23 to a full presentation of claimant in its opening

24 statement. It is on record, it is a record your comment

25 and your objection in some way, but as you said, if

01 I did understand correct, let's listen their
02 presentation and then we will see -- of course just to
03 give an example, if one picture has no -- there is no
04 proof of what it has been taken, it is very difficult
05 for the arbitral tribunal to take into account the
06 picture, it happened to me once they produced a stone
07 (^), a stone. Where did you get the stone, maybe
08 downstairs in the garden, and of course it is difficult
09 for the arbitrators to take into account any evidence
10 that has no reliable source, but that's the job of the
11 arbitrators.
12 So you wanted to say something.
13 DR ABDEL WAHAB: Just to be clear, Mr President, we fully
14 object to any new evidence being made. What we are
15 simply saying is that we are in the tribunal's hands.
16 We don't want to start the day on the wrong foot by
17 making positions.
18 So we can hear, but under a full and firm objection
19 that what is going to be heard, unless the tribunal
20 decides to strike out, ultimately, leads to nowhere,
21 with our objection firmly grounded.
22 Now, if Mr Aly is now part of the counsel team,
23 presumably he is very familiar with the submissions
24 being made.
25 The last thing we want, one, is to interrupt them,

01 two, is to hear a completely new case just because
02 Mr Soliman has not read the submissions and is running a presentation as he deems fit.
03 Just -- we are in the tribunal's hands, but we want
04 to make is clear in that sense our objection.
05 (tribunal confers)
06 DR HAFEZ: Counsel. You said that you are prepared to
07 listen to the presentation on de bene esse basis. Could
08 you please tell us what you mean by that exactly?
09 DR ABDEL WAHAB: What I mean by that, Mr President, and
10 members of the tribunal tribunal, is that one, we have a clear objection that the outright answer
11 to that is
12 that claimant is not entitled to rely on any photo or
13 any new material or argument not already in the
14 submissions.
15 They should have pointed to the relevant exhibits,
16 it is our right that absent references to specific
17 exhibits this means these photographs or whatever tables
18 all the to be stricken off record. That is our primary
19 position and that is not compromising in any way. What
20 we say by de bene esse is if the tribunal want to hear
21 that should be heard under the clear prerogative that
22 there is this objection, and that if the tribunal hears
23 something new, that ought not contaminate its position
24 regarding the case and the evidence by any means, and
25 secondly, that ultimately, that if the tribunal finds
that these are indeed not on record, and first time are

01 being showcased, including whether by way of arguments
02 or by way of photographs, the ultimate answer and the
03 only remedy in light of that de bene esse basis is that
04 would ultimately be disregarded and stricken off record.

05 Thank you.

06 PRESIDENT: Respondent is now even more clear than before,
07 but it was noted, and it is on record.

08 So now, I think, we can start, if there is any other
09 housekeeping matters to be dealt with, otherwise we can
10 start with the opening statement from claimant, and
11 I ask Benedetta to take also the time for assists
12 parties.

13 Okay, you have the floor.

14 SPEAKER OFF CAMERA: Mr President, am I heard? Members of
15 the tribunal, respondent, respondent counsel team, good
16 morning (.

17 MR MOHAMED: May ... Ms Abusesy (^) all together with on
18 behalf of the claimant,.

19 Before we begin our opening statement, the claimant
20 wishes to place on the record its objection to the
21 tribunal's decision to disregard portions of the
22 statement of the rejoinder and the documents submitted
23 in support of them.

24 The procedural history is short, the claimant filed
25 the statement of claim on 6 October 2025, the respondent

01 filed its statement of defence and counterclaim on
02 29 December 2025, the claimant filed its statement of
03 reply on 19 July 2026.
04 On 16 August the respondent served for the first
05 time a witness statement and expert report of Mr Ahmed
06 (^word) and Mr Comaromi roam ... overpaid price
07 adjustments, and as confirmed in procedural order 9 of
08 19 August 2026, which reports that the claim neither
09 included in its statement of defence
10 dated December 292025 nor combined by any reservation
11 applied there to, and the tribunal accordingly recorded
12 it as new claim.
13 The tribunal submit o'clock admitted it is a new
14 claim and granted the claimant one extra week. In
15 procedural order 9-section B. Under the timetable, the
16 claimant only opportunity to answer the witness evidence
17 and the expert report was in the statement of the
18 rejoinder.
19 The claimant therefore had -- didn't have the full
20 opportunity to present its defence to the new claim
21 advanced against it. We just want to expressly maintain
22 our submissions and argument and all our documents
23 presented in the rejoinder, and this reservation to be
24 on the record and the transcript of the hearing.
25 And now, engineer Aly will present the presentation

01 he prepared for this opening.

02 SPEAKER: (Mr Soliman) Mr President, member of the tribunal,

03 my name is Aly Soliman, I am a board member at Sahara.

04 Sahara's establish #-D member of the Egyptian

05 federation of construction. Our work is principally

06 a ... facilities that combine civil construction with

07 mental and electrical works and which requires close

08 coordination with the parts installing those special

09 equipments. Over the past three decades, Sahara

10 successfully delivered 121 projects with a high standard

11 of project execution and client trust throughout this

12 wide history we have maintained a virtual spotless

13 dispute free record.

14 With only three projects encountering disputes, two

15 of which were resolved amicably, one was judgment in

16 favour of Sahara. Our commitment to quality has earned

17 us the trust of multinational and international clients

18 included but not limited to we can tell two jobs, ABB

19 six jobs, Maersk7 Jones, P the and G five jobs,

20 Thyssenkrup four jobs, unilever two jobs and Cargill two

21 jobs.

22 Before signing our contract Siemens representative

23 visited Sahara acuti project sites, and was deeply

24 impressed by Sahara's performance and the complexity of

25 work executed, which led that Sahara was directly

01 awarded this project without any bidding, it was
02 directly awarded this project.
03 Description about the project and the purpose.
04 Varying of the modify eneyes conversation and sill
05 untiling system ... manual to automatic operation. This
06 requires several smart buildings with equipments,
07 control these signal by connecting this building with
08 signalling system powerfully and connections and
09 installing their designated equipments.
10 For the automated signalling system. The project
11 consists 21EIS. One of them, the main control centre,
12 and 19OC buildings, each related to the designated EIS.
13 The project was awarded in December 2015 to Siemens
14 as the main contractor, on the basis of delivering an
15 integrated system compromising building signals,
16 technical equipments and installing Siemens equipments,
17 and Siemens installation inside the building, Siemens
18 assigned THE as the consult. Siemens divided the
19 project according to the following classifications.
20 Civil contractors to execute the building including
21 civil, mechanical and legally works, four contractors,
22 Alkan, Sahara, Hasan Al am, Grantech. Alkan started
23 the execution on January 2017 as had no option to
24 withdraw from the project in August 2018.
25 Contracts to compute trenches and manholes for

01 cables, contractors to install the fuel tanks,
02 equipments inside the building where Siemens was
03 responsible for displaying and installing those
04 equipments.
05 In January 2018 Sahara was directly ordered the
06 civil agreement with Siemens technology as one of the
07 four civil contractors engaged in this project.
08 Sahara's:
09 "Was 14 technical buildings, 7 EIS buildings and 7OC
10 buildings, all 13 buildings were built, all 14 buildings
11 were handed over, all 14 buildings are today part of
12 a railway signalling system.
13 Siemens delay affected building handover and project
14 delay phases.
15 Siemens pre-commencement of project responsibility
16 failed. IFC drawings was not provided, building
17 location was not properly located. Site hand over of
18 instructions, site (^word) was very delayed.
19 Next stage, haphazard execution. Siemens endless
20 modification, site instruction modification, delayed in
21 material approval, severe delayed material approvals
22 IR problems and controlling this IR process. Delayed
23 shop drawing approval, change in priority of execution.
24 Sahara cannot perform planned exist. (^word) changed
25 request ... single CR. Resources not productively

01 utilised?

02 A. Delayed landscape drawings, new legally drawings

03 modification, several times, building (^word) delays,

04 Siemens equipment delivery delays.

05 Legally cables, Sahara cannot proceed with the

06 execution due to Siemens delay in its own scope of work.

07 Legally cables installation outside the building signal

08 cable installations outside the building trench and is

09 manholes ... power team installation and signalling team

10 inside the building, equipment installation inside the

11 building, installing of generator and transformer inside

12 the building.

13 Completion period extended to seven years for a 10

14 months contracted contract ... resources, remained idle

15 progress was significantly affected and the building

16 handover was delayed leading to extension of the

17 completion period to seven years hand over

18 and operating building to the client. From this, it is

19 clear that all the building was -- which was constructed

20 by the civil contractors ex for example, Sahara, was

21 merely a part of the project as a whole consequently the

22 hand over of the building is linked to Siemens finding

23 its own scope of work which is directly interfering in

24 Sahara's own scope of work.

25 Siemens was in control of the building hand over

01 schedule because it new its own equipment, trenches,
02 cables, building ... compared to others, therefore the
03 directed Sahara to finish specific building before
04 others so they could hand over the building to ENR which
05 caused ... include heavy cost, heavy cost to finish the
06 buildings, according to Siemens real time instruction
07 rather than what was planned during the project study
08 phase the baseline. ... spaed ... you can see the
09 building is finished, from the external finishing
10 including granite works, for example, and still finished
11 Siemens did not finalise its own scope of work.
12 As shown in this picture, the full Siemens
13 accessories is erected, live picture is powered, and
14 Siemens as usual is delayed in the delivery of the
15 equivalent yet not yet delivered to the building.
16 Upon conducting site investigation astabling
17 physical presence on the ground, Sahara confirmed that
18 the contractual baseline duration for 10 months from the
19 project execution was entirely achievable under normal
20 conditions, however Sahara proactive execution plans and
21 schedules were severely destructed and object obstruct
22 ... not limited to Siemens failure to study the project
23 sufficiently regard ^ (unclear words)
24 trenches cable connecting the building as the
25 volume of work was massive, which is one of the main

01 causes of the project delay, the tendency of the OC's
02 buildings to its designated EIS buildings in the hand
03 over process were to highlight that Siemens was aware of
04 this -- of this extended project duration and
05 consequently kept site execution engineer staff very
06 minimal.
07 Throughout bed bed.
08 Consistently demonstrated good faith and cooperative
09 commitment even well beyond the contracted obligation
10 not limited to (unclear) investigations and survey
11 reports for CTC building and warehouse in spite of this
12 is not within Saharaally own scope of work
13 ... geotechnical approval, Sahara demonstrate
14 exceptional good faith by accommodating Siemens
15 continuous design changes and scope modification without
16 refusing or result in any contractual disputes ...
17 benefit
18 (the court reporter is does not have access to this
19 document)
20 By Sahara's consultant, renewal of the bank
21 guarantee after being expired twice.
22 March 21, August 21, for the down payment and the
23 performance bond.
24 Sahara's report to Siemens for base frame designs
25 which is mature item presented in the project, this

01 design was shared to all other contractors, Sahara
02 support to Siemens in landscape designs several
03 buildings were supported by ... later stage in the
04 project to enable the building hand over which
05 eventually was not paid by Siemens.
06 Siemens support Siemens in the merging of
07 stablissing of building OC1 from the sole failure which
08 could led to railway or building collapse, supporting
09 Siemens in performing ultra sonic test as per Siemens
10 doubts for the quality of the poured concrete on OC2.
11 Siemens improper exercise of rights, Siemens did not
12 include the activities Siemens mile tone? The baseline
13 or the detailed baseline ... without showing any proper
14 action and did not include any clause in the contract
15 for time limits of material approval or shop drawings
16 approval, connecting OCs hand over as a second
17 rebuilding with its related EIS as a primary building in
18 the overall operation of the project between ENR and
19 Siemens, regardless who was the civil contractor for
20 each building even if the building was completed which
21 is obviously clear in the relation of the building
22 between OC3 and 4 and 5 and 18, Sahara's accept of work
23 as a second rabliled building with the CTC building
24 Hasan Al am scope as the main building changing of the
25 execution of the beings independently then to

01

02 (indecipherable reading without the document in front of the

03 court reporter)

04 Prolong facts, worth highlight those three facts,

05 during the meeting held on March -- sorry, since the

06 start of the project, Siemens adopted the denial defence

07 while full minutes of meeting confirms project delays on

08 Siemens part Siemens issue a letter claiming

09 insufficient work progress to Sahara and attempting to

10 attribute the delay entirely to satisfactory during the

11 meeting held on March held on March 2019 held on Siemens

12 part was delayed and not finalised aces an example all

13 wires inside the building was not finalised at that date

14 date.

15 Siemens request to move the installed doors to

16 enable entering their equipments. Which was already

17 erected by Sahara.

18 Then Siemens sent the letter to Sahara claiming

19 insufficient works in the minutes of meeting date #-D

20 # May 2019 almost 40 points technical and commercial

21 issues was not finalised by Siemens including the HVAC

22 units were not approved yet nor selected. The HVAC

23 system required ducts to be installed ... rest floor.

24 Worth to mention this selection was made late August 2019. IR process, the inspection process

25 was a complete activity under Siemens absolute

01 controlling characterised by chronic delays in
02 reviewing, responding, are manipulating or ignoring
03 submitted documents in many instances physical execution
04 and visual site inspection took place and the work was
05 even invoiced paid by Siemens yet formal IR document
06 ignores was withhold however the indisputable fact that
07 Siemens paid Sahara for this executed items confirms
08 that the work was successfully performed on the ground.
09 The procedure was Sahara to submit the inspection,
10 inspection request in Siemens become in Siemens
11 possession, Sahara to wait until inspection is processed
12 without limits, Sahara to wait for a hard copy to be
13 returned back to the contract.
14 This is the I claiming to be 2024, with is the
15 invoice which was paid on 2020.
16 This IR, as respondent attachment, in the expert
17 report, are is clear example of the withhold 6 the IR
18 and the manipulating of the IR. This document has never
19 been presented to Sahara.
20 And also proved that Siemens is in complete control
21 of the IR. This IR shows a lot of manipulating and
22 editing and shows in the signature the year dated is
23 2025, while one year forward, any person can be mistaken
24 by signing the document one year backwards, but can
25 never sign a document one year? Advance (why?)

01 Siemens delays and building hand overs. As an
02 example. Abu Kebir building, delay in execution of its
03 own scope of works. Abu Hammad building, several delays
04 including but not limit to land skip drawings. OC7
05 building ready since January 2021, however not handed
06 over.

07 Abu Kebir. In February 2023, Sahara statement,
08 please provide us with the expected date to complete Abu
09 can beer zero manhole to start our landscapes activities
10 activities.

11 Followed, March 2023, after set of reminders,
12 Siemens informed Sahara "we are working on the manholes
13 temporary mentioned EIS", followed again August to 23,
14 set of reminders sent by Sahara almost 6 months please
15 inform us with the expect #-D date to complete Abu Kebir
16 zero manhole.

17 In November Sahara "kindly provide us with the
18 approved landscape drawings".

19 Sahara started the landscape activities but only to
20 be interrupted benefitdy Siemens installation in 2024.

21 As this photo shows, Siemens own scope directly
22 broke Sahara from completing works, ... execute its own
23 scope of work independently. Sahara was kept in stand
24 still position for 10 months, almost the project
25 duration.

01 This contractually will be reflected that Sahara
02 showed 2340 progress to for this 10 months, but the
03 actual situation is that Sahara not able to perform
04 their activities due to Siemens own scope of work
05 failure and delays, as shown in the photos. This
06 manhole is directly in between Sahara's activities,
07 inside Sahara's activities.

08 OC7, this photo is dated 30 January 2021, has
09 reached a complete status, completion status, however
10 Siemens did not hand over the building, but it was kept
11 idle until the hand over on December 2022, with its
12 related EIS almost two years of the Siemens delays, this
13 OC reached a building percentage of 87 per cent
14 on December 2020.

15 After that, Siemens possesses keys to perform their
16 own scope of work and introduced their own BMS system
17 ... forcing Sahara to ask for the keys again and to
18 handle this additional works and rectify damages done by
19 Siemens other contractors. Abu Hammad building,
20 on May 2020, all open activities were performed by
21 Sahara and the building was ready except for the
22 activities which was not finalised by Siemens yet, such
23 as but not limited landscape design drawings, MCC panel
24 board, if Sahara was not able to -- if Sahara was not
25 able to execute the landscape activities, accordingly

01 the external earthing would not be executed and the
02 external finish would not be executed, accordingly the
03 building would not be handed over.
04 Worth to mention, as per Exceltic report version 32
05 dated October 2025 not a single building was hand over
06 in its planned date for the whole project. In addition,
07 three of the buildings were not handed over as stated in
08 the report. Exhibit CE volume 1 attachment 1 Exceltic
09 report page 1 to 108 noting that up to date Port Said
10 building is not handed over.

11 Thank you.

12 .

13 PRESIDENT: Thank you very much. Claimant. Is your opening
14 statement over then?

15 SPEAKER: Yes. I will continue from here (Mr Mohammed).

16 PRESIDENT: Okay.

17 MR MOHAMED: I will continue.

18 You have now just heard engineer Aly, he has taken
19 you through the two companies in the contract, taken you
20 through the project, how it began in 2018, what the
21 programme was, and what happened on the ground. The
22 amendment the parties signed, and where the project
23 stood seven years later. This is our factual
24 foundation, we will build on it and not repeat it.

25 Mr President, the claimant wishes to address the

01 respondent's request concerning the presentation that Dr Salah stated in the beginning of this
02 hearing.
03 The respondent requested the parts of the
04 presentation to be removed, the claimant respectfully
05 disagrees with this request, and maintains its position
06 that the presentation should remain on record. The
07 claimant wishes to clarify that the presentation is
08 being used for illustrative purposes only, to assist the
09 tribunal in the factual and technical matters that might
10 be addressed during the hearing later.
11 It is not intended to introduce new evidence or to
12 replace the document and the evidence already on the
13 record as Dr Salah said. Nevertheless, the presentation
14 provides a visual illustration for certain factual and
15 technical matters which cannot really be conveyed or
16 fully appreciated from the documentary record alone.
17 Its purpose is therefore to assist the tribunal in
18 understanding the project and evidence already before it
19 rather than to supplement the new evidence. The
20 claimant understands that the determination of this
21 issue rests with the tribunal and we will of course
22 abide by the tribunal's directions in this regard.
23 I just want to take the tribunal on how we are going
24 to divide the arguments between our side.
25 So the tribunal knows who is speaking and when.
The respondent asked you not to hear our claims. It

01 raises two contractual objections, and it puts them in
02 front of everything else. If it is right about them,
03 nothing else in this case matters, not the delay, not
04 the document, not the expert. So we will take those two
05 first.

06 I will deal with the first objection, which is
07 article 29.1, and my colleague here, Dr May will deal
08 with the second, which is 14 days in article 30.1, and
09 Mr Nassar will show you the credit contract own (^word)
10 of time, and what Siemens itself did about the time
11 across seven years. Then he will introduce also the
12 delay case before the break.

13 Sorry for my voice, because I'm really very ill this
14 morning, so I might be slow.

15 Mr President, before turning to the merits of the
16 claimant's claims and the respondent counterclaims, the
17 claimant first will address the procedure objection
18 raised by the respondent in respect of the claimant's
19 claim.

20 As well as procedural objection raised by the
21 claimant in respect of the respondent counterclaim.

22 First, as to the respondent's objection to the
23 admissibility of the claimant's claims for alleged
24 non-compliance with article 29.1 of the contract,
25 concerning the amicable settlement procedure before the

01 recourse to arbitration. The respondent said that
02 claimant claims are inadmissible because the claimant
03 allegedly failed to comply with the amicable settlement
04 process.

05 I will address this in four parts.

06 First, the article 29.1, what actually provides,
07 second what the respondent says about it, third, what
08 the claimant really did, and fourth, why the same
09 contractual provision must apply to the respondent
10 counterclaim.

11 What article 29.1 requires, article 29.1 provides if
12 a dispute arises in relation with the present agreement,
13 the representative of the parties concerned will do all
14 in thereupon to settle the dispute, acting fairly and
15 in good faith (is there).

16 Article 29.2 then provides that the dispute, which
17 cannot be settled in conformity with article 29.1, might
18 be referred to arbitration in a later stage. There is
19 something important here I wish -- which I will want to
20 make clear at the outset. The claimant does not dispute
21 that article 29.1 is a condition precedent. We accept
22 that. Indeed, we expressed -- we expressly relied upon
23 the same contractual mechanism when objecting to the
24 admissibility of the respondent's counterclaim.

25 So the issue before the tribunal is whether -- is

01 not build article 29.1 exists or whether its legal
02 effect, the issue is whether the condition was satisfied
03 or not.
04 The claimant's position is straightforward, sir.
05 The claimant complied with article 29.1, the respondent
06 did not.
07 What the respondent argue? The respondent accepts
08 that article 29.1 does not prescribe a particularly
09 procedural forum, but it said this does not mean that
10 any meeting or exchange of correspondence is sufficient.
11 Its position is that the parties had to be genuinely
12 engaged with the dispute fairly and in good faith. In a manner which permitted the claims to be
13 understood,
14 asserted and meaningfully discussed. We understand that
15 argument, sir, but the respondent relies among other
16 things on the fact that some of the claimant's claims
17 were presented in aggregate form and three heads were
18 expressly stated to be submitted in the event of
19 arbitration.
20 It is therefore said that the claimant did not
21 sufficiently present its claim for settlement.
22 The respondent also relies on authorities concerning
23 the effect of condition precedent to arbitration. We
24 are not asking the tribunal to disregard those
25 authorities or disregard the wording of article 29.1,
our point is very much (^word). Look at what actually

01 happened between the parties. Because whatever standard
02 the tribunal adopts next, the same standard must be
03 applied to both parties.
04 The claimant actually used the article 29.1
05 mechanism, the contemporaneous record established the
06 sequence clearly. This is not a disputed chronology.
07 On 29 September 2024 the claimant requests a meeting to
08 indicate that if there was no response within 10 days
09 from the Siemens side, it would consider that a refusal
10 to amicable settlement. Siemens then responded and
11 convened the meeting.
12 Then took place on 15 October 2024 which
13 I personally attended this meeting, sir, on
14 17 October 2024, the claimant sent its claims letter
15 setting out the heads of the claim.
16 The claimant subsequently followed up on 10 November 2024 on 11 November 2024 Siemens
17 responded
18 and rejected the whole claim of the claimant.
19 And only thereafter on 12 December 2024 the claimant
20 commenced arbitration.
21 There are steps identified not only in the
22 claimant's own document, but also in the respondent own
23 account of chronology. The relevant correspondence is
24 already before the tribunal as exhibit C4, from A to E.
25 So what we have, a request to settle, a response
26 convening the meeting which was held, then a meeting,

01 then a written submission of the statement -- of the
02 claims, further request for a response for their side, a written rejection from Siemens to all our
03 claims, and
04 only thereafter arbitration -- and only thereafter we
05 resort to arbitration.

06 This is a contractual mechanism being used, the fact
07 that the negotiation did not produce a settlement does
08 not mean that the settlement process was not undertaken.

09 Article 29.1 requires that the parties do all in their
10 powers to settle the dispute. It does not require any
11 succeed in settling it. And Siemens itself confirmed
12 that on 11 November 2024 it responded to the claimant's
13 claim. Yes, sir?

14 PRESIDENT: But I may have a problem. That may be more
15 general, so let's clarify it now. (Dr Hafez).

16 You referred to C4, A to the E.

17 DR HAFEZ: I went to bundle C. This is supposed to be your
18 bundle, and I click C4, and I get R4.

19 MR MOHAMED: R?

20 DR HAFEZ: It says C4 at the top, but then it says R4, and
21 it looks like it is completely irrelevant to the point
22 you are trying to make.

23 So do you want to check that?

24 MR MOHAMED: Yes, sir.

25 (pause).

DR HAFEZ: Just so you know, I'm working off the USB with

01 the bundle.

02 MR MOHAMED: Okay, yes. That was shared by the respondent,

03 sir.

04 DR HAFEZ: That was shared this morning by the respondent.

05 I want make sure it is the correct reference.

06 MR MOHAMED: Yes, it is correct reference from our side.

07 I just want to confirm from the respondent? Because --

08 DR HAFEZ: Do you have a copy of that digital bundle? Were

09 you given one? It is a little confusing, because if

10 I can show you, perhaps,, although it is not going to

11 show on the transcript, so I will explain.

12 So C4 at the top seems to be a bundle reference.

13 But the document itself says R4, and if you see, it

14 looks like a commercial register. So that seems to be a problem.

15 DR ABDEL WAHAB: I can help you, sir.

16 First of all for Mr President we have the bundle.

17 I think, if I understood correctly, you have probably

18 relied on the exhibit references in the submissions.

19 MR MOHAMED: Yes.

20 DR ABDEL WAHAB: There are bundle references. So the bundle

21 reference I think what you are referring to is C12.

22 MR MOHAMED: No, I'm referring to my exhibits, not the

23 bundle reference.

24 DR ABDEL WAHAB: That's why. But it is C12.

25 DR HAFEZ: That makes it improbable to follow.

01 DR ABDEL WAHAB: The whole point of the bundle is we refer
02 to the bundle. We will assist if we can.
03 PRESIDENT: Of the bundle.
04 DR ABDEL WAHAB: Of the bundle.
05 DR HAFEZ: Now I have it.
06 PRESIDENT: We put it on record that your reference is R4
07 for your bundle --
08 MR MOHAMED: C4.
09 PRESIDENT: C12 for the bundle.
10 DR ABDEL WAHAB: It is for the common bundle. If you would
11 like, as you go by, say the reference that you have, and
12 we will try to assist you from our side.
13 DR HAFEZ: Thank you.
14 DR HAFEZ: Counsel, just so we are aiming to follow you, it
15 would be helpful if you could give us the bundle
16 reference rather than the original reference.
17 MR MOHAMED: Okay.
18 DR HAFEZ: We have that, and identify got A to E, and if you
19 want to walk us through it, happy to follow, if you
20 don't want to, we can move on.
21 MR ABDEL MAWLA: ... unclear).
22 MR MOHAMED: Yes.
23 MR ABDEL MAWLA: (microphone muted).
24 MR MOHAMED: As I was saying, the restaurant already
25 submitted before the tribunal in exhibit C4 from our

01 side (correspondence), bundle C/12.

02 So we have go through the settlement process, we

03 request to settle, respondent convening the meeting come

04 from the Siemens, are a meeting was held, a written

05 statement of claim was sent to Siemens, are a further

06 request for a response as a reminder, and then we received

07 a rejection from their side, and only

08 thereafter we resort to arbitration.

09 Siemens itself confirmed that on 11 November 2024 it

10 responded to the claimant's claim. Indeed Siemens says

11 its own rejoinder that it responded on the merits of

12 each of the 11 heads of the claim. It is important,

13 because Siemens now says on one hand the claimant's

14 claims were not sufficiently presented to permit

15 meaningful assessment or discussion. But on the other

16 hand, Siemens said it rejected each of those heads of

17 claims on the merits and also relied upon alleged

18 failure to comply with article 30.1.

19 Those positions require full examination from the

20 tribunal.

21 The respondent's two positions need to be

22 reconciled, sir.

23 Let us take Siemens argument exactly as it presented

24 presented.

25 Siemens said the claimant did not sufficiently

01 substantiate its claim for settlement, but Siemens also
02 says that it rejected its claims including by reference
03 the 14 days requirement for article 30.1 # (iii).
04 A time bar rejection necessarily identifies an
05 identified claim (^), it must know what the claim is,
06 what it relates to, and when it allegedly arose in order
07 to say it is -- it was submitted out of time. And that
08 is why Siemens own descriptive, description of those
09 claims really matter. It says it addressed the 11 heads
10 of claim on their merits, so the question for the
11 tribunal is: it is not whether Siemens agreed with the
12 claimant, it plainly did not. The question is whether
13 there was an attempt to settlement with article 29.1 or
14 not. And there plainly is. The parties met, the
15 claimant presented its position, the claimant followed
16 up, the Siemens responded and rejected it.
17 That is the settlement process, was failed. It is
18 not a settlement process which was never initiated from
19 our side.
20 The respondent counterclaim, sir, now.
21 I now come to the other side of article 29.1, which
22 is the respondent counterclaim. This is our, in our
23 submission, a critical point. We accept Siemens
24 position that article 29.1 refers to the dispute. We do
25 not ask the tribunal to interpret those words and

01 requiring a completely separate meeting for every
02 individual claim. That is not necessary on our case.
03 The real question is what was actually placed before the
04 parties for settlement as part of the dispute? Because
05 the mere existence of a wider disagreement concerning
06 a (^word) years project cannot itself predict every
07 possible ensued article 29.1. The respondent says its
08 counterclaim formed part of the same wider dispute. We
09 understand their position but the existence of the same
10 contractual relationship does not itself establish that
11 the particular monetary claims was before the other
12 party for settlement, and there is a distinction between
13 the particulars here. The respondent now advances
14 claims for other things, (^word) penalties, trek
15 payments, claims were during the seven years
16 period very far before the arbitration started.
17 The question is very simple here. Before this
18 arbitration did Siemens produce counterclaims to Sahara?
19 For amicable settlement? Where did Siemens reserve
20 rights ((audio distortion). Complaint about
21 performance, (audio distortion). (audio distortion).
22 But where did Siemens actually ... claims to be
23 settled according to article 29.1.
24 The claimant's position that they did not.
25 (the speaker is too close to the microphone. The audio is

01 distorting)

02 The respondent relies on its contemporaneous

03 correspondence and says that the underlying rights and

04 obligation giving rise to its counterclaim has already

05 been asserted, reserved and acted upon, or disputed

06 during duration of the project, and we did not dispute

07 that Siemens may have referred to, or reserved certain

08 rights during the project, but a reservation of rights

09 is not the same thing as submission of -- to settlement,

10 to amicably settle the dispute.

11 Reservation says in its substance that a party

12 reserves ion a position for the future according to

13 article 29.1 it requires something different (^). It

14 requires that the representative of the parties do all

15 in their powers to settle the dispute acting fairly and

16 in good faith.

17 The respondent cannot convert a general reservation

18 of a contractual right made during the project into

19 a proof that the resulting monetary counterclaim was

20 subsequently submitted to the article 29.1 settlement

21 mechanism.

22 They are not the same, your Honour, and there is

23 a straightforward way to the tribunal to test this.

24 Take each counterclaim individually. Where was the

25 claim? Where was the amount of that claim? Where was

01 the request for settlement for this claim? Where was
02 the response from our side? Where was the failure of
03 the settlement process? The respondent has not
04 identified or submitted such process for its
05 counterclaim at all.

06 The respondent placed particular reliance on the
07 words "the dispute", and on the decision in (^word)
08 award, again we do not agree this, disregard this
09 argument, but the word the dispute does not answer the
10 factual question of what the dispute actually
11 encompassed at the relevant time.

12 Yes, sir?

13 DR HAFEZ: You say it is straightforward, I think your --
14 straightforward, the tribunal will test this, take each
15 counterclaim individually, where was the claim?
16 Are you saying that the claimant can come before
17 this tribunal, essentially seek prolongation costs which
18 assumes an entitlement to time, which assumes delay, put
19 the question of time for completion in play, and the
20 respondent cannot claim delay damages? Without going
21 through 29.1? Is that the argument?

22 MR MOHAMED: No, sir, this is not the argument. We will
23 take -- we will comment on the delay in further process
24 during this arbitration, but what I'm trying to say,
25 that there is a precondition -- 29.1 is a precondition

01 article in the contract that must be taken and applies
02 to both parties. The respondent cannot invoke this
03 article in one side, and not invoke it in the other side.
04 side.
05 DR HAFEZ: That much is clear. I'm completely clear on
06 this, and I have some sympathy with that argument.
07 MR MOHAMED: And the monetary claims does not raise D after
08 the arbitration, the delay, the delay, the claims, is
09 very start of the project. They account -- the
10 respondent relies upon a contemporaneous letters sent
11 from their side to our side describing the delay from
12 our side, and then relied upon those delays in their
13 counterclaim.
14 DR HAFEZ: I think we may be at cross purposes. I'm trying
15 to understand what your position is. I take that
16 largest claim, one of them, is the delay damages.
17 MR MOHAMED: Yes, we will get --
18 DR HAFEZ: Are you saying that has to go through 29.1,
19 notwithstanding the fact that you come before this
20 tribunal to seek prolongation costs which assume
21 essentially delay on the part of Siemens?
22 MR MOHAMED: It is not, the amount of money requested, it is
23 the steps that are not taken from their side --
24 DR HAFEZ: Are you saying they can't bring a counterclaim
25 for delay damages --

01 MR MOHAMED: Without a settlement, yes.

02 DR HAFEZ: Without going through 29.1, although you have

03 placed the issue of time for completion before this

04 tribunal?

05 MR MOHAMED: Yes, sir. As a principal claim.

06 DR HAFEZ: So you are saying that after you have initiated

07 this arbitration, putting the question of time for

08 completion in play, they still have to abide by 29.1 so

09 far as concerns the counterclaim for delay damages, that

10 is your position.

11 MR MOHAMED: Yes, sir.

12 DR HAFEZ: I just wanted to make sure I understood.

13 DR ABDEL WAHAB: Just for the ... it is not Mr Mohammed, it

14 is Mr Zead speaking.

15 SPEAKER: Yes.

16 ABDEL WAHAB: I say that because the transcript says

17 Mr Mohammed. I don't know who is Mr Mohammed.

18 DR ABDEL WAHAB: For our transcribe ah court reporter, all

19 the ongoing questions and answers between Dr Hafez and

20 Mr Zead as well as the presentation currently taking

21 place is by Mr Zead. Thank you.

22 Our point, sir, that one contractual provision is

23 one standard amounts were not enough, it

24 says that the particularrings and supporting

25 informations were necessary to permit assessment and

01 negotiation. Yet, when the same article 29.1 is applied
02 to its own counterclaims, its position becomes broader,
03 that the counterclaims falls within the same wider
04 dispute and therefore did not require any separate
05 settlement process. That creates an obvious problem.
06 The tribunal should adopt one interpretation of article
07 29.1 and apply it equally to both sides. We went
08 through the process, Siemens says we did not do it
09 sufficiently, but Siemens had not identified
10 a corresponding settlement process for its own
11 counterclaim. That cannot produce two different
12 standards for the same contractual provision, and this
13 is particularly relevant because 29.1 itself required
14 the parties act fairly and in good faith.
15 So the contractual provision must operate
16 consistently.
17 This is also important under the applicable Egyptian
18 law as the claimant already submitted in paragraph 249
19 of its statement of reply to the statement of defence
20 and counterclaim, article 148 of the Egyptian Civil Code
21 that I quote:
22 "The contract must be performed in accordance with
23 its content and in manner consistent with the
24 requirement of good faith."
25 (doc).

01 And then the contract is not limited to binding the
02 contracting parties to what is expressly stated therein,
03 but also extends to what is required by law, custom,
04 equity, according to the nature of the obligation."
05 (doc).

06 This principle is particularly relevant here because
07 article 29.1 of the civil agreement itself expressly
08 requires that the representative of the both parties act
09 fairly and in good faith. But article 148 of the
10 Egyptian civil law provides that the contract is not
11 limited to binding contracting party to what is
12 expressly stated therein. But also extends to what is
13 required by law. Custom and equity according to the
14 nature of that obligation. The significance of that
15 provision here is that the parties' obligation under the
16 contract cannot be considered in isolation from the
17 nature of contractual obligation. They agreed to
18 perform article 29.1, establish a dispute resolution
19 mechanism. It requires the parties representatives to
20 do all in their power to settle this dispute acting
21 fairly and in good faith.

22 This is also why the question in relation to the
23 respondent counterclaim is not simply whether Siemens
24 refers to reserved or disputed certain rights during the
25 project. The question is Siemens actually engaged,

01 agreed mechanism for the purpose of attempting to settle
02 a counterclaim which is now asked the tribunal to
03 determine.
04 Where did Siemens actually put those counterclaims
05 before Sahara for settlement?
06 Siemens relies upon article 29.1 as a binding
07 contractual condition precedent when it submits that
08 Sahara was required to engage in amicable settlement
09 process before the commencing of this arbitration. We
10 accept totally this principle, but the same contractual
11 provision must be applied consistently when Siemens
12 itself advanced counterclaims arise from the same
13 contract.
14 Finally, are the respondent says that the claimants
15 bear the burden of establishing compliance with article
16 29.1. We accept that and say that the burden has been
17 discharged. The claimant has produced the
18 correspondence in our exhibit C4. Claimant has produced
19 the chronology, and importantly, the respondent itself
20 has set out the chronology in its own submission, there
21 is therefore no evidentiary gap concerning whether the
22 claimant attempted amicable settlement or not. That
23 documentary shows that in 29 September there is
24 a request for settlement, on 15 October 2024 there was a meeting, on 17 October claim letter, 10
November,
25 a follow-up, and then a rejection on 11 November 2024.

01 Then we resort to arbitration as I stated.

02 Yes, sir.

03 DR HAFEZ: What distinction, if any, do you make between the
04 claims process, which you would ordinarily have in any
05 project, putting to one side 29.1 for the moment, and
06 the process required by 29.1. To put it more plainly,
07 you would ordinarily expect a contractor to make
08 a claim. That claim would ordinarily have some
09 supporting material. It will be dispatched in the usual
10 way under cover of a letter. It would be controlled by
11 the document controller, right? Would be responded to
12 in the ordinary course of business. Is that process
13 what you call this exchange of -- sort of a request by
14 the one side, and an answer by the other side, is that
15 what you say article 29.1 calls for? Or does 29.1 call
16 for something extra? And if it does call for something
17 extra, what is that? On your case?

18 MR ZEAD: As I explained, article 29.1 does not go in one
19 side, sir. They have to invoke the article, first for
20 their counterclaims. It is clear.

21 DR HAFEZ: We are not discussing this at all.

22 MR ZEAD: I know, sir, but why didn't the respondent
23 ininvoke article 50 of the CRCICA rules and commence an
24 arbitration regarding those claims and then combine them
25 together?

01 DR HAFEZ: I think I may not have made myself sufficiently
02 clear, and I apologise.

03 I'm referring to both claim and counterclaim. So
04 the question applies to your claim as well.

05 So I'm asking you whether you consider the process
06 of an application by a contractor and the response by

07 a main contractor and an employer, to be what is

08 required by 29.1? Or whether the process of 29.1 is

09 something that goes beyond the mere exchange of a claim

10 and a response in the usual course of business in

11 a project. Do you understand what I mean?

12 MR ZEAD: Not really.

13 DR HAFEZ: Okay. Ordinarily, something performing the

14 works, call it a subcontractor, let's say, will wish to

15 assert certain claims as against the main contractor.

16 It will do so through a contractual process. That

17 typically involves the dispatch of a written claim with

18 supporting evidence under cover of a letter.

19 There will then be a response by the main

20 contractor. I call this the contractual claim process.

21 MR ZEAD: Mm.

22 DR HAFEZ: Then 29.1 seems to on one view put an additional

23 step between what I call the contractual claim process,

24 and the commencing of arbitral proceedings. You have

25 taken us through 29.1, and it is says something along

01 the lines must do all in their powers. My question to
02 you now is: do you say that all in their powers" is
03 exhausted by the process of an application and
04 a response? Or is there more required by 29.1?
05 MR ZEAD: More required.
06 DR HAFEZ: What is it and did it happen in this case and
07 where is the evidence for it? That is my question.
08 MR ZEAD: Yes, I say there is more that had to happen. They
09 had to follow our process too for their counterclaims.
10 It is not -- they are not a follow-up.
11 DR HAFEZ: Forget about the counterclaim. Let's just talk
12 about your claim.
13 MR ZEAD: I followed the process.
14 HAFEZ: What on your case is required in addition to the
15 ordinary claim correspondence, what, if anything?
16 MR ZEAD: Like what?
17 DR HAFEZ: I'm asking what you your case is on 29.1. You
18 have told us 29.1 requires each side to do all in their
19 power to resolve a dispute.
20 MR ZEAD: And we did.
21 DR HAFEZ: My question to you --
22 MR ZEAD: From our side we did. We requested a meeting,
23 negotiated every claim we had with them and they
24 rejected without invoking any counterclaim or mentioned
25 it in the meeting, so --

01 DR HAFEZ: Okay. Fine.

02 MR ZEAD: That's what I want to say.

03 So the conclusion of article 29.1, that the

04 condition is precedent, we accept it applies to both

05 parties, we accept the contractual requirement must be

06 taken accordingly, it must be applied equal terms, the

07 claimant did invoke the mechanism, the respondent did

08 not. The parties met, the claimant presented its

09 claims, respondent rejected them, and the settlement

10 process therefore failed and the claimant proceeded to

11 arbitration.

12 It is very simple as that, and I will now leave the

13 floor for Dr Mai that will ... under article 30.1. The

14 floor is yours, Dr.

15 PRESIDENT: According to the schedule, would give us

16 15 minutes break around 11.15. We are not bound

17 strictly to, I'm wondering whether this is a good time

18 for you to break or you want to start and then --

19 DR EL-SIRAFY: We can start and then.

20 PRESIDENT: Okay, it was just not to interrupt the flow of

21 your argument. Okay.

22 DR EL-SIRAFY: .

23 PRESIDENT: Sorry, we were wondering whether the court

24 reporter needs a break.

25 DR HAFEZ: Ordinarily we would give the court reporter

01 a break every 90 minutes.

02 DR EL-SIRAFY: Feel free to arrange. It is okay for us.

03 DR HAFEZ: How long do you think you are going to be?

04 DR EL-SIRAFY: Totally we got, talking about, briefly about

05 article 30, or to take a break and continue, it is okay

06 for us.

07 PRESIDENT: At what time, did you say you plan to break?

08 How long will it take your presentation? More or less.

09 DR EL-SIRAFY: 20 minutes.

10 PRESIDENT: I can we can make it. Unless the court reporter

11 that is listening, and wishes to say something, I look

12 at our technician, if there is no sign, we can move on.

13 MR ZEAD: They seem fine.

14 I don't want to interrupt her when you start and

15 I would like to go to the end of your presentation,

16 because that would be unfortunate.

17 Okay, we can move on.

18 DR EL-SIRAFY: Okay. Thank you.

19 Honourable tribunal (^), colleagues.

20 I will use the mic. Thank you.

21 (Off record discussion)

22 DR EL-SIRAFY: So we will start about article 30.1. We will

23 discuss about the separate requirement for paragraphs

24 first (i), (ii) and (iii), for exactly the period of

25 time 14 days according to only to (iii).

01 First of all, when we turn to the respondent's
02 statement for the rejoinder and especially the paragraph 166 at the page of their 43 for the
03 respondent
04 addressed the requirement of article 30.1, which is
05 referred to the basis of the claim. And also, for the
06 EOT as being connected to the additional payment.
07 Here, they focused only on the precluded for the
08 asserting of the claim. And from our side, clearly, the
09 respondent presentation is failed through their
10 expression about only the 14 days period during the
11 (iii) as the basis of the claim of the article 30.
12 And article 30.1 they have three parts. The first
13 part is according to the fortified their rights, and
14 that's for the obstacles which will happen during the
15 project. The (ii) is different, totally, from the first
16 one, about the system of the payment, which is another
17 regime, inside the article, and the third one for the 14
18 days, and the 14 days have the conditions it must happen
19 to arrange for the 14 days.
20 ... as five days for the condition of physical or
21 obstacles and also for the elements of the payment for
22 the (ii) and (iii) for 14 days in the exact condition it
23 must happen to make the asserting their rights.
24 Let me start by the first of (i), that has the own
25 five days period for own specific contractual names
fortified rights such a claim (^), with a big difference

01 between this one and the (iii) for the 14 days of the
02 precluded of asserting the claims.
03 First of all, about the article 30.1, for the five
04 period of days, it is according to the obstacles and the
05 (iii) for the 14 days period is precluded from asserting
06 this claims.
07 When -- I'll focus on the (iii), because this is the
08 one they focused on during their counterclaims also.
09 That it will start reasonably able to become aware or
10 even circumstances given the rise to claim to submit
11 fully detailed claim. That meaning of fully detailed
12 claim, the support is particularly in the basis of the
13 claim, that's number 1. I have to arrange it about.
14 Number 2, the extension of the time or additional
15 payment claimed, that's number 2, and here in the (iii),
16 the contract provide the expiry date of the period time
17 for that to be considered EOT or not. And also, the
18 expression of the precluded from asserting these claims,
19 the consequence here expressly provided by the contract
20 and in the interpretation for the respondent there is
21 confusion about that.
22 Okay. For the asserting for the precluded this
23 claims, here is like the relationship, contractor
24 relationship between both parties (contractual), as two
25 corporates. So the 14 days period that means I have no

01 right to ask you about the claim if I couldn't do the
02 conditions according to the (iii) 14 days. But in the
03 same time that's not the right for any party to let the
04 other one to lose his right to go to the dispute
05 resolution regime according to first of all amicable
06 ways, litigation, arbitration, or (^word). So it is
07 a big difference between them. As we have different
08 legal systems for many countries, as English legal
09 system, French legal system, Egyptian legal system,
10 during Egyptian legal system we have that right. We
11 couldn't neglect that right for any of parties, because
12 we written precluded asserting for the claims. It means
13 like contractual relationship between both parties but
14 doesn't mean to lose my right to use it to get my
15 compensation or remedy through that.

16 DR HAFEZ: What does it mean then? You say precluded does
17 not mean precluded. What does it mean.

18 DR EL-SIRAFY: No I don't mean, that's like contractual
19 relationship between both parties, but not meaning to
20 lose the right to go to the dispute resolution regimes
21 like litigation or arbitration or more. That means
22 I have the 14 days period as limitation period between
23 both parties (^word) the contract, but to not lose their
24 rights or legal rights to ask about the remedies or the
25 compensation.

01 So, the losses claimed in the dispute are not single
02 event whose effect ended of one particular day (^), but
03 concern financial consequence. So we can put the
04 interpretation according to the financial relationship
05 between two contractual parties, but not to lose the
06 right inside the governing law, the Egyptian Civil Code.

07 DR HAFEZ: I really want to be fair to you. I don't
08 understand your position. The contract on the face of
09 it says that unless you give notice and provide support,
10 you forfeit the claim. There is the five days in
11 respect of unforeseen conditions, there is the 14 days
12 under (iii), you say that that means you are precluded
13 from bringing those claims as between the contracting
14 parties?

15 DR EL-SIRAFY: No.

16 DR HAFEZ: But you are not precluded from bringing those
17 claims to an arbitral tribunal?

18 DR EL-SIRAFY: I don't mean that.

19 DR HAFEZ: Okay.

20 DR EL-SIRAFY: I mean that there is two three parts inside
21 the article 30.1. First of all the first one is
22 fortified his right if have the physical obstacle during
23 the execution. The second one is not related to the
24 claims, it is according to the environment of the
25 circumstance that which will happen. The third one

01 precluded asserting during passing the 14 days according
02 to exact conditions we have. So we have three different
03 regimes during article 30.1.
04 And above all, and in concerning on focusing on the
05 14 days period because that's what they are focusing
06 about, that means I can lose my right with your side to
07 get my claims from you. But that's not meaning the
08 losing to go to the dispute resolution regimes and take
09 my right through you. That is a right that we are
10 saving through the Civil Code, according to the Egyptian
11 law. That is what I expressly want to reach your
12 concept about.
13 And also because I understand, I do understand about
14 the English and the French legal systems, we can arrange
15 about precluded asserting of this claims may, they lose
16 the right to go to the litigation, arbitration, or any
17 of the dispute resolution mechanisms, but according to
18 the Egyptian Civil Code we have the right to go even if
19 we wrote during our contractual relationship contracts
20 that we have to precluded asserting these claims.
21 That's what I am ...
22 Okay.
23 DR HAFEZ: Are you going to move on to the next point?
24 DR EL-SIRAFY: Yes, sure.
25 DR HAFEZ: Before I do that, do you understand -- what is

01 your understanding of the purpose of this clause?

02 DR EL-SIRAFY: Exactly I --

03 DR HAFEZ: I'm referring to (iii).

04 DR EL-SIRAFY: Yes.

05 DR HAFEZ: On one view, it is there for the -- your

06 counterpart, or your client's counter part, where the

07 evidence is still fresh, to be able to receive your

08 claim, engage in on the ground enquiries, have middle

09 management and site personnel discuss, reach a view,

10 render a decision, communicate that decision, and it is

11 intended for the protection of both sides.

12 DR EL-SIRAFY: Let me make main clearing for your side,

13 Dr Karim.

14 There is a bit difference between discussing the

15 operating of the claim and how it is going as operation

16 process during our period working on the project, and my

17 side now as legal side to get a more clear about the

18 obligations arrive between each of the parties.

19 There is a bit difference between both of them,

20 minute about the claims and operation process for these

21 claims we can discuss that with the expert more. But

22 I'm here now to put the clear expression about the bit

23 difference of the obligation between the contractual

24 parties during the contract, and the -- not only for

25 article 30, all the articles for this contract, for

01 what? For managing the contractual relationship between
02 parties, to make it very clear for all without any
03 ambiguity. And put the clear interpretation for the
04 claims and the conditions of delay is something like
05 five days or 14 days or others. But in all, we have the
06 general basis according to the governing -- the Egyptian
07 law. And that's what I do mean.

08 How I put the difference between the contractual
09 relationship between the parties, and the rules of law.
10 So the applicable law here according to the Egyptian
11 Civil Code, we couldn't lose our right to ask about the
12 compensation or remedies after passing the 14 days.

13 Can I ask you something, because it is quite
14 related to what Mr Dr Hafez said. How do you read the
15 last sentence of 30.1 and 3 (iii) (^):

16 "After the end of this period, the civil contractor
17 is precluded from asserting these claims."
18 (doc).

19 ? Your argument is that because of the applicable
20 law this sentence is in some way superceded by a public
21 order principle or whatever you --

22 DR EL-SIRAFY: Yes, sir, that's what you mean.

23 PRESIDENT: That is what you mean.

24 DR EL-SIRAFY: Yes.

25 PRESIDENT: Thank you.

01 DR EL-SIRAFY: Here, we need to put the focusing about both
02 articles for the Egyptian Civil Code which we have to
03 apply according this article. One of them, the article
04 148, according to the Egyptian Civil Code, are provide
05 that the contract must be performed in accordance with
06 the provision and a manner consistent with the
07 requirement of the good faith and the fair dealing.
08 And according to that (^word) requirement we can
09 separate the actual circumstances for the execution for
10 this contract or the performance between both parties
11 without we observe the conduct between them all over the
12 project.
13 Also, the way that they lead to result in the
14 contractual relationship and the factors which the other
15 party has continuous knowledge. And through our
16 observing about the facts what happened during this
17 project, we found that they are continue working by the
18 constant way. They didn't stop the project with them.
19 That's number 1. They didn't put the warning letter for
20 them that they will take withdrawal the project from
21 them. So many of the facts during we observed through
22 this case, we found that there is a very well, or good
23 faith, and fair dealing between both of them. The
24 project documents also include extension letters,
25 complimentation forecasts, reservation, and concerning

01 the effect of this effort (^).

02 Also, a notice requirement can't be used as meaning

03 of avoiding the liability. According to article 5 of

04 the Egyptian Civil Code, perhaps it is (^word) exercise

05 for the right. Here, in this case, the procedural

06 requirement concerning the submission of the claims

07 can't be transformed into the meaning of effectively

08 releasing other party from the financial consequence of

09 the event, which is according to what we need to arrange

10 about the operation of the financial statement between

11 both parties for the claims and also to save the rights,

12 both of them, not only one party, to get his rights by

13 the dispute resolution settlement way we are talking

14 about.

15 In the end, importantly, they didn't mean at the

16 article 31 should be disregarded to its requirement

17 should ignored. We couldn't express our notice as

18 ignoring for their provision, but it means for its

19 application must remain constant for the governing law,

20 the nature of the contract, and parties' conduct. At

21 the end, the parties' conduct confirms their continuing

22 knowledge for the event and their effects, the conduct

23 of the parties during the performance of the project is

24 particularly important in this respect. During the

25 performance period, there was extension letters, as we

01 quoted in notes (^), changes and additional works
02 between the both parties, and also continued in the
03 corresponding reservation, discussions concerning the
04 effect of the event, the mechanism of dealing with the
05 financial consequence of the project, of the extension
06 also continued. Accordingly, presenting the matter
07 Siemens became aware of the relevant fact only through
08 the final claim submitted with 14 days which ignore the
09 actual course of the project, and the parties conducted
10 during its performance (^).

11 The purpose of the notice requirements is not
12 creating an independent mechanism for fortify the
13 substantive rights for each party to use, as we said,
14 the dispute resolution mechanisms to get their rights.
15 Therefore, the interpretation of the article 3.1 must
16 take into account the Siemens continuing knowledge of
17 the event circumstances forming the basis of the claim
18 and continuing effect of this event throughout the
19 performance period.

20 Thank you.

21 PRESIDENT: Just so we are clear. You answered the
22 president (Dr Hafez), question by saying that Egyptian
23 public policy voids, that is renders null or nugatory --

24 DR EL-SIRAFY: Excuse me, Dr Karim, did you say about
25 Egyptian what?

01 DR HAFEZ: No. Saying that you answered the president's
02 question by saying that Egyptian public policy --
03 DR EL-SIRAFY: Not Egyptian it be policy, I said about
04 Egyptian Civil Code.
05 PRESIDENT: For the record, I was the one to say public
06 policy.
07 DR HAFEZ: To which counsel said "absolutely".
08 PRESIDENT: But that was committee.
09 DR HAFEZ: Okay. But you referred us to 148, which is good
10 faith, and you have referred us to --
11 DR EL-SIRAFY: (^word).
12 DR HAFEZ: Good faith satisfy not only good faith. The
13 other Egyptian Civil Code about 228.
14 DR HAFEZ: What is the principle there.
15 DR EL-SIRAFY: Not let anyone, or both parties to lose their
16 rights to use the mechanisms of the dispute resolution.
17 DR HAFEZ: Okay. Just so you can appreciate why I'm
18 slightly curious to understand your position, those
19 claims exist, those types of contractual terms exist for
20 the protection of both parties. Part of that protection
21 is up the line. You know that the contractor is
22 contractually bound obviously to the employer. That
23 head contract typically has similar terms. So unless
24 you as the subcontractor assert your claims timeously,
25 and the contractor is placed in the position, if it so

01 wishes, to assert the same set of claims up the line to
02 the employer, the contractor falls between the stools of
03 liability. On your case, you are allowed to advance
04 those claims, that at least on one view are precluded by
05 the contract, having not given notice, but the
06 contractor would fail, if it sought to do the same thing
07 as against the employer. Do you understand why I ask?
08 DR EL-SIRAFY: Yes, I understand you, Dr Karim. But I will
09 repeat my same answer to you. Here I'm not discussing
10 the operation of the passing through the claims, you can
11 ask about the expert or in the record of the expert,
12 that's not my role now. I'm showing you what the
13 difference between from my side about the contractual
14 relationship between both parties and the kind of the
15 legal regime exactly for our chairman, which he is
16 a foreign arbitrator and I need to put focus on this
17 kind of information because it is very important for our
18 case, that we have the civil Egyptian code with articles
19 like 2028 (^), that we never have anyone to put the
20 pressure to lose my rights to use my mechanisms as
21 litigations, dispute resolution, as litigation or
22 arbitration or others, that's number 1. And the article
23 148 which have -- you have to respect the good faith
24 during our operational arrangement for the project,
25 because it is kind of the contractor, subcontractor, as

01 Dr Karim said, mainly on (^word) employer and others of
02 operational. So if we have a good faith between us as
03 contractual relationship, that means we have to put our
04 judgmental basis according to that. And also that we
05 are saving according to the Egyptian Civil Code. Thank
06 you.

07 PRESIDENT: By the way, the Egyptian Civil Code is quite
08 similar to the Italian Civil Code. So I'm lucky enough
09 it is part of -- but we also have.

10 And we have a rule according to our Civil Code that
11 if you have two interpretations possible for a clause,
12 you have to favour the one that gives a meaning to the
13 clause, rather than being empty box.

14 (^word) presentation.

15 DR EL-SIRAFY: I think that's the meaning of what I need to
16 reach.

17 PRESIDENT: We can break for 15 minutes.

18 DR ABDEL WAHAB: (microphone muted).

19 DR EL-SIRAFY: Excuse me, chair. The right to make like
20 negotiation between both of us --

21 PRESIDENT: No.

22 DR ABDEL WAHAB: No, you don't know what I'm going to say.

23 I'm not going to respond. I just want to know the case
24 we are answering. This case has been a moving target,
25 and I say that, to put on the record, throughout their

01 submissions, sir, article 5 on abuse of right did not
02 feature once. It is the first time today that we hear
03 reference to article 5 on abuse of right. We don't know
04 why it is used, on what basis. It supposes there is
05 a right. This is something, speak of the right of
06 defence, sings they are the champions of it, it has
07 never been put forward, and we don't know what is the
08 exact case. That is 1.
09 2, never before have they pleaded 148-paragraph 2 --
10 DR EL-SIRAFY: Excuse me --
11 PRESIDENT: Can you let him finish then you will have the
12 chance to reply. Otherwise it will be no order. Go
13 ahead.
14 DR ABDEL WAHAB: It is a new level of present preventing me
15 ... referred to by Mr Zead, I waited until they
16 finished, has never been pleaded and does not feature in
17 the submissions.
18 The third one, and in fact Dr Hafez was helping them
19 in that sense, was referring to Egyptian public policy,
20 because that features actually in paragraph 31 of C's
21 reply submission. Their position if I want -- if I may
22 help, is that they say these provisions of 30.1 run in
23 contravention of Egyptian public policy,.
24 PRESIDENT: The one I mentioned.
25 DR ABDEL WAHAB: And they refer to article 388. I only say

01 that because Dr Mai now says not Egyptian public policy.
02 So are they waiving this then, or still maintaining
03 their position? If that is the case, sir, we need to
04 know, because they made reference to article 228, and
05 there is no 228, and 228 does not deal to that, ... we
06 want to understand, because we don't want this to
07 contaminate the record or the submissions to say that we
08 have run that case and the tribunal has missed it.
09 With all due respect, sir, it is not the time nor
10 the place to start pleading a different case on
11 different legal basis, so we want clarity. That is my
12 only request. Thank you.
13 Thank you. Sorry, Madam. You have the floor.
14 DR EL-SIRAFY: So first of all, I didn't put objection of
15 the Egyptian policy as the respondent said now. I don't
16 mean about the applicable law, about the Egyptian Civil
17 Code. And maybe he make a recording to the articles
18 which I (^word) about at article 388. You can revise
19 what I said and apply what I do mean about that. It is
20 Egyptian Civil Code and we couldn't make
21 a misunderstanding about the applicable law, something
22 like that, we can read it and apply it according to our
23 case. And that's our mind to answer about the
24 respondent's side. Thank you.
25 PRESIDENT: Can we have a break? That's my question. Did

01 you finish your opening statement?

02 MR ZEAD: Though --

03 PRESIDENT: We still have time, that's absolutely fine, but

04 I wanted to check. Okay. 15 minutes break. How much

05 time do they have?

06 MR ZEAD: Is this interruption the counsel's?

07 (Off record discussion)

08 PRESIDENT: You might (^word) some time more because we

09 interrupted and so some flexibility works both ways,

10 because we are not ...

11 MR ZEAD: One hour, yes, thank you.

12 MR ABDEL MAWLA: Over the break you might want to look back

13 at 228.

14 MR ZEAD: I guess she meant 388.

15 PRESIDENT: You can correct when we start again, if you

16 wish. Okay. Thank you.

17 (12.32 pm)

18 (A short break)

19 (1.00 pm)

20 PRESIDENT: One, I have been asked to remind everybody that

21 once you press the button, wait a few seconds before

22 starting. I know that you cannot wait sometimes to say

23 something, but wait a couple of seconds.

24 Now it is noon. More or less, plus 2. You have

25 more or less one hour. We are supposed to break at

01 12.30, I don't think there is any problem if you don't
02 mind to break at 1. Or whenever, you know, you will be
03 close to finishing, and we will postpone half an hour
04 and then we will resume in one hour.
05 You have the floor, claimant.
06 SPEAKER: Dealt with article 30.1.
07 She showed you this is three paragraphs creates
08 three different obligations with three different
09 consequences.
10 Before the break, Dr Mai dealt with article 30.1,
11 she showed you it is three paragraphs create three
12 different obligations with three consequences and the 14
13 days regulate how a claim is made not deprive the
14 right or close the door to the tribunal.
15 She showed you that the loss of this kind accumulate
16 over years and can be final in 14 days that
17 administrator this project and know every event as it
18 happened.
19 Now, Mr Ahmed will turn to what the contract
20 actually said about time and what this delay caused us.
21 Meditated meditated Mr Chairman, members of the
22 tribunal, everything the tribunal heard from us so far
23 has been about the admissibility whether our claim may
24 be heard at all. What is left is the question the
25 tribunal actually has to decide is the contract that

01 gave 10 months, and this project took 88 months, 7 years
02 and four months. Somebody carries the cost of that.
03 The question is who. And I want the tribunal to see
04 that this is -- this one question decides both sides of
05 the case.
06 Our claim for the prolongation cost depends on the
07 delay being Siemens. Siemens counterclaim for delay
08 penalties depends on the delay being ours.
09 We put it our written submission two sides of the
10 both, of the same coin. Establishing one necessarily
11 gates the other. So when the tribunal decides who
12 caused that 88 months, to decide the principal claim and
13 the penalty of the counterclaim together.
14 So let me put our entitlement in one place before
15 I take the tribunal to the document, so that you know
16 what I'm trying to establish.
17 First, the contractual article 9.1, entitles a civil
18 contractor to extract construction time for modification
19 request by Siemens for decision by Siemens to postpone
20 execution, and for joint agreement between the parties.
21 That is the entitlement. It is the contract, and it
22 does not depend on anybody's generosity. Second is
23 annex 5. The parties did not leave responsibility to
24 argue about afterwards. They wrote it down, they signed
25 an annex, task by task. That annex is where I will

01 begin after later on from now.

02 Third, is article 10.1, itself the penalty clause

03 Siemens relies on is not automatic. On its own wording.

04 For the delay. The contract therefore contemplates

05 that the question will automatically -- actually be

06 examined that somebody will took the -- look at the

07 cause that is what we did at the time. My colleague,

08 Dr Mai will come back to that clause after lunch.

09 When she takes the counterclaim.

10 Fourth, is the general law. Article 147 of the

11 Civil Code, the contract is the law of the parties,

12 article 148, it must be performed in accordance with its

13 content, and in good faith. If an obligation with

14 Siemens under annex 5 and Siemens performed it late, the

15 consequences of that lateness does not become our

16 because Siemens now says so in an arbitration.

17 Siemens defence and Siemens counterclaim both rest

18 on one premise, the premise is that the completion date

19 is annex 5. Annex 7 of the original contract are the

20 measure of Sahara delay, that every day after those

21 dates is a date Sahara must answer for. I want to take

22 that premise apart from -- before, in three moves. The

23 contract itself said the completion date can move and it

24 says when. The parties then moved by assigned

25 amendment, Siemens itself kept moving that date, it

01 expected in its own letter for four years. None of that
02 is the delay cause. The delay cause came after lunch.
03 This is the framework, the delay case sits in.
04 I start with article 9.1 because it is the contract
05 answering the question for itself.
06 Article 9.1 begins with the obligation on us, our
07 deliveries, and moles must let Siemens meet its own
08 obligation to the end customer, we must comply with the
09 time for completion and annex 7, compliance is an
10 essential obligation we benefit monitor the
11 programme, keep it up to date, and if there is delay we
12 must tell the consultant immediately and act to recover.
13 We step accept all of that. It is our contract.
14 But the article does not stop here, it goes on, the
15 civil contractor is entitled to extra construction time
16 in the following cases, forge imagine, pursuant to
17 article 24, modification requested by Siemens, the
18 construction scope of work, decision made by Siemens to
19 postpone the execution of the construction, scope of
20 work, joint agreement between the parties.
21 If we look close at those four cases, force majeure,
22 modification requested by Siemens decision by Siemens,
23 to postpone joint agreement between the parties, three
24 of the four are Siemens and Siemens modification, and
25 Siemens decision, and an agreement that Siemens itself

01 has to sign. So what does that tell the tribunal? It
02 tells you that the agreement itself recognises that the
03 original time for completion is not affixed -- fixed for
04 all time. The contract expressly contemplates that
05 things will happen during execution which require more
06 construction time including things arising from Siemens.
07 Things arising from Siemens' own modification and
08 Siemens' own decision, and including things the parties
09 later agreed between themselves.
10 And those circumstances did materialise here.
11 Siemens repeatedly requested and introduced
12 modification to the scope, they issued instruction that
13 affected thousand we executed, it required changes to
14 the sequence of execution. They were not small
15 containings, they would change the manner, the sequence,
16 the timing, framework we do do.
17 I will show the tribunal the document after lunch,
18 for now I will only make the contractual point when
19 Siemens modifies the scope and postpones execution, the
20 contract does not read the resulting time (treat) as our
21 delay, the contractual says we are entitled to it.
22 Now, the fourth case, the joint agreement between
23 the parties, on 28 August 2019, the parties signed the
24 first amendment to the civil work agreement. Its recite
25 Al records that conditions have affected the project

01 time for completion, and the amendment did the obvious
02 thing, it revised the completion date for all 14
03 buildings, El shall be national moved ... moved from
04 20 December 2018 to 15 September 2019, El hey had
05 a moved from 20 November to 15 February 2020. Take
06 across the project the duration went from 10 months
07 under the original contract to 25 months under the
08 amendment.
09 Mr Chairman, this is the fourth limb of article 9.1
10 happening in writing. This is precisely the
11 circumstances the contract contemplates, a joint
12 agreement between the parties on the time for
13 completion, and it matters because what Siemens now asks
14 to do, asked to calculate delay penalties by going back
15 to the original date, while leaving out the fact that
16 Siemens itself signed an amendment changing the dates.
17 The position is internally inconsistent. Siemens agreed
18 to revise the contract dates and now cannot proceed as
19 though the revised date has never been agreed.
20 Siemens has an answer to that. It is its best
21 answer on this point, sir. Let me put it.
22 Inside the first amendment at paragraph 2-annex 1
23 there is a note it says the new dates for completion are
24 building for the buildings shall in no case be
25 considered as extension of time."

01 (doc).

02 Siemens says there is -- there it is, the parties

03 expressly agree the opposite of what Sahara now says the

04 document means.

05 While --

06 DR HAFEZ: Excuse me ((microphone muted)).

07 NASSAR: Annex 1 --

08 DR HAFEZ: Can I have the bundle reference.

09 MR NASSAR: Sure, one second.

10 DR ABDEL WAHAB: (microphone muted).

11 MR NASSAR: It is R-4.

12 DR HAFEZ: (microphone muted) which bundle-bundle R -- 6 --

13 R-4? Page 6. I will be there in a second. Thank you.

14 That's very helpful. The other small point is at

15 transcript draft 72.6 you said you were going to show us

16 some evidence after lunch. Did you mean that?

17 MR NASSAR: It depends on the time we are going to go

18 through, but if we -- because the delay part is the

19 biggest part of our hearing, so either we are going to

20 do it after lunch or depends on the flow we are going to

21 go through.

22 MR NASSAR: It depends when I finish this point.

23 PRESIDENT: It depends how much time you have how you want

24 to use it.

25 If you want --

01 DR HAFEZ: You have about 45 minutes. I don't want you to
02 cut off before you point out the evidence.

03 MR NASSAR: Sure.

04 PRESIDENT: That's why I was proposing not to interrupt
05 quarter presentation to postpone lunch (your), but then
06 means you will use all your time and after lunch it will
07 be no time for claimant anymore, but only for
08 respondent. So that's why.

09 After lunch, -- you are mentioning after lunch --

10 MR NASSAR: We are going to do it all before lunch.

11 PRESIDENT: Fair enough.

12 MR NASSAR: To answer the question that was asked earlier,
13 the parties expressly agreed to the opposite of what
14 Sahara now says in the document, so first, we do not
15 ignore that note, we accept it, what it says, our case
16 does not depend on calling the amendment an extension of
17 time. Second is the note cannot be read on its own, cut
18 off from what actually happened. The amendment was not
19 signed while the project was running the programme, it
20 was signed against a background of substantial changes
21 affecting execution, flow designs, late approvals,
22 verbal site direction and is late written confirmation
23 of them, are and delay from Siemens side. Those
24 circumstances are what forced the revision of the key
25 dates. Reading the note in isolation from those

01 circumstances would empty its meaning.

02 Third, and this is the point I asked the tribunal to

03 hold on to, this is not a dispute about the labour. Our

04 rejoinder puts it in its narrowest, and I adopt that

05 formulation. Nor is this merely a matter of terminology

06 as to whether the first amendment should be described as

07 an extension of time.

08 The relevant point for present purpose is that the

09 parties actually amended the contractual agreement

10 governing the time of the work, and agreed revised key

11 dates. Whatever you call it, the contracted dates

12 changed. Those revised dates are part of the agreement,

13 and amended, as amended, and they are the dates against

14 which performance has to be measured.

15 So Siemens cannot establish a penalty simply by

16 showing that a building was finished after a date in

17 annex 7, it has to start from the amendment date, then

18 account for its own modification, instruction, and

19 decisions, and only then say what period of delay, if

20 any, is left. That Sahara must ask for.

21 Siemens has not done that exercise. Its

22 counterclaim proceeds as though the amendment never

23 happened.

24 Now the letters I mentioned earlier, exhibit C-6,

25 they are Siemens letter, written by Siemens during the

01 project, long before any dispute. They are not document
02 made for this arbitration. In January 2019 Siemens
03 wrote a letter, headed "forecasted completion date"
04 Sahara Building Systems S.A.E. It said:
05 "The project is facing unexpected delays, and taking
06 those delays into account it gave a forecast completion
07 date of the end of November 2019.
08 Then, it kept writing six of those letters between
09 17 January 2019, 13 October 2020, each moving the
10 forecast end of November 2019, and end of February 2020.
11 Then end of March then end of May, then end of June,
12 then end of December 2020. And it did not stop
13 in December 2020, it carried on by issuing plans for the
14 remaining delay activities, seven more, seven, 1 January 2021, through 15 June 202 it 2. The
15 last of them running is to the end of December 2022.
16 The tribunal have the full table in our witness
17 submissions, which is now not in part, borough the point
18 is not any one date, it is (but), that for almost four
19 years Siemens kept writing the completion date forward,
20 Siemens' answer is that each of those letters
21 reversed -- reserved its position and said to be revised
22 date was not extension of time. We accept that, we
23 accept it in writing, and I want to be precise about
24 what we say. Sahara does not disagree Siemens express
25 reservation concerning the contractual effect of the

01 revised date. Rather, Sahara relies on the
02 correspondence for what it plainly demonstrates.
03 Siemens itself repeatedly recognised that the original
04 completion date could no longer be maintained. That is,
05 the whole of the point (^). Not a grant of time
06 evidence or of belief or almost four years Siemens own
07 writing, written position was that this project was
08 facing unexpected delays and that completion date had to
09 keep moving.
10 Mr Chairman, I have shown the tribunal where our
11 essential time comes from. Let me say shortly what
12 we -- it will cost us. Because this is the claim, and I don't want the tribunal to reach later on
13 without
14 having heard, put it out.
15 Our second claim is for the 120,000,120, 816.410
16 (^fig) to be exact, as a compensation for the direct
17 cost of the prolonged project duration.
18 It is by far the largest thing we ask for, the
19 respondent puts it out, puts it about 8 per cent of the
20 total and that's right. The legal basis is ordinary
21 Egyptian law article 221 of the Civil Code for
22 compensation covered the loss suffered and the profit of
23 which the (^word) has been deprived provided it is the
24 natural result of non-performance or of delay in
25 performance.
And the code of cassation has applied that to

01 contracts in turn. A contractor is entitled is to
02 compensation whenever the employer's conduct caused it
03 damage, and that compensation covered both expense
04 incurred and the profit loss. That's. Had, the three
05 elements are the same three the respondent invokes
06 against us when it comes to its own penalty, fault,
07 damage and causation. We plead all three and plead them
08 in that order.
09 Fault, the contractual time for completion was 10
10 months, advised by the first amendment duration was
11 extended as direct result of Siemens' conduct, the
12 change order and the event pleaded building by building,
13 the damage is when we tendered, priced on 10 months, and
14 the tender carried only the administrative and indirect
15 cost of 10 months, the salary of the engineering and
16 site staff, social insurance, banking expenses,
17 vehicles, electricity, water and the site facilities.
18 The project ran for approximately seven years, overhead
19 of that kind are incurred daily and continuously every
20 month of extension in another month of them.
21 Finally, the causation. Those costs are the direct
22 and natural consequence of the prolongation, and the
23 prolongation is the consequence of the change order,
24 design modification and delay events.
25 How the figure is built, it is an aggregated plucked

01 from the air. It is not an aggregated plucked from the
02 air (^), our expert divided the prolongation into seven
03 successive duration, running from each side's
04 contractual finish date ... OC building on 28 May 2025.
05 For each duration he takes the fixed overhead and
06 applies a chargeable percentage which falls as buildings
07 are handed over and dropped out of the calculation.
08 From the first duration down to the, about
09 8 per cent of in the 7th, then he applies it in per
10 building per day.
11 Mr Chairman, that's our contractor's overhead claim
12 billed from the bottom up, period by period, and
13 building by building, and it is reduced itself as the
14 project shed building. It is not the blunt instrument
15 of respondent as the respondent describes.
16 The respondent answers and I put it in, is made,
17 that it says there is no contemporaneous cost record
18 sufficient to verify the figure. It says the claim is
19 advanced as single aggregated without linking to any
20 compensable delay period, and it says the elements of
21 contractual liability are not made out.
22 Our answer is that the elements are pleaded and
23 evidenced and that on the respondent's own conduct,
24 conduct the financial consequences of prolongation were
25 recognised at the time. Siemens itself compensated us

01 repeatedly for part of those consequences by applying
02 contractual price adjustment formula in annex 13.
03 A party that pays price adjustment for years is not
04 a party that believed the project was running to time.
05 So now moving forward to annex 5 and the six delay
06 analysis.
07 It will be divided in two parts. One will be
08 presented by myself, I'm going to present the annex 5
09 and six delay events and the shall be national building
10 in detail, and to finish the hearing it is going to be
11 presented by Dr Mai who is going to do the counterclaim
12 and close our case.
13 So I start with a document the parties signed,
14 because it removed a great deal of the argument --
15 agreement. Annex 5 to the civil work, I wish just to
16 present annex 5 on the screen if it is possible.
17 So annex 5 to the civil work agreement is headed
18 list of responsibilities that it is in two pages, and
19 signed and sampled by both parties. It has four
20 columns, tasks for Siemens, civil contractor, remarks
21 against each task there is annex, in the column whoever
22 carries it.
23 .
24 The parties did not need responsibility to be argued
25 about later. (Leave), they wrote it down task by task

01 before the work began.

02 Let me start with our side of it, because I want the

03 tribunal to see that we do not run away from anything.

04 Ours are the pre-execution shop drawing at item 1.1 -- 3

05 (^), the documents, and method statement at 1-4, the

06 construction utilities at 4-1, the temporary site office

07 at 4-4, the submission of material samples at 4-10, and

08 the whole items 53 to 522, (^word) concrete, steel,

09 finishes, plumbing, electrical, HVAC, earthing and

10 landscape, that is the physical building work, and we

11 accept every line of it.

12 Now, the entire that matters for this case, and

13 I will read them as they appear, is item 1-1, buildings.

14 Different drawings, documents layout, foundation,

15 architectural, structural, MEP, basic and detailed, the

16 X is under Siemens, item 1-2, drawings, documents,

17 approvals, the X is under Siemens.

18 Item 2, handing over the site for execution from

19 ENR, the X is under Siemens. We are marked only as

20 support to attend and give comments.

21 Item 4-2, clearly site from obstacle before start of

22 work which would prevent the civil contractor to execute

23 is legislation for Siemens.

24 Approval of the provided samples of all used

25 material the X is under Siemens, again, we are only

01 support (^).

02 All the permits --

03 PRESIDENT: Sorry. I think you unplugged the screen.

04 MR NASSAR: Thank you. So item 3-1, and I --

05 HAFEZ: Give us a second until it comes online.

06 PRESIDENT: It is black. Now it is okay. Go ahead.

07 MR NASSAR: All the permits, technical coordination,

08 insurance and payment, the building licence and

09 utilities are Siemens. Item 6-1, and 6-2, the fuel tank

10 design drawings documents and their approvals, it is

11 also under Siemens.

12 One entry I ask the tribunal to note particularly is

13 item 5-2, solution for obstacle found during exploratory

14 examination.

15 The remark column reads:

16 "Siemens decided for the solution civil contractor

17 to apply this solution. Siemens decided we apply."

18 (doc).

19 This is the relationship the party wrote down, the

20 parties wrote down.

21 There is also --

22 DR HAFEZ: Can you scroll down.

23 PRESIDENT: Can you follow the broke the slide? Because it

24 is stuck.

25 MR NASSAR: Sure.

01 MR NASSAR: There is also something that is not in annex 5
02 at all and it will matter in my fourth part. There is
03 no entry for the supply and installation of Siemens
04 signalling equipment. None for electrical registration,
05 none for the external trenching and cable laying and
06 none for the CTC building at.

07 Q. Ir, those were never, yet as the tribunal will see our
08 buildings could not be completed until those things were
09 done. So building drawings, approval of drawings,
10 handing over the site, and approval of materials samples
11 were all Siemens tasks under the annex the parties
12 signed.

13 Those four categories are precisely the category
14 that drives our delay analysis. The tribunal will see
15 that in my second part in a few minutes, and I will see,
16 we will see it on Siemens' own document. The legal
17 foundation is short. Article 147 of the Civil Code, the
18 contract is the law, the parties, the article 148, it
19 must be performed according to its content and in good
20 faith. Our technical report put our case at page 13
21 Siemens was in disarray and not ready to fulfil its
22 contractual obligation as stipulated in annex 5 and the
23 remaining provision of the contractual (^word)
24 18 January 2018.

25 Two things I take them in order.

01 First, what Siemens does with annex 5. It used one
02 item of it, item 4-4, the temporary site office, which
03 is deployed against us in support of its counterclaim,
04 for temporary construction facilities on the material we
05 have read it answers, item 1-1, 1-2, 2 and 4-11, and 5-2
06 nowhere at all.

07 Not in the defence, not in the rejoinder, it relies
08 on different items of the same annex against us.

09 Second, its real answer, which is not about the
10 annex at all, responsibility is not a causation,
11 Mr (^word) puts it in paragraph 26 individual drawings
12 or approvals related to particular part of a building,
13 and did not render every other activity or the work at
14 the other sites incapable of being progressed
15 a Mr Abdelbakey delay expert says paragraph 2 1(a) that
16 we have proceeded no material path (^), or concurrency
17 analysis showing that a claim event caused critical
18 delay to the completion.

19 So Siemens case is yes, the obligation may have been
20 ours, and yes it may have been late, but you had 14
21 separate sites, other work available at each, so
22 lateness on one approval proves nothing about the
23 completion date.

24 Mr Chairman, this is a serious answer and I'm not
25 going to pretend otherwise. Annex 5 proves those

01 obligation it was (whose obligation it was), but itself
02 it does not prove that delayed performance moved the
03 completion date. The two things have to be joined and
04 joined is my second point.
05 Siemens said there is in critical path analysis in
06 this case. There are six. We went there to Siemens
07 during the project, Siemens answered every one of them
08 in writing, and what Siemens wrote back is I say the
09 single most important document in arbitration between
10 2 November 2020 and 26 April 2021, we transmitted six
11 impact analysis to Siemens, which was named building,
12 each was sent in two format, PD F and native Primavera
13 file, so Siemens could open it, run it and test it for
14 the Baalwa building our letter J111-235-218, 2018, it is
15 1,013 days for the OC 7, (^word), J111-218-2018,
16 2 November 2020, it is for 756 days. OC 6, El Sawa,
17 J111-218-2018, is 739 days, OC 7, J11-252-2018, is 1,103
18 days. OC 18, mess Malaya, J111-232-2018, is 975 days.
19 Shall be national, J111-233-2018, 4 February 2021, 854
20 days. And the transmission of letters did not just
21 ascertain a number. It invited Siemens to disprove it
22 (assert), please download the file for your review and
23 counter analysis and approval.
24 I ask the tribunal to see that sentence,
25 a contractor inviting a delay claim does not happened

01 the other side the native schedule 5 and ask it to run
02 it down, its own -- run down its own analysis. Siemens
03 replied to each of these six between 12 July and
04 30 August 2021, and I will take the reply on shall be
05 national, because it is the building I will can examine
06 in details next (Shabanat).
07 Sew Siemens did not ignore any analysis. It engaged
08 with closely, set out the driving delay events in the
09 table of its own making with two columns I want the
10 tribunal -- I want the tribunal to look at. Column 1 is
11 the final impact, the days, the other column is the
12 headed clarification, what kind of event it was. There
13 are 16 events in Siemens table, the duration are 2, 21,
14 10, 49, 50, 112, 21, 75, 14, 69, 11
15 (the court reporter does not have this document)
16 Goes on to 29, so those 16 figures adds up to 854
17 numbers in our case.
18 So Siemens own document identifies the same 16
19 driving events with the same impact, totalling the same
20 854 days.
21 Now, the part I have been building towards takes
22 Siemens 16 events and proved them by the label Siemens
23 itself put them in the classification column,
24 contractual event 1 and 2 and 3, 33 days, signed the
25 contract advising receiving the contract properly and

01 the bank procedure for the advance payment guarantee,
02 designed three events, event 5, the review and approval
03 of geotechnical report 49 days, event 35, approval of
04 the MCC (^word) shop drawing 199 days, event 39
05 [document not provided to court reporter]
06 approval it gives without going into details
07 it gets 445 days in total installation without going
08 into details also it is 99 days.
09 So Mr Chairman, now, hold those labels against annex 5, design is in annex 5, item 1-1, and 1-2,
10 building drawings it is under Siemens responsibility.
11 Material approvals, are still in the same annex, shall
12 same idea, Siemens responsibility.
13 And those together puts 277 plus 445 days is a total
14 of 722 days out of 854.
15 85 per cent of the delay is in Siemens own table,
16 sits in categories that the signed annex allocate to
17 Siemens itself.
18 There is something that table does not contain, none
19 of the 16 events is classified into any civil contractor
20 category. Not one.
21 Now, let me be careful, because I don't want to
22 overstate this, and the tribunal would see if I did,,
23 that is not an admissible of liability. Siemens was
24 classifying the type of event we had alleged. It was
25 not consenting that it was responsible for it. And

01 Siemens reject any -- every of the 16, but the label R
02 Siemens all, and it those them, it could have written
03 civil contractor or contractor's work or finishes, if
04 any of those 16 roles did not write it once (^) and when
05 Siemens' own engineers in 2021 sat down with our
06 analysis and sought our delay event into categories
07 (sort), the categories they reached were for design and
08 material approval, the two box, the parties and marked
09 Siemens three years earlier.
10 Siemens adds two limbs, and each --
11 DR HAFEZ: In fairness to you do we don't of the document on
12 the screen. All we have --
13 MR NASSAR: I know.
14 DR HAFEZ: All we have, so you know what we can see is the
15 general matrix of responsibility. So everything you
16 have told us sits on a document which you say is
17 critical to your case, but is not on the screen. Would
18 you like to put it on the screen? I don't --
19 MR NASSAR: I know we have a bit of an issue with all the
20 documents, so that's why -- half let me not stop you
21 then. (^).
22 On timing, article 30.1, 30.1 (iii), the shall be
23 national event began in 2018, the analysis was sent on 4 February 2021, on Siemens
24 construction the claim were
25 precluded long before, and sending an analysis
afterwards does not revive them. That was answered this

01 morning, I will not repeat it. But on substance, this
02 is the agreement that matters this afternoon, and
03 Siemens says the analysis are simply wrong, and it said
04 at the time with reasons, and its central point is this:
05 an approval can be late without being critical, if the
06 physical work that depends on the approval was not
07 actually done for years afterwards, then the approval
08 was never what was holding the job up.
09 And it gives specific example on event 5, the
10 geotechnical report, it says our exhibition was not
11 completed in the planned duration exciting our own
12 inspection request of 16 October 2017 almost five
13 months after the approval. On event 7 the raised floor,
14 its words are raised floor completed after almost 38
15 months and still now accordingly approval of the
16 material is not in the critical path of the building, on
17 event 9, the (^word) that our records were not accurate
18 or sufficient.
19 Those references are our own inspection requests,
20 Siemens is using our document against our analysis.
21 Mr Abdelbakey develops the point in expert terms. He
22 says the analysis are pre-building and do not deal with
23 concurrency across the 14 buildings. So that a delay by
24 the claimant is one building may run concurrently with a potential excusable delay in others. So
25 there is no continuous project wide excusable delay. Three answers

01 is first on the invitation, we asked Siemens in writing
02 in 2021 to perform its own counter analysis in
03 Primavera. The file was in its hands, so far as the
04 record shows no counter analysis was produced until
05 Mr Abdelbakey report of 16 August 2026, five years
06 later, and after this arbitration had begun. A party
07 that generally believed a delay analysis was wrong, and
08 was handed the native file and asked to test it had
09 every means to show it was -- show it was wrong at the
10 time. Siemens replied to all six Baalwa on 12 July, Abu
11 Hammad on 10 August, Sawa on 15 August, (^chk name),
12 (^chk name) and El shall be national on 30 August.
13 Six analysis, six written replies, all within seven
14 weeks. Nobody on either side was treating these claims
15 as closed.
16 Second, on the critical path point, it is argument
17 that has to be made event by event, and Siemens had made
18 it for some events and not others. But notice, but what
19 it was -- it wasn't -- it is not denied that the
20 approval were Siemens responsibility. But it is not
21 a denial that they were late. It is an argument that
22 lateness did not matter. It was -- this is a matter
23 of -- this is a much narrower case than the Siemens open
24 (^word).
25 Third, and this is the answer I ask the tribunal to

01 hold, on Siemens' own expert conceded exclusivable delay
02 across the 14 buildings in four time fail (^).
03 Mr Abdelbakey own analysis produced concession totalling
04 2241 days of potential excusable delay in timeframe 2 he
05 conceded further 19 days at Hehya and 35 days at OC 5.
06 So the dispute between the experts is not whether
07 Sahara suffered excusable delay, Siemens' own expert
08 says it. The dispute is hotch and whether it is
09 absorbed. And on the (^word) margin is very small
10 indeed, Mr Abdelbakey's own table 2 record maximum
11 potential excusable in timeframe 1 of 452 days against
12 additional duration of 455 granted by the first
13 amendment. So it is only three days with whole
14 conclusion on the building (^word) on a margin of three
15 days.
16 I would like to add this paragraph 21(b), in
17 Mr Abdelbakey identified the source of the excusable
18 delay, he does not concede his word, site access,
19 geotechnical investigation, IFC drawing and additional
20 quantities.
21 Site access is in annex 5, item 2. Geotechnical
22 review is delay event 5, classified by Siemens as
23 design. IFC drawing are delay event 39, and all of them
24 Siemens.
25 Now, moving forward, I would present El shall be

01 building and why we could not finish until Siemens
02 finished it ... the tribunal can see how the
03 analysis works. The schedule is 079 post delay event
04 number 39 (^word) TIA-SHA. It is a Primavera time
05 impact analysis, it starts from the baseline finish
06 2 October 2018, baseline during 262 days. Then each
07 delay event is added to the schedule one at a time. For
08 every event the schedule records the finish date before
09 that event and the finish date after it. The difference
10 between the two is that the event impact on completion
11 or after all 39 events have been added, the finish date
12 is 11 March 2021, and the duration is 1,151 days.

13 DR HAFEZ: Can we have the Primavera? So that we can follow
14 you?

15 If you give us the docket reference, we might be
16 able to bring it up ourselves. Spoke spoke we'll come
17 back to you.

18 DR HAFEZ: It is very difficult to follow the argument.

19 MR NASSAR: It is understandable, and we'll come back to
20 that at the end, because we are looking for that now.

21 DR HAFEZ: Okay.

22 MR NASSAR: So to pick up from where we stopped, yeah, I was
23 stating that 23 of the 39 events add nothing at all.

24 DR ABDEL WAHAB: Would you like us to help?

25 MR NASSAR: About what, exactly.

01 DR ABDEL WAHAB: About the premia veer.

02 NASSAR: Yes, it will.

03 DR ABDEL WAHAB: It is RE1-15 to RE1-20.

04 MR NASSAR: Thank you.

05 DR ABDEL WAHAB: These are exhibits to Mr Abdelbakey's

06 expert report. RE1-15, 16, 17, 18, 19 and 20.

07 These were appended to Mr Abdelbakey's expert

08 report.

09 MR NASSAR: Thank you. So 23 of the 39 events add nothing

10 at all, events 04, 6, 8, 10, 12, moving on to the 38,

11 for each of those, the finish date before the event and

12 the finish date is after it, are identical, zero days.

13 On the face of the analysis, they were not driving

14 completion or -- and no time is claimed for them.

15 Mr Chairman, this is worth pushing on, because of what

16 Siemens says about this case, Siemens says our analysis

17 assumed delay rather than demonstrating it, but more

18 than half of the event is, in it are given no time

19 whatsoever.

20 If we look at the list of zero -- if you look at

21 what is sitting in that list, it is zero list, event 19,

22 delay is in receiving issue for construction drawings

23 from Siemens, zero. Event 20, delay inside hand over,

24 zero. Event 21, approval of aluminium work, a delay

25 activity with a an original duration of 431 days, zero,

01 still. Even 16, approval of cable tray on original
02 duration of 400 days, still zero.
03 If this is where an exercise in inflation, those
04 events were sitting there to be claimed. They are not
05 claimed, the analysis gave them nothing, because on the
06 schedule, they did not move the finish date. 16 events
07 carried the whole impact. It is starting event 1 until
08 39. Moving to 39. Those are precisely the 16 events
09 that Siemens time tabulated in its reply of
10 30 August 2021, the same 16 events, the same 16 impact.
11 So the two parties worked separately, arrived at the
12 same 16 driving events at the same 854 days. What they
13 disagree about is who is responsible for them, and by
14 category, those 16 are contractual and payments that
15 event 1 to 3, is 33 days, geotechnical report and
16 approvals, event 5, is 49 days, material and production
17 approval is from event 07, the 9, 14, 15, 17, 18, 25,
18 31, and 32, it is total of 445 days. Design and shop
19 drawing approval is event 35, it is 199 days.
20 Installation instruction, event 36, it is 99 days. IFC
21 landscape drawings, event 39, is 29 days.
22 So drawings, approvals of drawings, approval of
23 materials, those are in annex 5 items-1-1, 1-2, and
24 4-11.
25 I make -- may I take the tribunal through those 16

01 by name? Because the names tell the story better than
02 the categories do. Event 01 and 02 and 03, sign the
03 contract, receiving the signed copy, and the bank
04 produced that evidence, advanced payment guarantee two
05 days, 21 days, 10 days, total of 33 days before the
06 shovel could go into the ground.
07 Event 5, if give you an approval that geotechnical
08 report, 49 days, that geotechnical report governs the
09 foundation, nothing structural starts before it is
10 approved. Event 7, the raised floor material, 50 days,
11 event 9 the, the (^word) sheet, colour and type
12 confirmation, 112 days, event 14, the wooden doors, 21
13 days, event 15, steel doors, 75 days, event 17, the HPL
14 toilet partition, 14 days, event 18, the panel board 96
15 days, event 25, the HVAC unit, with the confirmation.
16 To not waste a lot of the tribunal time, we will
17 move, we will not go further in details to also preserve
18 our time to our final part, so Dr Mai will now go
19 through the conclusion of our hearing and the closing of
20 it. Thank you.
21 PRESIDENT: Thank you, counsel. You have more or less 10
22 minutes.
23 SPEAKER: There was an extension.
24 PRESIDENT: 15 minutes. Something like that. We are
25 flexible, but just to give you a figure.

01 I counted. Because actually, they started at noon,
02 plus 3, and so 15 minutes it will take into account
03 15 minutes into account also the interruption.
04 Before moving, Dr Hafez has a couple of questions
05 before you move to the next step. That of course will
06 not erase your --
07 DR HAFEZ: That's tribunal time.
08 Can I ask you to go to 72.6 on the transcript:
09 [draft]
10 That will be time stamped 12.05.23.
11 That is the line 72.6.
12 72.6.
13 (Off record discussion)
14 Perhaps I can assist. Oil' just read it out to you.
15 72.6.
16 Can you see that?
17 You say:
18 "Our claim for the prolongation cost depends on the
19 delay being Siemens'. Siemens counterclaim for delay
20 penalties depends on the delay being ours. We put in
21 our written submissions two sides of the both of the
22 same coin."
23 (doc).
24 I take you to mean two sides of the same coin.
25 How does that argument sit with your argument on

01 admissibility of the counterclaim?

02 NASSAR: It doesn't -- that's a different argument.

03 It is totally a different argument. We are here in

04 this part just arguing the delay events, and the cause

05 of the delay. And it -- whose fault that delay was.

06 About the admissibility, it was the part that was

07 presented before the break. It was regarding article

08 29.1, and article 30 that was presented and --

09 DR HAFEZ: I appreciate that. But my question to you is:

10 can you maintain that the counterclaim is inadmissible,

11 because 29.1 you say was not satisfied, whilst

12 maintaining that they are both sides of the same coin?

13 MR NASSAR: No, what I'm saying, if my claim is not

14 admissible based that I didn't follow the amicable

15 procedures, it will be applied for the counterclaim

16 also. This is what I'm trying to say when it is the

17 present --

18 DR HAFEZ: I just want to give you an opportunity to respond

19 to that. Is that --

20 MR NASSAR: Basically what I'm trying to say that if this

21 condition is postponing condition of the, or like

22 stopping condition from going to arbitration, it should

23 be applicable also for the counterclaim, as it is for

24 the claim.

25 So we do not disagree with the respondent, we

01 actually agree with what he is saying about this point,
02 because if it is not the case, then the counterclaim
03 also should be (^word). That's what I'm saying.
04 DR HAFEZ: Let me take you to my second and last question.
05 I want to invite you to look at R004. This is the
06 famous amendment. Do you have that? Do you have that
07 before you?
08 I think, I just want to see if we agree on some
09 basics.
10 MR NASSAR: Sure.
11 DR HAFEZ: Then I'm going to ask you a question.
12 The contractor is ordinarily required to complete by
13 the completion date.
14 MR NASSAR: Yes.
15 DR HAFEZ: It is entitled to an extension of time under the
16 contract if conditions are satisfied.
17 MR NASSAR: Sure.
18 DR HAFEZ: This extension of time may be recognised by the
19 counterpart or simply awarded by the tribunal.
20 The parties may agree revised completion dates. Do
21 we agree so far?
22 MR NASSAR: Yes.
23 DR HAFEZ: In case you say, your position, as I understand
24 it,s and do correct me if I misunderstand it, is that
25 the legal effect of the first amendment has been to

01 change the contractual completion dates under the
02 agreement, and that the revised completion dates set
03 forth in annex A of the first amendment are the new
04 completion dates. Is that your position.
05 MR NASSAR: (Unclear).
06 DR HAFEZ: Let's look at what the relevant instrument says.
07 I take it that you are reliant on 2.1 which says:
08 "The parties agree that the time for completion and
09 the construction milestones of the civil works agreement
10 are amended as reflected in annex 1 to this amendment."
11 (doc).
12 Is that right?
13 MR NASSAR: Exactly.
14 DR HAFEZ: In order to understand what the parties have
15 agreed by way of amendment to the original contract, we
16 need to go to annex 1, correct?
17 MR NASSAR: Exactly.
18 DR HAFEZ: Let's do that.
19 When you get to annex 1, which is at page 6 of the
20 document, 6 of 11, you have a table.
21 MR NASSAR: Exactly.
22 DR HAFEZ: In the third column of that table there are
23 revised completion dates. I understand you to rely on
24 those completion dates, correct?
25 MR NASSAR: Exactly.

01 DR HAFEZ: And then when you look at the head of that third
02 column, you see it in brackets, a footnote. You see
03 that footnote 2.

04 MR NASSAR: Revised completion date.

05 DR HAFEZ: You see that footnote 2, after completion dates.

06 MR NASSAR: Yeah. Yes, I see it.

07 DR HAFEZ: Let's go and see what that footnote says. That
08 says:

09 "Parties agree that the original time for completion
10 [which I take it to mean the time for completion under
11 the main agreement] is not amended by the revised
12 completion date [is not amended by the revised
13 completion date."

14 (doc).

15 Which is simply another way of saying the revised
16 completion dates are not the revised completion date.

17 And further on, it goes further and says:

18 " ... and in no case the revised completion date
19 should be considered a tension of time, until the moment
20 when Siemens is contractually granted an extension of
21 time."

22 (doc).

23 .

24 So at least on one view, one interpretation, what
25 you have been granted is on one view a conditional

01 extension of time and a conditional revised completion
02 date. The condition seems to be on one view that
03 Siemens is awarded a similar extension of time and/or
04 a similar revised completion date by the employer under
05 the head agreement, the main agreement, right?
06 MR NASSAR: We don't know.
07 PRESIDENT: So that's exactly my question. And my question
08 to you is, are you able to satisfy that condition, and
09 if so, how, and if you can point us to the bundle, that
10 would be very helpful.
11 MR NASSAR: May I reply to your question, sir?
12 DR HAFEZ: Of course.
13 MR NASSAR: It is good that you mentioned the comma in that
14 sentence, that says, until the moment when Siemens is
15 contractually granted an extension of time. By
16 contractually, that means that we return to the original
17 contract, on how Siemens grant us an extension of time
18 (Mr Zead speaker not Mr Nassar), when we get back to the
19 contract, article 9.1, let me get it on the screen first --
20 DR HAFEZ: You are saying, you are addressing what I take to
21 be the caveat or the proviso or the condition. So the
22 words beginning "until" --
23 MR ZEAD: Until performance. This is not considered an
24 extension of time, comma, until the moment Siemens is
25 contractually granted an extension of time.

01 HAFEZ: How do you read that? How did you invite us to
02 understand that.

03 MR ZEAD: Granted as an employer, from the employer, you
04 mean this?

05 DR HAFEZ: What is your case.

06 MR ZEAD: I take extension of time from Siemens by the
07 article 9.1 from the original contract. From the main
08 contract. There are four cases that a civil contractor
09 grant an extension of time. If he with look back to the
10 main contract --

11 DR HAFEZ: Before you get there, just so I'm sure
12 I understand you. When you say -- when you read "until
13 the moment when Siemens is contractually granted an
14 extension of time".

15 MR ZEAD: It is obvious that they granted an extension of
16 time by this amendment. They wouldn't revise their
17 completion dates without having their dates revised.

18 DR HAFEZ: By the employer, you mean.

19 MR ZEAD: Yes, by the employer. It is logic (^).

20 DR HAFEZ: If that were so.

21 MR ZEAD: If there is a delay benefit from the employer to
22 the respondent (^), he would have come straightforward
23 before the arbitration, there is a delay, penalties from
24 the employer and I need (penalties not benefit).
25 We will simply pay them.

01 HAFEZ: Sorry, this is a critical point, so I just want
02 to understand how it is you are inviting us to read that
03 condition.
04 Does -- do the words --
05 MR ZEAD: This condition cannot be take separate from the
06 original contract.
07 DR HAFEZ: When you say original contract you mean your
08 contract?
09 MR ZEAD: Yes, the contract between the respondent and ENR
10 is not back-to-back basis, as they said in their
11 rejoinder.
12 DR HAFEZ: Let's, so it is clear on the transcript, let's
13 call your contract the original contract, and let's call
14 the agreement between Siemens and Egyptian railways,
15 let's call that the end contract.
16 MR ZEAD: Yes, I'm not a part of.
17 DR HAFEZ: To which you are not party.
18 Now --
19 MR ZEAD: When you get back to our original contract.
20 DR HAFEZ: Yes.
21 MR ZEAD: Article 9.1, can we see it first?
22 DR HAFEZ: Of course. My question relates to how it is you
23 wish us to understand that footnote. What does it refer
24 to?
25 MR ZEAD: Simply states that this revised dates is not an

01 extension of time as those dates, because we can't
02 interpret the dates in two different meaning. The
03 heading states expressly reserved completion dates.
04 DR HAFEZ: You mean revised?
05 MR ZEAD: Revised, sorry, revised completion dates.
06 DR HAFEZ: Do you accept --
07 MR ZEAD: And you see -- sorry, sir. You see in the heading
08 there is a number 2, and there is number 1.
09 DR HAFEZ: Correct.
10 MR ZEAD: So number 2 here, belongs to only the revised
11 completion dates.
12 DR HAFEZ: On one view is correct.
13 MR ZEAD: Not one view. It is very obvious here.
14 DR HAFEZ: Arbitrators always say on one view.
15 PRESIDENT: For safety reasons.
16 MR ZEAD: Yes. So here paragraph 2 only belongs to the word
17 civil contractor column, because Siemens is the middle
18 column.,.
19 DR HAFEZ: Let me see if you agree with that statement.
20 MR ZEAD: Which statement.
21 MR ZEAD: We should interpret the words "until the moment
22 when Siemens is contractually granted an extension of
23 time" to mean, until Siemens is granted an extension of
24 time by the employer under the head agreement with
25 Egyptian railways. Do you accept that?

01 ZEAD: No, it is one point of view --

02 DR HAFEZ: Do you accept it? Is the question.

03 MR ZEAD: As a concept?

04 DR HAFEZ: Is that how you invite us to read --

05 MR ZEAD: No, sir. I invite you to consider an extension of

06 time as per the original contract, our contract, as per

07 9.1, article 9.1, and the four cases that are in that

08 article.

09 DR HAFEZ: You see, I understand that you now say you want

10 an extension of time.

11 MR ZEAD: Yes.

12 DR HAFEZ: I'm not sure that's necessarily pleaded, but

13 let's leave that to one side. But in order to grant you

14 an extension of time we need to have a base date. We

15 need to have a time for completion. And that time of

16 completion could either be the one in the original

17 contract.

18 MR ZEAD: Yes.

19 DR HAFEZ: Or the revised time of completion in annex A of

20 the first amendment.

21 MR ZEAD: Either way, either way, the original time of

22 completion extended. Whether by the amendment or

23 whether by article 9.1, we granted, as a civil,

24 subcontractor, we granted an extension of time. As per

25 article 9.1, as I said.

01 HAFEZ: Okay.

02 That's all our tribunal time.

03 PRESIDENT: Can I ask respondent if they can wait for lunch

04 another 15 minutes.

05 DR ABDEL WAHAB: We can, sir, but the point is, and we are

06 happy for them to go as ever the tribunal wishes, that

07 would not have any impact on our time, and we want to

08 know, because our fact witness is present, at the

09 request and insistence of claimant that he be heard on

10 the first day, we anticipate it might go longer and he

11 will be heard on the first day, because we don't want

12 him to be there and ultimately tell him to come back

13 tomorrow. So we would like to know that.

14 PRESIDENT: I think we can make it, also because we have one

15 factual witness less, so I think we can make it. Then

16 we might speed up the lunch, if we want to, 10, 15,

17 minutes, rather than -- but I think we can make it.

18 DR EL-SIRAFY: Okay. So back to the counterclaim and our

19 closing. Here, after our discussion about the reasoning

20 of the delay and expansion of the time, and for the

21 article 30.1, all what we all agree about, that the

22 contract time period is according to the contract 10

23 months and it expanded to 88 months. And here, I take

24 that the counterclaim into four steps, whether it

25 admissible at all, whether the condition of the delay

01 penalty are satisfied, what Siemens actually do, or did,
02 over seven years, and didn't do, and what Egyptian law
03 requires before any agreed penalty becomes payable.
04 First, the counterclaim is inadmissible under
05 article 29.1, and I will take it shortly because my
06 colleague Mr Zead put it fully in the morning. Article
07 29.1 is the condition which all of us have accepted that
08 Siemens asked the tribunal to hold it, but it is for the
09 binding between the both parties. Second, the
10 conditions for a delay penalty aren't satisfied. The
11 penalty clause is article 10.1, and it is not automatic.
12 It is own wording, the penalty applies unless the civil
13 contractor proves that he isn't responsible for the
14 delay. And from this clause, it is explaining itself at
15 all. So now, our question is who is responsible for the
16 delay. And all of us know that there are other
17 contractors, subcontractors inside this project, and the
18 main for all (^word) relationship for all is Siemens.
19 There were three civil contractors at this project, all
20 other Siemens Sahara 14 buildings averaged a delay 1761
21 days, and other Hasan Allam technology, 21 buildings,
22 180,036 days delay, and other for the Gran-Tech, five
23 buildings, and the delay also is 1,812 days.
24 And during the report, we all had, all the three
25 contractors ran to more than four times delays in their

01 contracted duration, and non-stop orders was issued to
02 any of them (^).

03 And on 5 March 2020 after the last contractual
04 completion date for all the three has already passed,
05 the owner consultant reported 11 of 40 buildings not yet
06 started and moreover Sahara's the most advanced of the
07 three. The only common factor across the three
08 contracts is one, Siemens for all.

09 Now, about the (^word) certificates and the penalty
10 that was never taken. Now I come to what Siemens
11 actually did with Sahara money. Because conduct is
12 usually more reliable than arguments.

13 And here, throughout this project, Siemens (^word)
14 the (^word) certificate and certified amounts due to us
15 at any time during the execution of this contract, and
16 our invoices and it paid them month after month, year
17 after year.

18 Moreover, over the seven years and four months
19 Siemens deducted nothing for our certified dues by the
20 way of contractor delay penalties. And here, the
21 question. According to penalties, what the kind of
22 penalties did Siemens apply on Sahara to show the fact
23 of the delay? As both of them is factors is bonding
24 together. So during the delays I have to apply my
25 penalties according to the fact, Siemens didn't apply

01 any penalty on Sahara.

02 Now, my question is: Siemens never withdrew the

03 worker from Sahara. That's the first question. Why?

04 (Work), even they said about the delays from our side.

05 Second, it never engaged a third party to complete our

06 expenses according to what is applied in the article of

07 the contract. 5.2, according to the amendment entitled

08 to do so.

09 Moreover, it keep applying the contractual price

10 adjustment formula on the records up to 2023. So that

11 means this is good faith and also for the deadlinings

12 applying during the project between Sahara and Siemens.

13 Moreover, Siemens applied the formula and paid for years

14 under the clause that's only permit payment (^) for

15 periods which are not our responsibility, that's proved

16 the responsibility for the delay is not from Sahara side

17 side.

18 Also the deduction Siemens made from our certified

19 dues were not delay penalties, they were not made under

20 the determination that we are responsible for the delay.

21 We have disputed them throughout the deduction without

22 proper contractor of our factual basis.

23 Here, about our according to Siemens conduct. About

24 the fact which happened during the execution of this

25 project, according to the applying the 1 per cent delay

01 penalty against our invoices unless we covered the
02 delay.
03 That is a commercial explanation and it is not
04 unreasonable one. I make two answers.
05 First, it explains the penalty. It doesn't explain
06 the rest. It doesn't explain the reducing of the
07 performance guarantee four times before the last
08 building was handing over.
09 Second, Siemens say it told us it would apply 1
10 per cent penalty. It didn't apply it. A warning is not
11 the deduction. Siemens held the certificates, and if
12 (^word) of (^word) exists it could have taken any time.
13 And the most important part here, when Siemens asked
14 about penalties, so according also Egyptian Civil Code
15 it must prove for us the damage they affected through
16 that.
17 So the delay is also in English and French legal
18 systems no need to prove damage to get the penalty. But
19 in the Egyptian legal system it must to prove the
20 damage. And to prove the good faith for Sahara they
21 asked many times about what kind of the penalty they got
22 from the Egyptian national railways, and the answer it
23 was no answer, no proof of damage, and also under the
24 concept of confidentiality between them. But in our
25 case there is no confidentiality to prove our damage, to

01 prove our rights.

02 Under the Egyptian law a delay penalty is an agreed

03 compensation, and the determination of the damage needs

04 three factors. Number 1, determination of the delay,

05 number 2, the damage caused, number 3, the link between

06 them are established.

07 Article 2024 of the Civil Code. The agreed

08 compensation shall not be due if the debtor proved that

09 the creditor has suffered with no damage.

10 DR HAFEZ: Who is the debtor here?

11 DR EL-SIRAFY: Sorry?

12 DR HAFEZ: Who is the debtor. If the debtor proves, who is

13 the debtor of the obligation paragraph satisfy debtor

14 proves that creditor suffered no damage.

15 DR HAFEZ: Who is the debtor in this case satisfy satisfy

16 debtor and the creditor. I didn't standard you.

17 DR HAFEZ: So the debtor under that provision, who is the

18 debtor. You are.

19 MR ZEAD: We are the debtor.

20 DR HAFEZ: But I understood you to say that the burden of

21 proof lies with the respondent, which the creditor of

22 the obligation.

23 MR ZEAD: Is to prove the suffered damages or not.

24 DR HAFEZ: You have just read a clause that says the exact

25 opposite.

01 EL-SIRAFY: What you -- could you explain?

02 DR HAFEZ: The provision you have just read out says that

03 there is an entitlement liquidated damages unless the

04 debtor of the obligation --

05 DR EL-SIRAFY: No, according to 2024 of the Civil Code, the

06 agreed compensation shall not be due if the debtor

07 proves that the creditor has suffered no damage.

08 DR HAFEZ: Exactly.

09 DR EL-SIRAFY: A meaning of the clear expression for the

10 proving of the damage. That's what I need to focus on.

11 MR ZEAD: So that's agreed in the contract. So this article

12 says the agreed compensation, which is delay penalty

13 provision, which is 10.1, I guess, shall not be due if

14 the debtor, us, proves that the creditor, did not suffer

15 any damage.

16 DR HAFEZ: Exactly.

17 So you are the debtor, and therefore you have the

18 burden of showing the tribunal that they have suffered

19 no damage.

20 MR ZEAD: No.

21 DR HAFEZ: That's not how you read it?

22 MR ZEAD: They didn't prove, and didn't present any damages.

23 DR HAFEZ: Can you just read the provision here.

24 DR EL-SIRAFY: I'll clear it for you now, sir.

25 About the damages that Siemens approved, the record

01 is empty. (Proved). Siemens never said that the end
02 customer, Egyptian National Railway sent them single
03 notice or warning or delay across the whole of this
04 project. And here we asked for the document that what
05 settlement, the final (^word) certificate between
06 Siemens and ENR so the tribunal could see that Siemens
07 was itself penalised for delays. Siemens refused to
08 produce it on the grounds that it was confidentiality.
09 That's what we put our clearly positioning about and
10 proved also the good faith for Sahara. Damage can't be
11 presumed in the construction contracts. It has to be
12 proved and that is on the record it has been get it.
13 The contract provides extra time in four cases.
14 Three for which are Siemens, the party and the fourth
15 amendment date Siemens only to (^word) the
16 complimentation date for the four years (^), and Siemens
17 hold our certificates, took no penalty for seven years.
18 And four months.
19 While reducing our guarantee and paying our price
20 adjustment. What is missing from that picture is the
21 one thing Siemens now asserting, that delays not from
22 our side. And moreover, to follow on, about the penalty
23 delays, its causes and I can to repeat it again, for
24 article 2024, it not due unless damage is proved. No
25 damage has been proved on this record, and the one

01 document that had, would show it, Siemens own final
02 account with the end customer, was refused to submit for
03 us, even we asked that about before.

04 And here, we can summarise the seven points
05 together. One, the parties wrote down in a signed annex
06 that building drawing approval of drawing and hand over
07 of the site and approval of the materials were Siemens
08 responsibility.

09 Two, we analysed the delay during the project not
10 after word six analysis (^) in Primavera building by
11 building and asked Siemens to run its own counter
12 analysis. It didn't do so for five years.

13 Three, Siemens answered, and in its own reply it
14 listed 16 drawings evidence totalling like 854 days, and
15 it is classified those days for designing, material
16 approval, and its own obligations under annex 5. Not
17 one day was classified to us.

18 Four, inside the analysis itself, 23 of 39 events
19 were given no time at all, only 16 carried any impact.

20 That's not (^word).

21 Five, the contract own clause grants extra time for
22 Siemens modification, for Siemens decision, for joint
23 agreement between the parties, and the first amendment
24 for the joint agreement.

25 Six, over seven years and four months, Siemens leave

01 no penalty. Never used its third party right, never
02 terminated, reduced our guarantee four times, returned
03 retention, and they keep paying the price adjustment
04 under the clause.
05 Seven, our building couldn't finish until Siemens
06 finished, four of them were hand over on the same minute
07 as the building that was never our scope.
08 Mr Chairman, that's the contract give us the
09 duration of the 10 months, and this project took 88
10 months on the document written at the time on Siemens
11 own document above all the event consumed the months ...
12 this contract, and last but not least, for the avoidance
13 of the doubt, the claimant doesn't intend any argument,
14 defence or submission, or positioning contained in the
15 written submission, are and we keep respectively reserve
16 the right to reply upon all the arguments defence and
17 submissions and the position in containeddification not
18 expressed at least during the oral hearing.
19 PRESIDENT: Thank you very much, counsel.
20 I wish to guarantee to respondent that the same
21 standard of flexibility will be applied also to your
22 side, of course. I don't think we will have any time
23 issue, because I think we will definitely make it.
24 Before breaking for lunch, if there are questions
25 from my co-arbitrators and then I see a microphone on

01 from the respondent side, so I guess -- go ahead.

02 MR ABDEL MAWLA: Just some clarification.

03 When you said that you are relying on both the

04 public order in the civil law and the contract to get

05 your conclusion, you mean public order? Public order

06 articles? Which you related all. Okay, this is first for

07 clarification.

08 DR HAFEZ: I have some questions. Feel free to have anybody

09 address them.

10 The first question deals with the argument we have

11 just heard. Seems to me that a significant part of your

12 case rests on an assumption that if your counterpart

13 does not exercise certain contractual rights

14 immediately, it waives them.

15 So I have heard you say that Siemens did not apply

16 delay penalties during the performance of the works.

17 You have said they did not withdraw the works from your

18 client. You have also said that they elected not to

19 exercise their right to reassign all or a portion of

20 your work to a third party contractor. Are you

21 proceeding on the assumption, or inviting the tribunal

22 to accept that a contractor like Siemens is required

23 immediately your client is in breach to terminate or to

24 apply delay penalties, otherwise, it is taken as

25 acquiescing in, conceding, or accepting the your pace of

01 performance, and that if it elects not to do so, it
02 forfeits the rights to do so subsequently? Is that what
03 you are inviting the tribunal to conclude?
04 In fairness to you, I'm going to give you the
05 elements of a possible answer that you are going to hear
06 the other side say.
07 They will say that their client was under no
08 obligation to exercise those rights immediately. That
09 it was entitled to take a pragmatic view of the
10 position. They will say that even though your client
11 was delayed, they considered that it was in the best
12 interests of the project not to terminate you, but to
13 assist you in whichever way. What would then be your
14 answer?
15 DR EL-SIRAFY: Here, we need to prove the good faith for our
16 client, as you said, Sahara, that during the execution
17 of the project, they are continuing in a good manner
18 with the other party, and that's number 1, about the
19 good faith.
20 Number 2, about the delays, we are three
21 subcontractor, not only one. So about the delays, now
22 you put the -- judgment that the delay from Sahara, but
23 you didn't hear from the respondent and you take your
24 part as arbitrators, tribunal, to create your judgment.
25 And that's my observe about that.

01 How could you arrange your judgment without you
02 observe the facts of what happened during the execution
03 much the project? Here we are lawyers, and the
04 arbitrators, we put our concept for what happened from
05 the fact it happened. And the delay not only Sahara, is
06 for all the subcontractors, Sahara is one of them and
07 the most quick one who finished their project. That's
08 number 1.
09 Number 2, for how to judgment about the delays
10 about, we arranged that from our reaction inside the
11 project. We didn't say that we have a rich client with
12 a rich company. We didn't put our judgment according to
13 the facts, something like that. We know that the
14 international institutions have very straightforward
15 rules they have to apply during the execution of the
16 projects.
17 So when we ask about what kind of the penalties from
18 the first part as ENR with Siemens, we have no proof of
19 the damage. So how can we arrange our creation of the
20 judgment according to even you said that your client or
21 Sahara is delayed. No, I didn't say Sahara is delayed,
22 I said it is combination between both the subcontractors
23 as project, one project, so during the project they have
24 to say. We need to deliver our site, and they said
25 before that, has am, Al am, we need to put our

01 operation equipment, then you finish your side. That's
02 kind of the operation we saw.
03 So the facts during happening inside the project we
04 got it from are the reaction, we put our judgment
05 through. Thank you.
06 MR ZEAD: Can I add something?
07 DR HAFEZ: I need to you (microphone muted).
08 MR ZEAD: Sir, we are showing that during the practice,
09 outside the papers, they were acting in bad faith.
10 Mismanagement. And if they were suffering from damage,
11 the normal practice from the main employer, which is
12 Siemens, is to take action against Sahara. That's the
13 normal.
14 DR HAFEZ: (microphone muted). They were entitled to
15 take --
16 MR ZEAD: An action.
17 DR HAFEZ: If you let me finish. They are entitled to apply
18 contractual penalties. They elected in good faith not
19 to do so. That's their case. That's what they are
20 saying. Right? That could be right, that could be
21 wrong.
22 MR ZEAD: Yes.
23 DR HAFEZ: And my question to you is: what is your answer to
24 that? Because your case seems to be premised on an
25 assumption that just because they didn't apply those

01 penalties immediately they must be taken to have
02 accepted your client's performance.
03 MR ZEAD: Not assumption.
04 MR NASSAR: I'll reply to this question.
05 So they will not take such an action towards Sahara,
06 because Siemens itself, it is already late, as we stated
07 in our hearing. There is so many delay events that is
08 caused by Siemens itself.
09 So it is not going to be logical for them to go and
10 file a delay penalty on my work when it is depending on
11 the work originally.
12 So it is more a matter of keeping the work flow
13 going since it is their fault, indirectly, so they will
14 not charge penalty delay on Sahara.
15 DR HAFEZ: You seem to be restating the position.
16 You are saying that surely they have not applied
17 those penalties because surely they knew or must have
18 known that they are in critical delay. That's your
19 position.
20 MR NASSAR: Yes.
21 DR HAFEZ: That's not their position.
22 I'm asking you.
23 MR NASSAR: -- yes.
24 DR HAFEZ: What is your response to their position they are
25 acting in extreme good faith.

01 NASSAR: We are acting in good faith -- they are not
02 acting in good faith doing that. Because when you are
03 in default, when you are in fault of doing the work in
04 the timeframe that you should be done, you are not going
05 to act upon that. You know that you are in fault
06 already, so you are not going to continue to apply the
07 penalty.

08 DR HAFEZ: I think we have taken this as far as we can.
09 My last question deals with the very question of
10 delay.
11 Ordinarily, -- maybe I just should ask you one
12 question. Do you accept that somebody might be in delay
13 but not in critical delay? There could be delay, but it
14 might not be critical. Do you accept that as
15 a proposition.

16 MR NASSAR: What is critical delay, what is the definition
17 of that.

18 DR HAFEZ: Delay results in displacement of the time for
19 completion.

20 MR NASSAR: Who decides what is the criticality of such
21 a delay?

22 DR HAFEZ: I'm asking you whether conceptually you accept.

23 MR NASSAR: But to reply to that question you need to
24 understand the difference between them, and it is very
25 subjective.

01 HAFEZ: Let me ask you this, because we don't have any
02 fact witnesses. I meet -- the schedule does not
03 contemplate an exchange between (^word) the one time
04 I have to ask you this. (Us).
05 You have obviously made a forensic decision at some
06 point that only counsel with make, that's request I'm
07 asking counsel team and not the experts, not to rely,
08 not to run, present this tribunal with a CPM, critical
09 path methodology, delay analysis. There was
10 a particular reason why you have made that decision?
11 SPEAKER: I think your answer needed deliberation so take
12 your time to deliberate late.
13 MR ZEAD: I (microphone muted) . Am I heard -- which
14 stated, I quote, the expression of intention may be made
15 verbally, in writing, or by customary sign, and may also
16 be made by conduct, which why circumstances of case
17 leaves no doubt as to its true meaning. And
18 paragraph 2, the expression of intention may be implied
19 as our case unless the law or the parties have agreed
20 that it must be expressed."
21 (doc).
22 So either way, he didn't.
23 So implied the meaning of the didn't take action is
24 they were not -- we were not in delay. They accept
25 that, and they accept that we were not in delay, the

01 whole project was delayed, Siemens was delayed in the
02 designs, Siemens was delayed in the preparing designs
03 for Sahara to build upon, and they were late in giving
04 us the landscape drawings, all on which delay our time
05 schedule.

06 DR HAFEZ: You see that's a question --

07 MR ZEAD: I am just answering that.

08 DR HAFEZ: I understand article 19, and the position, their
09 case is they have consistently reserved their position,
10 which is a challenge under article 90, so you are going
11 to have to deal with that. So in order to imply a legal
12 position from conduct you need to look at the conduct in
13 its totality.

14 MR ZEAD: So the question should be direct to do Siemens why
15 they didn't apply any of the --

16 DR HAFEZ: We are going to of questions for Siemens. My
17 question to you is their case is they have consistently
18 reserved their position.

19 MR ZEAD: Reserving it does not mean that I'm in delay.

20 MR ZEAD: Okay. That takes me to the second question. Why
21 do you not run a CPM in this case (Dr Hafez speaker).

22 MR ZEAD: I'm not the technical --

23 MR SOLIMAN: How do you know the critical path without
24 inserting Siemens milestones.

25 DR HAFEZ: You must do so salary.

01 SOLIMAN: They refused. It was not inserted in the
02 contractual baseline nor the revised detailed baseline,
03 so it was not inserted in the time schedule, so when
04 they executed the trenches and manholes it is not
05 included in my contract, not included in my time
06 schedule and never can be proven, so it is proved by
07 fact in emails, stoppage,.
08 DR HAFEZ: Absolutely, that's why you have delay analysts,
09 and they are entitled once appointed to look at the
10 contemporaneous documentation, they are entitled to ask
11 for it sol as well if all activities are inserted, if
12 they act in good faith, and insert their
13 pulling cables inserting the power cable for the
14 building, (^word) the. This was refused (^).
15 DR HAFEZ: Absolutely. Any native has an impact on the
16 completion of the works has to feature in a delay
17 analysis. That's not how you have run the case.
18 MR SOLIMAN: I run it with actual events.
19 DR HAFEZ: Okay.
20 MR SOLIMAN: Not -- because it is not included. If what was
21 included it would be so simple. We would not be here.
22 If it was included.
23 DR ABDEL WAHAB: Can I just, for clarity O this last point,
24 since Mr Aly, if I'm not mistaken, is that an argument
25 or a statement of fact you are presenting sir? Had all

01 the answers you have given, they are arguments or
02 statements of fact?
03 DR HAFEZ: We are quite clear he is part of the counsel team
04 and he is in the giving evidence. We understand that.
05 DR ABDEL WAHAB: Thank you.
06 DR HAFEZ: It is not a statement of fact, it is an argument.
07 PRESIDENT: Can we stop for lunch.
08 Can I ask you to be back at 2.30.
09 DR ABDEL WAHAB: We can, Mr President. If I may.
10 PRESIDENT: 45 minutes.
11 DR ABDEL WAHAB: You recall I had my mic on but you probably
12 lost that. I just want to make sure, if my colleagues
13 can confirm, they have taken the time they need to
14 present their oral arguments? Can we please have that
15 confirmation on record?
16 MR ZEAD: (microphone muted).
17 DR ABDEL WAHAB: I do not accept that, Mr President. That's
18 the points.
19 MR ZEAD: Dr Mai said for avoidance of doubt the claimant
20 does not intend that any ... contained in its written
21 submission should be treated as abandoned merely because
22 it has not been addressed orally during this hearing.
23 PRESIDENT: Of course.
24 MR ZEAD: And the claimant relies on a statement of claim,
25 statement of reply, and all the submissions, and our

01 next post-hearing briefs.

02 I just want to make a clear point.

03 MR ABDEL MAWLA: I need to clear it. You said it is not
04 fact, it is an argument, and you related what you have
05 submitted.

06 DR HAFEZ: I think there is confusion. That's not the
07 question. Have you been given enough time to present
08 your oral argument. We understand that your written
09 argument --

10 MR ZEAD: As the time, yes.

11 DR HAFEZ: That was the only question.

12 PRESIDENT: Okay. So we resume at -- I don't think we will
13 have a wedding lunch, so I think that 45 minutes will be
14 enough, if you don't mind. Then we will have time for
15 opening statement from respondent, and then we have
16 a factual witness that you can assure it will be over by
17 the end of the day. Thank you very much.

18 (2.46 pm)

19 (The luncheon adjourn

20 (2.32 pm)

21 PRESIDENT: We can start.

22 Well, actually, we miss one, the lady.

23 MR ZEAD: Can I make a clarification before the respondent
24 begins?

25 PRESIDENT: About?

01 MR ZEAD: All the questions that were asked? I just want to
02 make a clear -- because I guess the tribunal didn't
03 understand what I finished. I will not take 30 seconds.
04 PRESIDENT: Okay.
05 So we start with the record. The floor is yours,
06 claimant.
07 MR ZEAD: I just want to clarify that the submission on the
08 discussion and the exchanges during the hearing today,
09 including questions raised by the tribunal, and the
10 parties, response to those questions are made for the
11 purpose of oral argument only. They are not facts, and
12 they should not be constructed in (^word) as facts. In
13 particular, any answer or response given, the
14 claimant -- by the claimant during the hearing, to
15 a question raised by the tribunal, is provided in the
16 context of oral argument only, and for argumentative
17 purposes only, and should not in itself be comprised as
18 factual admission and abandonment of any position or
19 amendment of the claimant pleaded case.
20 The claimant reserves all the rights to address and
21 respond to any such matters raised by the tribunal today
22 and the respondent including any questions raised in
23 post-hearing briefs based on the complete transcript and
24 the record before the tribunal. That's it. Thank you.
25 PRESIDENT: Thank you, counsel.

01 We have respondent opening statement. You have,
02 respondent, 2.5 hours in total. Then we have been asked
03 to stop at 4 for our reporter, so it will be one and
04 a half hours from in our, more or less, then you will
05 have your remaining one hour, and then we will move to
06 the witness for the 45 minutes, 50 minutes, more or
07 less, are and so we should finish by the end of the day
08 as scheduled.
09 So respondent, you have the floor.
10 opening submissions by Mr Dr Abdel Wahab
11 DR ABDEL WAHAB: Thank you very much. Stop me whenever you
12 feel obliged to do so. We are hear to assist the
13 tribunal.
14 Let me start by saying this. There are few words
15 that define the case. One is breach and preach, with
16 a B and a P. And that is basically the sense that we
17 have seen at every juncture claimant has been objecting,
18 planting reservations, including even before we start
19 right now. That can only mean that sensing that the
20 merits can no longer carry the case, claimant appears to
21 be planting those objections manufacturing those
22 aanomalies in hope that when thrive everybody relies it
23 may recast defeat on the merits as a grievance of due
24 process.
25 In any event, what I'm going to say is basically

01 that simply claimant is mining the procedural terrain,
02 knowing that the substantive grounds gives way.
03 Everything I will say to this tribunal will be
04 supported by evidence. I will start, to give an idea,
05 I'm going to plead, together with my dear colleague,
06 Mr Karim Ramsis, I'm going to do a mapping, overview,
07 that will take some time, then I will move to the
08 specification of the presentation. But that is intended
09 for a reason ... I'm compelled to something very
10 important. What the tribunal has just heard for the
11 course of half of the day from Sahara calls for
12 a measure of intelligent cleansing, if you may ...
13 before any of it is permitted to cloud the issues that
14 actually matter in the case.
15 Once that noise is cleared, the case must be brought
16 back to its essentials and fundamentals. And
17 importantly, the case that Sahara itself chose to plead.
18 We are framed, we are into that straitjacket, and the
19 record is now complete with the parties both agreement,
20 such that no further evidence can be adduced, and Sahara
21 itself objected even to us getting on record exhibits
22 that have been referred to but omitted.
23 Before I start I do acknowledge that the mind cannot
24 give its full attention to an argument while unanswered
25 questions are actually lingering at its margins.

01 I have noted the questions in the tribunal, so let
02 me confront those questions to the extent I can quickly,
03 so that we clear the tribunal's mind, and path, because
04 then I will ask you to walk with me through the evidence
05 undistracted in respect of respondent's case. Briefly,
06 sir.

07 What we have identified in that record from the
08 transcript, so one, the first point comes at page
09 [draft] 20 from the transcript, lines 25 and after,
10 where Mr Aly himself kindly said, and I'm quoting him
11 "which led Sahara was directly awarded the project
12 without any bidding". He made that statement. That
13 statement is completely wrong.

14 Not that it matters for the record, but it matters
15 for the credibility. As a matter of fact, Siemens is in
16 the business of doing work, not in the disputes
17 business. Siemens cannot proceed with a contractor or
18 subcontractor without tendering. To give an idea, and I do have that, not because I want to
19 admit it on
20 record, but it to show that, just to give context,
21 Sahara was bidding, conserve, and Inertia (^chk name),
22 Sahara was not the first choice. Inertia effectively
23 rejected to work because they were fully booked. This
24 is just to penultimate it to bed, not that 23 it
25 matters, but it does give the clear indication that at
the first occasion what has been state asked entirely

01 incorrect.

02 So that's my first point on this.

03 Going further --

04 DR HAFEZ: Do we have a document?

05 DR ABDEL WAHAB: No, we don't, because that has been an

06 allegation, it is just the accuracy -- it is not on

07 record. We can of course.

08 DR HAFEZ: This is impeachment evidence, essentially (^).

09 DR ABDEL WAHAB: Indeed, sir. Just a response to that.

10 That's the first point.

11 The second one from the transcript as well, going to

12 draft page 28, where there has been references to an

13 allegation, and again (^word) saying, for the first time

14 showed you an inspection report and said, and the

15 manipulating of the IR. The document has never been

16 presented, Sahara, talks about manipulation.

17 This is again a case not being run by the claimant,

18 there is no reference to manipulation, unauthentic

19 aspects, and we would caution against that, because if

20 that is going to be open, then basically the case is

21 different. So I would caution against that completely.

22 You have also heard -- I think that one is important -- that's at draft page 32, lines 5 to 14,

23 reference, and I'm quoting:

24 ", this time by Mr Zead saying:

25 "The claimant wishes to clarify that the

01 presentation is being used for illustrative purposes
02 only, to assist the tribunal in the factual and
03 technical matters that might be addressed during the
04 hearing later."
05 (doc).

06 It says that the presentation provides a visual
07 illustration for certain factual and technical
08 matters ... "going on.

09 The concern about that is that this is
10 a misstatement, again, there is no technical expert,
11 there is no fact witness they are running. The fact
12 witness has been withdrawn, and stricken off, with their
13 acceptance, for obvious reasons, other than medical
14 issues.

15 So there is effectively nothing, the case they are
16 running is not supported by factual or technical matters
17 matters.

18 One example of that, you have heard and lot and seen
19 a lot about design drawings and shop drawings. Not
20 a single expert has been put forward on technical
21 matters. This simply is nonsense. It is balderdash,
22 there is absolutely no basis for it. Not just that.

23 The answer to this does not come from me, it comes from
24 Dr Mai's own mouth when she said effectively at draft
25 page 112, lines 11 and 12 from the transcript, and I'm

01 quoting, and:
02 "Conduct is more reliable than arguments".
03 This is the answer to what has been put before you
04 regarding so-called factual and technical matters.
05 Good enough that this tribunal is not required to
06 descend or drown do the sea of technical or factual
07 matters because we submit -- and I will prove it to
08 you -- that the record is abundantly clear. Again, I'm
09 going to clear the noise.
10 Another one.
11 I go now to page draft 43, you have been addressed
12 on article 29.1. What I will ask you to do is bear with
13 me, I'm going to address the tribunal on that, to show
14 at the very least why their argument does not succeed.
15 Not only because of potentially the double standards,
16 but because of the obligation on the 29.1 is a shared
17 obligation. It is not an obligation on us. But I will
18 come to that in due course.
19 The other point, page 64, exchanges that followed
20 Dr Hafez and Dr Abdel Mawla, kindly using different
21 terms, Egyptian public policy and Egyptian public order,
22 the reference to article 388-paragraph 1 of the Egyptian
23 Civil Code, and the articles to 30.1 (i) to (iv). What
24 I will say there is the Egyptian public policy has no
25 role to play at all, because to suggest that we then

01 have the absurdity that all FIDIC contracts,
02 construction contracts would effectively mean the
03 parties agreements over certain time limits are
04 effectively tantamount to a waiver or steam based
05 arguments on admissibility would against Egyptian law.
06 No one can ever claim that, no one has ever succeeded on
07 that, that has nothing to do with limitation periods.
08 In all instance ... in Italian law, this has nothing
09 to do with limitation periods. It is contractual time
10 bars regarding rights, and the parties must be held to
11 the rights and obligations.
12 Going further, to page 74 of the transcript, and
13 that is the hour by our learned colleague Mr Nassar
14 spent an hour with you my sympathies regarding an
15 inability to follow, I could not. But there is an
16 explanation. He showed you an annex, annex 5 and 7 and
17 walked you through it. The clear answer to that is that
18 there is clear confusion, hopefully unintended and
19 hopefully it is meant in a bona fide manner, confusing
20 obligations with delay analysis.
21 The fact that an obligation exists does not mean
22 that it has not been performed, does not mean it has
23 been delayed, does not mean that that delay was
24 critical, and I note that claimant, our learned
25 colleagues, apparently do not understand the difference

01 between critical delay and delay.

02 So effectively, what you have heard is about

03 obligations. The case is not about obligations, not

04 about Siemens obligations at least, it is about their

05 obligations which has not been performed.

06 Going forward, amendment No. 1, we know that, and we

07 have seen the tribunal saying the reference with the

08 comma, we'll come to that, but I will say this now,

09 because it puts it to bed. Claimant's answer

10 effectively puts an end to the whole debate, because

11 they said our case does not depend on calling the

12 amendment an attention of time. They even answered when

13 the tribunal asked, that the reading is that does not

14 refer to the main contract at all. That is the answer.

15 Not only that, the production of documents phase, at the

16 request of our colleagues maintained did not include two

17 important things. They never requested extensions of

18 time under the main contract. They didn't put forward

19 that request. Now we have clarity, because their

20 position is that of course the main contract, they are

21 not back-to-back, we know that, and so it is irrelevant

22 to their case.

23 Now, that means that the part after the comma which

24 is effectively stating that at the moment Siemens is

25 granted a contractually agreed time limit, falls apart,

01 because this is not the case. They have been asked
02 straightforward face off question whether the reading
03 would refer to the ENR contract, they said no. So
04 I think that makes everyone's life easier.
05 Going forward with page 87, and again, the one hour
06 delay, and the confusion regarding this. I want to
07 correct something. Because our colleague, Mr Nassar
08 said those four categories are precisely the category --
09 that's draft page 87 lines 1 to 16, the category that
10 drives our delay analysis.
11 I am sorry to say there is no delay analysis on
12 their case. The only delay analysis that has been done,
13 despite not being required to so, is by our expert. And
14 I'll come to that in a moment, because the real
15 questions to be asked, I will ask them shortly, sir.
16 I addressed the bidding issue. Now comes the most
17 important one, perhaps, in the tribunal's mind, the
18 termination. Right?
19 What about the termination? And whether the
20 contract should be terminated or not.
21 What we say about that is very clear, is that
22 a contract.
23 Nation. The tribunal may wonder, and Dr Mai put it
24 forward, why Siemens did not simply take away the work.
25 The answer is very simple (termination). It lies in

01 what Siemens was and what it stood for at the time.
02 Siemens was not an employer, it was a main
03 contractor reporting to ENR, that's the Egyptian general
04 national rail. It had no free time to spare. We
05 already addressed the point about the bidding, but it
06 was the main contractor, effectively, on a live project,
07 that it is quintessentially to the Egyptian national
08 rail and the republic at large, with 14 buildings,
09 sites, already occupied, with a subcontractor, that's
10 very important, when you put the pieces of the puzzle
11 together, already paid in advance, holding Siemens
12 drawings, approvals and materials, lived through the
13 contractor's withdrawal of Alkan, the earlier one, which
14 by the way Alkan was not replaced by Sahara. Alkan was
15 replaced by Hasan Allam, that's another contractor.
16 Knew exactly what a second one would cost. Prices
17 different, re-tendering, remobilisation of 14 sites,
18 a new contractor inheriting another's concrete, and
19 actually defects, and years lost to ENR that no penalty
20 clause would ever recover because the cap is
21 10 per cent. And we have crossed that threshold long
22 before.
23 Termination was not adequately punishing Sahara. It
24 would actually have caused further prejudice to Siemens
25 in that sense, beyond remedy.

01 Siemens also had a duty to mitigate. We have been
02 accused the not acting in good faith. Imagine if we
03 terminated them, despite carrying them all through.
04 What we have done, effectively, we have carried them
05 how? A second advance, letters to the bank, that in the
06 record they are using against us to say it is an
07 extension of time, despite the clear language saying no
08 extension of time. Payments made already to Sahara's
09 own work force, so that the men was zero manpower on
10 site by THE, the house of experts who we would have
11 confronted him with that during cross-examination of the
12 records, and that's why he was wise nod to appear in
13 that sense, would not 6 effectively remedied all that.
14 Every one of those acts was directed at one
15 objective, completion.
16 And every oneness accompanied by a written
17 reservation of Siemens rights, not just that, a clear
18 statement that we are applying LDs to you, there are
19 letters saying we are applying LDs to you. That all
20 happened throughout the life cycle of the project. That
21 gives Siemens a choice between termination and
22 performance. Bearing in mind that all throughout they
23 were promising performance and reneged.
24 Article 148 requires exercising a choice in good
25 faith and Siemens did.

01 Now, it shows the path that we had hoped would
02 minimise loss to everyone, including Sahara, but what
03 actually has happened, and that is the proper question,
04 if Sahara did not benefit, and they say seven years, why
05 did they stay on site seven years. Not why did we
06 terminate? Why did they stay. Because they benefited
07 from that.

08 There is a sheer absurdity to argue for Sahara to
09 say terminate us, why not? The absurdity is as follows.

10 It would mean that a main contractor who gives
11 a struggling and defaulting subcontractor chances,
12 certifies that the subcontractor was never at default.

13 So by continuing and not terminating, would effectively
14 absolving them from their default. This is an
15 irrational, illogical, absurd argument.

16 The patience is a confession. They blame us for
17 being patient. But the only safe course on receiving
18 the report of no manpower available, say, hi, goodbye,
19 you are out.

20 To expel them from these 14 sites, slight their
21 promises ... project management. You are not there,
22 sir, with all due respect to act as project managers.

23 Nor do they are hold forbearance against the party who
24 showed it.

25 The right to terminate is a right, it is not a duty,

01 and its non-exercise is not a waiver.

02 And so the agreement says as well.

03 Siemens kept Sahara because Sahara kept promising

04 and defaulting. And we reached a point where Siemens

05 was all in with all the money, all things taken out of

06 it, that it cannot simply easily have an easy way clean

07 out, unless we file against them the case.

08 Now, that road took seven years. That is the

09 measure of Sahara's performance, not of Siemens'

10 judgment. The law does not require a creditor to injure

11 itself to prove that its debtor is in default.

12 Now, with these aside, and the noise, I now go.

13 Now, that would be a bit uniter, do you opening, but

14 I will say this. Sahara in its oral letters to

15 Lucilius, in letters 71 to 73, these are in the public

16 domain, but they are not ... Latin but anyway, for our

17 court reporter, for the man who does not know which port

18 he is making for, no wind is the right one.

19 That is Sahara's claim in a sentence.

20 It has not defined periods of delay, it had not

21 identified any causes of delay, it has no proven case on

22 damage or cost, they acknowledged that these are the

23 three limbs, they agree with us in terms of liability,

24 and therefore, they had no destination.

25 Every event it points to, advance payment, handover,

01 change orders, the CTC building, all the indicators that
02 Mr Nassar kindly walked you through, as I mentioned
03 a confusion between the obligation and delay aspects, is
04 a wind it hopes will carry it somewhere. The absolute
05 irony is that Sahara's case throughout its submissions
06 has been a constantly moving target. The difficulty is
07 that they have been constantly moving away from the
08 target. Because they lack the compass. Let me give you
09 an example of how they moved away from the target.
10 Let's put it, effectively.
11 The one hour focus today that you heard is on the
12 time impact analysis that I told the tribunal existed in
13 RE1-15 to 20.
14 The tribunal will have read the word and will know
15 that the submissions make zero reference to that time
16 impact analysis. That they made in 2021.
17 Which was rejected by Siemens.
18 For good reasons.
19 Following that rejection, they made no monetary
20 claim. That time impact analysis had no none try claim
21 N request for extension of time, they is it not respond
22 (monetary), to Siemens' rejection. They stayed three
23 years dormant until they made the first notification
24 in September 2024. What does that tell the tribunal?
25 Not just that, when they filed this case afterwards, in

01 few weeks later, they never mentioned once the request
02 for arbitration. The statement of claim, the reply. No
03 mention of the TIA that today they champion. I'll tell
04 you why. You also heard nothing about their own
05 expert -- sorry, a mistake. The oather of the so-called
06 report, because we don't call him an expert, and the
07 tribunal will now have its day, including us, tomorrow,
08 unless and hopefully they can tell us whether Mr Omar
09 Abdullah is coming tomorrow or not, because I would hate
10 to spend my night preparing and ultimately another
11 medical incident suddenly surfaces.
12 Why they do that? Because they realise there is no
13 delay case. The only independent expert in this is
14 Mr Abdelbakey ... not a single reference to Mr Omar
15 Abdullah. What does that tell you about their case.
16 I invite the tribunal to draw the inference ... they
17 realise that is the only document. It didn't help them,
18 and we understand why they didn't raise it, because when
19 you see tomorrow, first of all, are that TIA is
20 a prospective analysis, today we are as-built versus as
21 planned analysis versus windows.
22 Let me tell you the greatest surprise of all. That
23 was done in 2021 to project potential completion dates.
24 It was rejected because it was totally wrong. Their
25 claims run today until 2025. Between 2021 and 2025

01 there is no even TIA. The TIA stops in 2021. How can
02 they resolve that conundrum? You will not get an
03 answer.
04 Back to Seneca. So inqua actually warned in his
05 letter that the sailor who does not know his sport,
06 hence Sahara, no wind is favourable. Sahara sailed this
07 claim for two years without naming the port. And it now
08 asks the tribunal to certify that every wind blue from
09 Siemens. That contract has a very interesting provision
10 agreed by both parties that concurrency is not even an
11 option, because Siemens must be solely liable for the
12 critical delay. An exercise that they did not
13 undertake, and no one, include Mr Dull is able to
14 ascertain. So there is simply no case.
15 HAFEZ: (microphone muted) how are we to understand that.
16 DR ABDEL WAHAB: The point is, thank you very much, you will
17 have heard that our colleagues on claimant's side
18 referred to article 9.1, if I'm not mistaken, please
19 correct me if I'm mistaken anything. They never
20 mentioned to you 17.8, because 9.1 talks about the
21 general provisions on time, 17.8 is the one.
22 Now, even 9 lists the basis, which is the
23 exceptional basis where you can claim delay, there is no
24 back-to-back, we have agreed. 17.8 makes an express
25 statement that the parties entered into this agreement

01 with Siemens not be liable for anything other than delay
02 solely attributable to it. Why? Because as
03 a responsible contractor they know very well that people
04 spend much money, time and cost on issues of
05 concurrency. So they made it abundantly clear from the
06 very beginning that this is not something that can be
07 disputed. And only when a subcontractor, effectively
08 Sahara, is able to conduct a delay analysis, with an
09 expert, and they would have been able, then, to request
10 documents, whatever, document production phase, a proper
11 analysis would be conducted, concurrency excluded,
12 because it is an allocation of risk provision. It
13 allocates the risk of concurrency to Sahara not to
14 Siemens.
15 Sahara enters into that agreement with full
16 knowledge, and they have said three times, I counted it,
17 that they abide by the contract. But they never walk
18 you through the provisions. They cherry pick. And the
19 answer to that is that they know very well that they
20 can't make a delay case, and so the only way is to cloud
21 the environment, the path, are so that in hope you may
22 give them something. It doesn't work this way.
23 So effectively it is a risk allocation and they have
24 accepted that. Now,, yes.
25 DR HAFEZ: To be short. It is such an extraordinary term,

01 that in all likelihood the tribunal will want to --
02 there is at least the likelihood that it will be
03 interpreted to the extent it can be interpreted against
04 your client, because it is obviously the beneficiary of
05 this extraordinary term. Essentially, if we accept your
06 position, it would appear that your client would be able
07 to apply delay damages although it is in concurrent
08 delay. I know there is no formal prevention principle
09 under the applicable law, at least on one view, but that
10 would be extraordinary.
11 You say it is --
12 DR ABDEL WAHAB: (Simultaneous speakers - unclear) ^.
13 DR HAFEZ: They got the benefit of the bargain, they are
14 stuck with it, is that -- is there more to it?
15 ABDEL WAHAB: Yes, there is more, and actually it doesn't
16 raise that concern, sir, because if I understood
17 correctly, and please correct me if I'm mistaken, your
18 view is that first of all there is no prevention as
19 a matter of law, but I think you would say that they may
20 land a windfall for potentially someone being liable
21 concurrently, and benefiting in part from its
22 wrongdoing. Is that --
23 DR HAFEZ: Your client would.
24 DR ABDEL WAHAB: That's the point.
25 DR HAFEZ: Yes, that's the point.

01 DR ABDEL WAHAB: The answer is simple. Had this been
02 a project that was implemented 10 months, in 11 months,
03 in 12 months, we would run into that conundrum, because
04 effectively the delay damages may raise that concern,
05 but after seven years with a cap of 10 per cent we are
06 well above and beyond any likely theoretical or
07 practical allegation that this can even arise.
08 So the specifics of this case does not lend itself
09 to the situation where we have concurrency, and then
10 Siemens benefiting from that.
11 For all what we have on record, Siemens has been
12 prejudiced, and has been effectively at loss.
13 Now, why did Siemens not commence arbitration
14 claiming these amounts? One, we represent Siemens and
15 we are expensive, so they are going to end up paying
16 potentially more than what they can claim.
17 Secondly, the idea Siemens is not in the business of
18 disputes, they are in the business of construction.
19 While they are await what ENR intends to do,
20 ultimately they are putting their house in order.
21 So the reality is, as part of this risk allocation,
22 is that the harm that we have suffered over that period,
23 despite the promises, the pledges, and the
24 representations of performance, extend well above and
25 beyond the modest LDs that we claim. By the way, as

01 a matter of Egyptian law the LDs, the burden of proof is
02 on Sahara, not us: the tribunal cannot with all due
03 respect think that there is any windfall with a cap of
04 10 per cent after all what Siemens has done, with Sahara
05 carrying them, for that period. And the suggestion that
06 LDs are reduced to a back-to-back applied Les by ENR is
07 simply a farce and an absurd suggestion by our
08 colleagues. For a number of reasons.
09 One, the contracts are not back-to-back. So that's
10 the fact.
11 Legally, the suggestion that LDs apply to them is
12 conditional upon ENR applying LDs, simply nonsensical
13 because it reduces a legal remedy, a contractual
14 framework, to effectively one cause only. When the
15 lapse of time in and of itself, and that's the whole
16 purpose of a LDs provision, is that the lapse of time in
17 itself carries with it an embedded genetically inherent
18 prejudice to Siemens. Let alone the other elements of
19 what we have done in sort of building the temporary
20 aspects, the cost, we even completed some of the works
21 at our costs.
22 So there is absolutely no basis to suggest
23 otherwise. What they should have done is to say that
24 this lapse of time, all what Siemens has done, has not
25 caused them harm and evidence it. Then the burden

01 shifts. They have not done so.

02 So not to give effect to that provision effectively

03 means you disregard the parties' agreement. Which as

04 a matter of fact they say they adhere to in that sense.

05 And we will go to that --

06 DR HAFEZ: Could I just ask you this.

07 I know your position on back-to-back, and it seems

08 not to be contested between the parties, so there is

09 nothing between our this. But there is an element, at

10 least on one view, of the back-to-back, that results

11 from the footnote, the caveat in the footnote 2 of annex

12 A of the first amendment. There is an element of that.

13 At least on one view, that you say they never sought

14 production of the relevant documentation.

15 ABDEL WAHAB: At all. 100 per cent a now we have

16 clarity. Initially, I thought the non-request from

17 their side is a question perhaps with all respect meant

18 to everyone, maybe not being well versed in construction

19 arbitrations.

20 But the answer came today. Not only do they

21 acknowledge the independence of both contracts, which is

22 right, but they don't even read the provision as the

23 tribunal may have read it on one view. Which makes the

24 life of everywhere much easier. Because it is now not

25 just a question of evidence, it is a question of simply

01 a proviso, that condition, that caveat, I'm quoting the
02 three words Dr Hafez referred to, effectively, means it
03 does not arise, because one, they are not fulfilled,
04 secondly you don't need to look beyond the contract, on
05 their case, I'm only answering their case, I don't need
06 to do anything more, they are put to strict proof on
07 that, and they have failed.

08 Effectively they have not requested documentation,
09 given you the explanation, and I'm afraid, speaking of
10 the project, the train of them reconsidering their
11 position has left the station.

12 So if they even try to reconsider it in the
13 post-hearing, that invites a further inference from the
14 tribunal, again, are that their case is a moving target,
15 moving away from the destination.

16 So because of all that, I'm afraid to say, that
17 proviso, that condition does not arise, and precisely as
18 the tribunal put it, the entry into the amendment number
19 1 was not intended, one, to give them any leeway as to
20 extension of time, more to mention to them in any way
21 that these revised completion dates absolve them from
22 liability for delay damages. It is conditional.

23 And being a responsible contractor, as Siemens is,
24 they said, until the moment, we will then consider, in
25 light of the negotiations we have with you, with whether

01 there is room to reply.

02 Because they are not in the business of profiteering

03 at the ... paid Sahara and even paid their workers.

04 So in light of all of this, I'm afraid to say, that

05 the tribunal does not need to concern itself any more

06 with annex 7, article 7.1, or -- yes, in the first

07 amendment, because it simply states what it is. There

08 is no extension of time, are the condition has not been

09 fulfilled, they remain liable, the record shows that

10 contemporaneously.

11 Now, what Sahara does, as well, is that they have

12 actually ignored the procedural maxim that what is not

13 on record does not exist. The period of compensatable

14 delay is not a record, so in law it does not exist. So

15 Sahara is confined to its pleaded case, as the master of

16 its own claim, I should say the baseless claim.

17 A recent study of construction claims, highly

18 recommended, called analytical instability of modern

19 construction claims, causation, proof and entitlement",

20 it is not on record, I'm not asking to put it on record,

21 but the author is actually in this very hearing room,

22 and a prominent member of the tribunal, observes that

23 the modern delay claims tends to fail in a particular

24 way, in a theoretical and abstract manner, which is

25 known to everyone who works in construction arbitration.

01 Immense effort is spent in reconstructing chronology,
02 and ... what that chronology is supposed to prove.
03 You have heard several references to events. To
04 buildings, to whatever. Which with my limited
05 intelligent ability I could not follow, but I can tell
06 you, much of it is not in the submissions. But the good
07 thing is you don't need to concern that, because that's
08 the noise that clouds the main issues in dispute. This
09 is clearly an overengineered claim. The tribunal is
10 about to examine something rarer even with them, and
11 much less forgivable, I have to say.
12 Sahara has done two things. Not only they have not
13 been able to prove a chronology and how that results in
14 critical delay, they have not provided the chronology in
15 the first place.
16 So no matter how hard the tribunal may try to help,
17 which I would caution against, because at the end of the
18 day these are responsible parties, responsible for their
19 choices, this is not a case that lends itself to
20 a splitting the baby. Which I have to say, okay, reject
21 the claims, reject the counterclaims. It doesn't work
22 like that at all, because they themselves said, and
23 Mr Nassar I think as well said it, it is either us or
24 them, are in different words.
25 Either they are right on the delay case, which is

01 not there, or we are. If we are, it is a zero sum
02 equation, we get our claims which are capped at
03 10 per cent on the liquidated damagings as well, so it
04 is really nonsense to the other unsubstantiated (^word).
05 Let me say a word. They have assembled a great deal of
06 paper around an empty space, and it asks you to mistake
07 the paper for the proof.
08 The arguments for the evidence, the allegationings
09 for the facts, they make an extremely exaggerated claim,
10 and I told you everything I say will be proven when I go
11 through the slides with you, and ask the tribunal to
12 grant it. Even when all roads are blocked, and all
13 ports do not lead to the destination that they don't
14 know.
15 Let me say a word about the claimant, because it
16 deserves one. They have spent part of their opening
17 advocating for and showcases how good and competent they
18 are. A number of jobs, Mr Aly kindly walked us through.
19 Remember I told you the mistake about the bidding, the
20 inaccuracy. But be that as it may, if I am even to say,
21 and to accept what we have heard today, this means they
22 are competent enough to do the works. Why did they fail
23 in our project? For reasons attributable to them.
24 But Sahara building systems undertook in 2018 to
25 build 14 technical buildings along the Egyptian railway

01 corridor. This was a serious work, but somewhere,
02 somehow, between the tender and the last hand over
03 in May 2025 --
04 MR ABDEL MAWLA: What do you mean by fail?
05 DR ABDEL WAHAB: They failed to execute the project within
06 the 10-month period.
07 MR ABDEL MAWLA: Siemens?
08 DR ABDEL WAHAB: Siemens were there, say, they are running
09 the delay claim, they are claiming against. We THE
10 there, and I'm going to prove it to you, it is not just
11 us, there are four voices in the record. THE, Italferr,
12 Siemens, and themselves. Siemens tried a lot and tried
13 to accommodate them by giving cash, by accommodating
14 certain parts of the work, by even descopeing, taking
15 scopes of the work away, and all that failed because
16 they are promising and constantly failing and renegeing.
17 MR ABDEL MAWLA: ((audio distortion). (audio distortion).
18 Reaction from Siemens.
19 DR ABDEL WAHAB: No, the record is full of objections, are
20 full of notifications, full of reports, replete with
21 that, about the failings.
22 Mow it boils down the answer why did we not
23 terminate.
24 MR ABDEL MAWLA: (audio distortion).
25 DR ABDEL WAHAB: Yes and we are going to walk you through

01 that, because everything he have is on record. We are
02 going to walk you through that, sir.
03 So what happened is, what Sahara's own letters say,
04 words, cash flow crunch, stagnant activities, and please
05 remember those words because I will come and show you
06 the exhibits as Dr Abdel Mawla kindly asked the
07 questions ... Siemens debt.
08 Now, before I tonne to Sahara's case, one word about
09 ours, because the tribunal should know from the outset
10 our position is abundantly clear and firm, Siemens
11 stands here as the true creditor, not the debtor. It
12 standings here as the only party in the room with
13 a proven debt. And as I mentioned, I'm going to, unlike
14 our colleagues, when we go to the slides, every single
15 reference is there. Its counterclaims arise under the
16 agreement Sahara sign, in addition to the
17 straightforward indefensible LDs and price adjustment
18 overpayment.
19 The tribunal cannot overlook that the only argument
20 they run against our counterclaims is basically article
21 2 # .1. There is no substantive response.
22 So that falls away, and I will convince you that it
23 falls away, our counterclaims are awarded.
24 So Sahara's principal tons all the of that is not on
25 the merits. Which can only suggest and only they don't

01 have a defence for the merits (not only), but the
02 numbers add up. An objection raised by a party that
03 referred this dispute to arbitration barely 10 weeks
04 after first raising its claims, and then filed
05 #150 million against the very party it now says should
06 have talked to first, is simply absurd.
07 The answer to that, I can tell you, in addition to
08 being a shared obligation, so they should have as well
09 engaged with us, when we made the counterclaim statement
10 defence they could have written to us and said, let's
11 amicably settle that, discuss it, it is a shared
12 obligation. This could have conceded. They have done
13 neither.
14 Speaking of good faith, standing in the room,
15 educating us on good faith and then not taking a step,
16 despite the reference to all its power, to try and
17 amicably settle that, there is nothing.
18 But ignore all of that.
19 The only legal authority on record we have put
20 supports our position. An arbitral tribunal in an award
21 under the Cairo centre rules, applying Egyptian law, the
22 seat the script, saying that, to suggest the
23 counterclaims cannot be admitted when they have filed
24 their arbitration case, not only segregates the dispute
25 and separates it infect ill, it is a cause of

01 inefficiency, and completely unacceptable both as law
02 and practice.
03 The tribunal, for now I ask only that the tribunal
04 hold one fact about Siemens' counterclaims, that the
05 record speaks for itself, and that it had been
06 contemporaneously proven, speaking of the conduct, out
07 of Sahara's own mouth and by their own penalties
08 depends. You have just heard Sahara's opening. And you
09 would have noticed that it is made of many photographs.
10 One statement I would have expected them to make, but
11 I will make on their behalf, photographs of photos speak
12 more than 1,000 words. They have not even given the
13 tribunal that treat.
14 But I can tell you this. Cranes at Thyssenkrupp,
15 flood led (^word) pools at Cargill, 121 so-called
16 projects which we cannot verify and are unverifiable,
17 they may have told us that a photograph exists, but they
18 don't tell you where they have come from, the time they
19 have taken, and they talk about showing you X, Y and Z,
20 like the manholes, I struggle to understand what it
21 actually means, but effectively, Susan son tag put the
22 harder truth, effectively. To photograph is to frame,
23 and to frame is to exclude.
24 The tribunal will want to know what is outside the
25 frame they are showing you. Zero manpower, zero work

01 done, money being paid by Siemens, this is outside the
02 brief and short photographs they have shown you.
03 Sahara's case in one sentence is: since deduction,
04 speculation and fantasy are precisely the threat things
05 it has asked you to supply in place of a delay analysis,
06 but the tribunal cannot overlook the simple facts or the
07 record. They cherry picked what they wanted the
08 tribunal to see, which is not on record, and we cannot
09 cross-examine that, because their only fact witness is
10 not there.
11 Again, none of those photos tell you anything about
12 a date, a cause, or an article in the contract, with
13 which they have complied.
14 The record in this case is not what has been
15 showcased or photographed. It is what has been written,
16 and the chronology is there. One example as I told you,
17 are the time impact analysis which stopped at 2021, with
18 no money claimed, rejected, they never come back and
19 say, by the way Siemens you are wrong, so
20 contemporaneously, the record is against them, not with
21 them.
22 We were virtually told as well by Mr Aly I must say,
23 in the slides, that the record is virtually spotless and
24 dispute free history. He actually went beyond that to
25 confirm that as a fact.

01 Again, it goes to the credibility. I'm afraid to
02 say that is absolutely not true. Absolutely not true.
03 Why do I say that with such gravity? Because I know of
04 two incidents, at least, not me, and they are on record,
05 this is not something that is not on record.
06 One, Sahara was a party, and that is mentioned in
07 page 95 of the PDF version of Mr Dull, page 2 of his own
08 CV, when he said there was a case he acted for Sahara
09 against Medical.
10 That's one.
11 The other one you don't need to take my own word for
12 it, but it was under the rules of this very centre in an
13 award that went against Sahara for a different client,
14 over a dissent by Sahara's appointed arbitrator, and
15 I believe Dr Abdel Mawla was better suited to speak
16 about that since he was the arbitrator, so I'll leave it
17 there.
18 These photographs which Sahara kept showing --
19 Sahara -- at the time we submitted the challenge, part
20 of the challenge was referenced to the case that Sahara
21 in 2017, it was you and (^word) and others.
22 MR ABDEL MAWLA: This was a challenge, it was not --
23 DR ABDEL WAHAB: It is on record. I'm not saying anything
24 about it --
25 MR ABDEL MAWLA: (audio distortion) challenge. It was

01 not --

02 DR ABDEL WAHAB: The point is different, sir, the point is

03 they say they were no disputes, I'm simply saying at

04 least we know of two cases Sahara was involved in,

05 arbitration cases.

06 MR ABDEL MAWLA: Two or three -- are Orifering --

07 MR ABDEL MAWLA: Referring that they are (audio distortion).

08 DR ABDEL WAHAB: I'm simply saying Mr Aly was untruthful to

09 this tribunal.

10 MR ABDEL MAWLA: Excuse me. If you say that -- I take it

11 constitutionally I have (audio distortion) this is what

12 I understand.

13 DR ABDEL WAHAB: That is the salvage, because otherwise

14 I would have thought this is very passionate advocacy.

15 If you don't mind, at the beginning they

16 described the company, they mentioned, mentioning they

17 had no claim ever, that they had a lot of -- that, I did

18 not catch any reference to being in default, he was

19 very, very clear. He said -- and what -- what the

20 respondent is saying is that the information was not

21 correct. That's what I do understand from.

22 MR ABDEL MAWLA: May ^ (unclear words) understand in front of

23 of the interpretation, I don't have any court cases that

24 is what I understood.

25 PRESIDENT: No, no.

01 MR ABDEL MAWLA: Okay, this is only I put it on record,
02 because this is what I understood. This is what has
03 been given to me.
04 PRESIDENT: Okay.
05 MR ABDEL MAWLA: Okay?
06 DR ABDEL WAHAB: Shall I continue, sir.
07 PRESIDENT: Please.
08 DR ABDEL WAHAB: So effectively what we have is a Sahara
09 told you in its own words and own slide, that's slide
10 32, by the way their slides are not number statement of
11 defence we manually counted them, since the slides were
12 not numbered, the 10-month baseline was entirely
13 achievable under normal working conditions. I take
14 that, and they have to prove to the tribunal what went
15 wrong. They have not done so.
16 So they are effectively, this acts against them,
17 because effectively if that was achievable, this means
18 there can be no argument about force majeure, which is
19 one of the caws of delay, there can be no argument other
20 than someone in breach. Have they proved that? Not at
21 all, sir.
22 I will now move to the three numbers which I would
23 like you to recall which hold up the case.
24 They ask the tribunal to carry them with every
25 session, potentially with the experts, even their own

01 oather, they have zero days of extension of time claime
02 claimed.
03 Now, one thing construction 101, is that you cannot
04 claim prolongation cost without seeking relief and an
05 extension of time. The very fact of prolongation means
06 you have an extension of time, either you are entitled
07 to an extension of time, and carries with it money, or
08 not, or you are not entitled to either.
09 But you cannot have prolongation without an
10 extension of time. And to that extent, interests no
11 relief, no request, that in itself is a bar to any claim
12 for prolongation.
13 So zero extension of time in that sense.
14 Zero days of compensatable prolongation, because
15 they effectively have not done any delay analysis. Yet,
16 they have the audacity, the courage and boldness to
17 claim 150 Egyptian pounds, I will tell you by the way
18 that is more than double the contract value, initially,
19 of course, after the descope of the fire fighting.
20 I have been educated well by my team.
21 The (^word) asks you to award upon the first two
22 zeros.
23 Now, I struggle to understand how zero plus flow can
24 lead to 150 million, unless I'm missing something. One
25 cannot value out of absolute nothingness. The gap

01 between those two numbers is not a difference of
02 methodology or a matter for the tribunal's discretion,
03 I'm afraid. It is the case they chose to run and they
04 have failed miserably. 97en 5 per cent of that sum is
05 delay money, and every head of it presupposes a period
06 of delay exclusively caused by Siemens, solely, that's
07 the contract, key word, critical to completion,
08 criticality, which is another layer of complexity, they
09 have not run, and compensable under the agreement. That
10 period has never been identified, not for the project,
11 not for any of the 14 buildings. There is no extension
12 of time in the relief and no critical path, nothing
13 whatsoever. In fact, at paragraph 117 of their very own
14 reply, Sahara concedes that what they provided are 15
15 delay indicators. Try enough we heard none of them in
16 their oral pleadings (interestingly).
17 Why? Because they decided, I am saying, they did
18 not say it, they have abandoned those, and clung, hinged
19 on the time impact analysis.
20 But if they want to do that, it is a package deal,
21 so they need to cross-examine Mr Abdelbakey, they must
22 have read the reports, and if they have read the reports
23 they know the TIA actually works against them.
24 So for the 15 indicators you heard zero, no
25 reference to Mr Omar Abdullah, reference to the TIA and

01 Mr Abdelbakey, and the tribunal will have the time, as
02 well as them to cross-examine him on that. But we agree
03 with that they say in 117, the paragraph 117, that these
04 delay indicators were never intended to be comprehensive
05 analysis. Now that, if they don't serve a purpose, they
06 remain the noise in the background.

07 Now, what Sahara offers instead as well is an
08 engineered narrative, and a self serving partial
09 chronology, not supported by the record, regarding 15
10 things. An advance payment, they say even paid 8 days
11 after Sahara furnished the 31 day late guarantee, the
12 site handed over, the change order is issued, a control
13 building at (^word) finished after the others, every one
14 of these is a date, not one of them is a cause. The
15 fact that an event occurred, assuming they are able to
16 prove it is not proof of its consequence, and the
17 difference between the prepare significances ... no
18 bridge to cross that. It asks you to build a bridge
19 itself without materials, and to call the result
20 a presumption.

21 Sahara's opening did the very same thing before your
22 eyes. It showed you an email about a manhole in (^word)
23 in February 2023, a landscape drawing in November 2023,
24 solar pipes in November 2024, or 2024, we don't know
25 even whether this is right or not. But (^word)'s

01 revised completion date revised in 2019. An instruction
02 issued four years later after building was due cannot
03 explain why the building was four years late.
04 A contractor already deep in delay faces the hardest
05 task at all in showing that later the employer conduct
06 changed that tragic try. Again the key word is
07 contemporaneous records, not what we do or sit here
08 today to advocate or to plead in respect of the project
09 that we are not party to.
10 It even showed you minutes of meeting, I have to
11 say, that are not on record, by the way.
12 Let me give you that. Surely an independent safety
13 report, the Exceltic, which is very interesting,
14 recording that no building on the entire corridor was
15 handed over on time (showed you not surely).
16 ... then asked you to read the corridor wide
17 statistic statistic as a proof of Siemens specific
18 cause. There is absolutely no base.
19 At best, if that is a proof of everything, it is
20 a proof that Sahara was in good company, not that
21 Siemens was in default.
22 In addition to that, effectively, it wrongly
23 computes ... across 14 buildings and attributes not one
24 of them to Sahara. That is not analysis. It is
25 primitive arithmetic in service of a self engineered

01 conclusion.

02 The agreement is unforgiving on that point. As we

03 mentioned, 17.8 permits an extension of time on delay,

04 solely attributable to Siemens, and to use the words as

05 well, this is an extra ordinary provision, begs all the

06 more honouring it. Because effectively no one can say

07 that the parties have not negotiated it or meant it in

08 addition to it being unambiguous. As the same with

09 Egyptian or Italian law, if the contract is clear it

10 should be the parties that are held to the bargain.

11 The independent delay expert, the only one true

12 expert on delay in this arbitration shall Mr Abdelbakey,

13 applying a recognised windows analysis finds a hand. Of

14 potentially excusable days at two buildings. And finds

15 that each ran concurrently with non-excusable delay

16 elsewhere. So the time is consumed by the way. So it

17 is unfair and improper to present this to the tribunal

18 as if the expert conceded to days. What the expert said

19 is these are potentially few days but they are consumed

20 within the concurrent delay and the report is clear

21 that. Project wide compensable prolongation equals zero

22 and here the numbers meet again, the zero and zero.

23 The record as Dr Abdel Mawla kindly asked me, now

24 speaks in four voices, and I ask you to remember those

25 four voices.

01 Tribunals reason narrowly and trust what the
02 project team did at the time and not today.
03 Let me tell what you was done at the time because
04 the record does not speak in Siemens voice alone. It
05 speaks in four. THE, the house of experts, the
06 representing consult ... by the way, on the project,
07 Sahara had an issue with THE, and they didn't want them.
08 But ignore that. Because that's not on the record, so
09 you don't need to -- ignore it.
10 They recorded 14 consecutive ... that is ENR, that
11 is not our project manager, answerable only to ENR with
12 no friends including us wrote unambiguously, slow
13 performance and poor quality attitude. If I'm not
14 mistaken, that is R-131.
15 Or R-31: we are going to come to that in the
16 presentation.
17 Siemens gave notice from June 2018 and reserved its
18 rights. Year after year, and we provided the tribunal
19 with the time analysis or a temporal timeline, which
20 shows effectively with everything the exhibit that
21 refers to it.
22 Sahara itself wrote talking about its own crunch,
23 its own stag nation. Four witnesses to one truth, and
24 not a single page on which Siemens accept
25 responsibility, grant time, or waive the right.

01 Not a single objection to objections raised by
02 Siemens. Sahara's answer to that record was a slide
03 headed "siemens strategy of denial". The one thing
04 I have learned in doing arbitrations in this
05 jurisdiction and some neighbouring countries, is that
06 some people have a very interesting belief, is that
07 deny, deny, deny, and then someone is going to believe.
08 But the record is there. You cannot deny the
09 obvious. It is built on minutes of meeting
10 from March 2019, which it said confirms delay on
11 Siemens' part.
12 Now, that is not on record, so what you have seen
13 that, so it is stricken off record, but interestingly,
14 because the record is replete with that, I invite the
15 tribunal take a closer look. I wore my glasses, got
16 a look, and found that effectively on that slide
17 of November 2019 -- bring the slide up so -- their own
18 slide, which again, we say, should be stricken off the
19 record, but we have nothing to hide, sir, six out of the
20 eight items on that November 2019, they did not number
21 their slides but I'm going to tell you that, if we zoom
22 in, you will find six out of the eight items referenced
23 there are actually assigned to Sahara. So you wanted
24 the obligations way, it is their obligations. Shop
25 drawings, material samples, cooling calculation,

01 a clouded modification plan. The documents Sahara
02 selected to prove Siemens delay lists six out of eight
03 things that effectively Sahara had not yet done, and are
04 not part of Siemens' scope.
05 I just wonder whether they read their own documents.
06 Now, three days before Sahara signed the first
07 amendment Siemens recorded 10 of the 14 sites closed
08 with zero manpower -- as I mentioned every single
09 statement I make is in the record and slides, and four
10 tossen workers on the rest. That amendment says in
11 terms that is no case is a revised completion date of an
12 extension of time. And we all know the famous article
13 7.1, which seals everything to that effect.
14 Now, documents have the virtue of effectively
15 lacking memory, they speak. They do not change over
16 time, and they do not change their mind. What it says
17 at the time in August 2019 is what it says today.
18 Now, the governing law is Egyptian law, and article
19 148 talks about the contract (147) is the law of the
20 parties.
21 I have to say this, because I tried to memorise it
22 very hard.
23 A contractor affords a (Italian).
24 That's article 137.
25 PRESIDENT: Injure English is better than Italian.

01 DR ABDEL WAHAB: At least I tried.
02 So the agreement sets three gates, and Sahara must
03 pass through each of them. Add disability, a 14 day
04 notice requirement it must meet and had not met, and no
05 doubt the tribunal had the three and we have them in the
06 slides, the whole debate about this being an exclusion
07 of the right to assert a claim, that is between the
08 parties but that does not prevent us from going to
09 arbitration. I am sorry to say, is an insult to the
10 intelligent capabilities of the members of the tribunal
11
12 (^punc).
13 One it confuses procedure forum with substance. You
14 cannot effectively, this is a contractual provision,
15 talks about inability to assert right, or a claim. You
16 want to do it, your case would be inadmissible. That is
17 the forum. You want to go to arbitration, as is the
18 case, and then you want effectively to run that, this
19 doesn't change anything, because that is inadmissible on
20 its merits.
21 So that's the first thing.
22 Secondly, what value the contractual provision have
23 in that respect? Talks about claims, effectively being
24 excluded. Now, the claims are not confined between the
25 parties, in that sense, talking about effectively

01 excluding the ability to make that claim.
02 Nothing can be said more to that effect.
03 In addition to that, liability. An extension of
04 time on five exhaustive grounds, none established.
05 Quantum, actual loss, proven by the records. And by the
06 way, another interesting provision in that agreement is
07 article 8al 8, which binds them effectively to keep
08 records and to produce, not just to keep them, they have
09 to produce those records to that effect. So not only
10 the burden of proof, but the mode and means of proof is
11 on them, did they produce? Never. What they have done
12 is replaced this requirement, effectively, -- the civil
13 contractor, that's 8.87 of the contract, that is R-2
14 (8.8.7):
15 "The civil contractor shall ensure that all
16 documentation in relation to the civil contractor's
17 bookkeeping is preserved and made available for audit,
18 [with that extent swops and then it also sads:
19 "The civil contractor shall be obliged to completely
20 and duly document its compliance the contractual
21 obligations
22 (doc).
23 That is a fundamental provision. Why? Because
24 absention and evidence by them, the only answer is
25 non-compliance. They are required by their very own

01 consent, the agreement they have adhered to and
02 champions throughout their presentation, tells them not
03 only to keep records for audit, but as evidence of their
04 compliance. Which means absent that non-compliance is
05 the answer.

06 But we are fortunate enough for us to have the four
07 voices that all together confirm that non-compliance has
08 been not only an exception, it is a mode of operation
09 for Sahara.

10 DR HAFEZ: Could we be reminded 6 the contractual provisions
11 dealing with forfeiture.

12 DR ABDEL WAHAB: We are going to come to that in the
13 preparation D you want me to do it now.

14 DR HAFEZ: If you just give me the mm.

15 DR ABDEL WAHAB: Sure. 30.1, and then the (iii), (ii) and
16 (i).

17 DR HAFEZ: That's what I recall. Thank you.

18 DR ABDEL WAHAB: Yes.

19 And then the independent quantum expert, the only
20 one as well, independent quantum expert in this, says
21 that everything is assessed at nil.

22 That's even had had another leap of faith by
23 claiming for lost profit, which is excluded out right by
24 article 18.6. Before we open a single exhibit.

25 All this confirms, members of the tribunal, that

01 Siemens is the only party with proper claims in this
02 arbitration. Delay penalties on a contractual formula,
03 if they adhere to the contract, they cannot cherry pick.
04 Again, we are confined to a modest gap. Payments to
05 Sahara's own subcontractors that work could continue,
06 denial in the reply, denied in the reply and admitted in
07 the rejoinder. Facilities Sahara was paid to provide
08 and did not. A price adjustment they made a fuss of for
09 no obvious reason, which applied the dates the parties
10 wrote rather than the dates Sahara produced.
11 Yielding an overpayment of nearly 4 million.
12 Now that is an answer as to why as well Siemens --
13 do you want us to let them go and they take our money?
14 It is unbelieverable.
15 All this is some 20 million together with remarks
16 and spare stock still owed.
17 Siemens carried that contractor for seven years.
18 A second advance, letters to the bank, security released
19 early, penalties withheld. They stood today before the
20 tribunal and courageously said as aspects of their good
21 faith is that they renewed the letter of guarantee twice
22 after having failed, for all what I know that is an
23 evidence of default.
24 Twice.
25 How can you use that as evidence of good faith in

01 a way?

02 A tribunal that accepts that reasoning would treat
03 every main contractor in the region that the price of
04 patience is liability. And that cooperation and good
05 faith are rewarded with harm and prejudice. Sahara has
06 presented you with a list of its own alleged good deeds,
07 as I mentioned. But they have not presented you with
08 even a single default which was as I mentioned, twice
09 committed and twice forgiven at the time, and it now
10 appears in Sahara's ledger as a favour done to Siemens.

11 A delay analysis is not self executing, members the
12 tribunal. Counsel must state precise why the facts --
13 yes.

14 MR ABDEL MAWLA: Price of patience, you said now price of
15 patience.

16 ABDEL WAHAB: Being patient is met with liability.

17 MR ABDEL MAWLA: So there was no action? Only patience?

18 DR ABDEL WAHAB: Sir, I just listed the actions. There are
19 so many actions -- there is a distinction, sir.

20 MR ABDEL MAWLA: That's what I'm asking.

21 DR ABDEL WAHAB: Let me clarify linguistically, apologies, I could use less sophisticated
22 language. There is
23 a difference between pass I and patient 689 being
24 passive means you do nothing --

24 MR ABDEL MAWLA: This is an English language?

25 DR ABDEL WAHAB: Distinction?

01 MR ABDEL MAWLA: I don't know, because --

02 DR ABDEL WAHAB: I think so.

03 MR ABDEL MAWLA: This is not.

04 DR ABDEL WAHAB: It is not English?

05 MR ABDEL MAWLA: Not talking about English. It is about

06 your term.

07 DR ABDEL WAHAB: My term is patience.

08 MR ABDEL MAWLA: Which means what?

09 DR ABDEL WAHAB: Patience means we have carried them all

10 through by paying money, doing work, conducting stuff

11 that they have failed to do so, by descopeing, and all

12 that, by writing letters to the bank, by pursuing them

13 and sending them notice can he currently, and they

14 reneging. That is patience couple #-D with proactive

15 and active measures in absolute and utmost good faith.

16 Passive means that we have done nothing for seven

17 years. Which is not the case.

18 MR ABDEL MAWLA: This is in the document.

19 DR ABDEL WAHAB: Yes.

20 MR ABDEL MAWLA: It is document proof.

21 DR ABDEL WAHAB: Yes, exactly.

22 MR ABDEL MAWLA: Not statement proof.

23 DR ABDEL WAHAB: Yes. So a delay analysis is not self

24 executing, counsel must precisely state why the facts

25 satisfy the conditions for recovery, and where a claim

01 fails beneath that mountain of paper, the failure is
02 usually one of forensic stewardship, speaking of the
03 study I invite everyone to read.
04 What we will do effectively, or let me tell you.
05 What Sahara's opening did not do, not a single provision
06 of the agreement in the presentation is cited, not
07 a word on the 14-day notice unless and until we have
08 heard our colleagues talk about that, not a reference to
09 paragraph 117 of the reply saying that they have not
10 conducted a comprehensive delay analysis.
11 We understand that tribunals seek not max
12 malinformation, but a coherent narrative supported by
13 contemporaneous records.
14 Effectively, I would say this. I asked you only to
15 carry three questions into every session, and to put it
16 to the claimant, I have prepared this thinking the
17 witness would.a, but perhaps even their expert: where is
18 the period, the window, the as-built versus as planned
19 analysis, where is the cause, the cost and the prejudice
20 and the harm?
21 MR ZEAD: Sahara had 50 slides this morning in which to
22 answer them, in addition to a couple of hours to address
23 the tribunal on these. None was answered.
24 If it cannot, and indeed did not, then after two
25 years and four rounds of pleadings, the judge,

01 effectively, the structure it has raised before you, as
02 an engineer would, falls apart.
03 To test it, it has no foundation. And a building
04 without foundations, and they were in the business of
05 building buildings, does not stand because it is large.
06 It falls because it is. Because there is no foundation.
07 Now, what I will tell you is that the counterclaims,
08 the anatomy of the counterclaims are, each rests on
09 a clause in the contract, Sahara is it not and indeed
10 cannot dispute, certainly not on the merits. Each is
11 proven by a document either Sahara wrote or signed, and
12 each is met by Sahara with the brazen unproven
13 allegation of performance that has no document behind it
14 from the very party article 8.8 of the agreement binds
15 to keep and document every act of performance should it
16 wish to evidence compliance between delay penalties,
17 direct payments, specific site facilities, HVAC defects,
18 19 as-built drawings at no additional cost, the remarks
19 recorded in hand over protocols, that Sahara's own
20 manager signed, the 2 per cent spare stock that Sahara
21 in December 2025 called a violation of a contractual,
22 and in July 2026 said it had delivered, offering the
23 clearest of evidence, and certifies effectively that
24 they have failed on every count.
25 The price adjustment, effectively, is one that the

01 tribunal no doubt is familiar with, effectively as an
02 overpayment of about 3en 8 million. This all comes to
03 some 20 million, as I mentioned, and specific
04 performance for the rest. Against all that, their own
05 answer is that Siemens did not first ask to talk when
06 the provision says it is the parties.

07 Nothing among the authorities were provided, we
08 provided RLA-61 that shows effectively and states that
09 an invitation to settle a dispute already in arbitration
10 would serve no effective purpose.

11 Mr President, members of the tribunal, I'm oblige so
12 far I have given you the map, three numbers, four
13 voices, three gates, for Sahara, claims, and established
14 facts and proven quantum in respect of Siemens'
15 counterclaims.

16 Even the Exceltic statement which they showcased,
17 they did not tell you that clearly stated in that civil
18 works are excluded. So the very document they are
19 relying on excludes civil works, which is their scope.

20 For the record, every mark on the map has a page
21 beneath it and we are going to walk you through that
22 now, but I will I would lake to make something very
23 clear lest it be misunderstood. We will take the claims
24 first and at length and the counterclaims second and
25 briefly. The order is not a ranking of importance, it

01 is a measure of resistance. I would not want that
02 proportion to be misread. It reflects not the weight of
03 the counterclaims, but the weight of what stands against
04 them.

05 Little to nothing.

06 A claim built on nothing takes some time to take
07 down, especially when they are muddying the water,
08 clouding the space. But a counterclaim built on the
09 contract, and the parties agreement, takes minutes to
10 put up. There is little in Sahara's submissions that
11 answers the counterclaims, and we will not depend at
12 length what has not been seriously attacked (defend).

13 Brevity here is not modesty, sir, it is conviction.

14 Quickly before I hand over to Karim and I think we
15 will be having a break short lurks I would like to walk
16 the tribunal through a few slides that built a what
17 I just mentioned.

18 Let me take you right away to slide 5. Before that,
19 maybe 4. Let's show, let you see.

20 The contract price after descoping, the original
21 one, is 76. They there claim almost double. And you
22 have the references. Every time you see a highlight in
23 yellow, and we hope we have not missed any, is basically
24 the reference.

25 So we leave that, the tribunal's leisure.

01 Secondly, that and the following slides prove one
02 thing.
03 No extension of time, no proven delay, and no proven
04 loss. Zero.
05 It cannot invite the tribunal or the respondent to
06 supply the analysis. Now, we have seen today for lack
07 of a better word, and I apologise, an parasitic move to
08 hinge and latch on, Mr Abdelbakey's time impact
09 analysis. Let's see how that that goes and how far they
10 can survive, because that will not carry them far nor
11 will it make them arrive at a port that they desire.
12 Again, this is a slide that shows the counterclaims
13 and the claims there. This is the claim, 97 per cent
14 delay related.
15 This slide talks about the zeros that I mentioned,
16 with the references there, and which the way, here, the
17 gap I refer (by the way), to the house of experts, in
18 that sense.
19 Yes, Mr (^word) the explained ... which put
20 it on record.
21 Claimed without proof in that sense, THE, central
22 and fatal and blatant deficiencies in Sahara's case.
23 The record is replete with that.
24 Let me take you through that a little bit, that's
25 slide 8, now.

01 That is the errata aspect here, perhaps even
02 Sahara's claims fail in their entirety. These are the
03 claims, their claims, where we show the tribunal how and
04 why they are wholly denied. And again, Siemens
05 counterclaims are the ones substantiated.
06 The next one is an interesting. That's the
07 evidentiary record. What we thought is to give the
08 tribunal some numbers.
09 The factual exhibits are close enough in terms of
10 quantity, as numbers. But in quality, the gap is huge.
11 Our exhibits speak to the issues in dispute, theirs
12 are simply the noise in the background.
13 Legal authorities, 85, zero on their side.
14 Not just that, even the excerpts they have cited, we
15 address the tribunal on that shortly, will show you they
16 have actually inaccurately not translated, cited them.
17 So we wanted to give the tribunal the benefit of
18 accuracy there. But other than that, zero authority.
19 Now, this number can only mean that the law cannot
20 be on their side, had there been any authority to
21 support that, it would have been filed.
22 Independent expert reports, 2, zero, and we will
23 show you and I'm telling them from now, and we know the
24 tribunal's instruction is that experts cannot be in the
25 room during openings, but I'm revery relaxed. Obviously

01 there is a moratorium ... I would expect our colleagues
02 to reciprocate, but in reality we are going to show you
03 tomorrow beyond reasonable doubt not only on
04 preponderance of evidence, that their expert goes far
05 beyond a hired gun. Mr Dull is a member of the advocacy
06 team and we will prove that to you, sir.
07 The quantum evidence, the delay evidence, 183 page
08 report by Mr Abdelbakey they cited heavily today,
09 90 page of unsupported what they call delay narrative.
10 No delay analysis at all, at all. As they
11 suggested.
12 268 attachments across three volumes, that really
13 make no sense.
14 We will show you that tomorrow, to the time we have.
15 The quantum, they go through nine pages.
16 So zero plus zero leading to 150 and they spend nine
17 pages.
18 I don't know had a they are expecting, are they
19 expecting the respondent to fill the gap, the tribunal?
20 Whoever needs to fill the gap needs something to fill
21 the gap with.
22 There is not anything.
23 Factual witnesses, 34 pages, the I have to say now
24 the two pages is stricken off record, the technical and
25 ... foundations are not there. House, the construct is

01 simply inexistent (^).

02 On the legal authorities, what I will say this, it

03 is for the tribunal, these are the next ones, there have

04 been a quotation from a cassation judgment. That is

05 a quotation, and we know it is not on record, the

06 tribunal does not need to concern itself, but that

07 quotation, and we will caution against this, is not in

08 that judgment. We looked at that judgment, and the

09 quotation is there. The tribunal is free to ignore

10 both, but in reality it is telling again of credibility

11 and truthfulness.

12 The other authority could not be verified, and

13 unable to locate, and the third one, did not include the

14 quoted passage.

15 Sorry to say, that is unacceptable.

16 The conclusion is, the only authorities are

17 effectively the respondent's authorities, and they are

18 the law, these are not just things that we say.

19 Let me go quickly to slide 14, please.

20 Here what we provided, these are key dates for the

21 dispute, the tribunal is no doubt familiar with them.

22 We have R-2 as the contract, and we have the first

23 amendment, which provide completion date at R-4.

24 Now, we have divided them into the original origins,

25 agreement and dispute (^) I do not intend to walk the

01 tribunal through all of that, but again what I want to
02 show is everything has the specific exhibit completely
03 before it.
04 As we mentioned, what happened, and I did mention,
05 regarding the time impact analysis done in 2021, without
06 monetary claim, rejected by Siemens, no response from
07 their side, no challenge, at all, it doesn't carry their
08 case today because it stopped there, it is not even
09 a suitable methodology, and what they had done is that
10 after all that time for the first time ever they
11 submitted a monetary claim for prolongation. First
12 time. Not six days, not 14 days, not six months, not
13 one year, not two years, six years later.
14 What can that tell the tribunal? Can tell the
15 tribunal something very simple, is that over seven years
16 Siemens carried them, paid them money, they were happy
17 to continue on the site, and ultimately when that ended
18 they needed to find a source of income perhaps to pay
19 for their other projects. That is the only logical
20 situation.
21 Now, what I instead to do, sir, is to take you to
22 slide 16, which is a (^word).
23 PRESIDENT: Prospective.
24 DR ABDEL WAHAB: I did answer that, because they were full
25 in for the project, they continued the performance as

01 a main contractor, they were answering to ENR, promises
02 pledges of performance from the side of Sahara, they
03 paid Sahara money, they paid their workers are money.
04 In the ... you don't need to take my word for it,
05 you can take Italferr's word, the house of expert's
06 words for it in that sense. These are the basis, each
07 one of them, on the basis of which Siemens continued.
08 One of them would have been sufficient, acting in good
09 faith, four combined.
10 MR ABDEL MAWLA: Continue of agreement.
11 DR ABDEL WAHAB: Continue with the works in hopes they will
12 perform. It does not absolve them. And at every
13 juncture, with every letter, Siemens is telling them you
14 are notified you are in breach, default, you have to
15 rectify that. Promises, words no, actions, from
16 Sahara's side.
17 MR ABDEL MAWLA: This is under agreement?
18 DR ABDEL WAHAB: This is under the agreement.
19 MR ABDEL MAWLA: Thank you. Under agreement as in you mean
20 the agreement? Or agreement between the parties? The
21 civil works agreement or agreement between the parties.
22 As in the contract? What do you mean by agreement,
23 sir? The agreement itself we are exercising our rights
24 and notices.
25 MR ABDEL MAWLA: Yes.

01 DR ABDEL WAHAB: But it is no way, despite all the
02 objections, a consent that their display favour. That
03 is not the case at all. I just want to clarify that.
04 DR HAFEZ: Could we have the bundle reference to the
05 Italferr (Simultaneous speakers - unclear) ^.
06 DR ABDEL WAHAB: Yes, R-31, and I'm going to take you
07 through that, sir, with clarity.
08 PRESIDENT: Counsel, you know at 4 o'clock the court
09 reporter asked for a break.
10 DR ABDEL WAHAB: Sure. We will take that, yes.
11 So here, what I want to walk you through the
12 contract, these are provisions of the contract, this is
13 articles 6 and 8, as you see that, annex 1, and article
14 17al 9 and 12.9. The words in red, effectively
15 allocates all the risk, and the obligations, to Sahara.
16 And by the way I'm going to prove to you that Sahara
17 gladly took it, because the first amendment they
18 confirmed sufficiency, I'm going to come to that. Here
19 is says every, permit or temporarily, all labour, amend,
20 omit, increase, decrease, whatever, all of it they
21 accept.
22 And without any additional cost.
23 That is the contract. And this is where the parties
24 did not depart from it.
25 The time for colleagues was essential, that was

01 clear, so time is of the essence, that is in slide 17,
02 monitor, notify and correct in the event of delay, the
03 reference to that. Document and preserve records.
04 I already addressed the tribunal on that. So where does
05 that believe us? Had the context of the first
06 amendment.
07 So Sahara failed to achieve the contractual
08 milestone in annex 7. The original dates, though
09 changed, are effectively maintained. Why maintained?
10 Because Siemens wanted to make sure that they will be
11 held accountable at the end when it comes to LDs and
12 other requirements.
13 So pragmatically you are proceeding with revised
14 dates, pragmatically, but legally and contractually you
15 are held to the original dates and you are required to
16 actually be held liable for the delay to that extent.
17 And here, Sahara itself, says, not because of
18 Siemens, contemporaneously, but present situation of
19 cash flow crunch. Did they daresay because of you
20 Siemens? Not at all, sir, and here again, R-45, R-4,
21 the rejoinder, everything tells you.
22 First amendment, what it did, and what did not do,
23 we thought that's important to effectively avoid the
24 noise. What it did is that is established revised
25 completion dates for each technical building, replaced

01 the original price adjustment with the re-ed formula,
02 provided additional advance, another example, of
03 6,000,750, because you want them to perform. Not
04 because they are entitled, you want them to perform.
05 And preserved clearly Siemens' contractual and legal
06 remedies including engagement of a third party at
07 Sahara's expense and the imposition of contractual
08 penalties, that is abundantly clear, that is what the --
09 MR ABDEL MAWLA: Performing comes the agreement, yes?
10 DR ABDEL WAHAB: Yes, sir.
11 MR ABDEL MAWLA: Thank you.
12 DR HAFEZ: The transcript says, as had a you saying that
13 first amendment established revised completion dates for
14 each technical building, is that correct?
15 ABDEL WAHAB: It does refer to the completion date. Not
16 because -- and that's important, not because they are
17 consequential, because the work is concurrent current,
18 but it did provide dates, because there was a need by
19 minor expedite the work, so despite the fact -- and you
20 will see that throughout the exhibits, that concurrent
21 work across all buildings was required, the fact on the
22 record is they were unable to do that. So effectively
23 you had to expedite it by every manner, but it was not
24 sequential.
25 DR HAFEZ: Is your case then that annex 8 amendment 1 is

01 a recovery schedule (annex A to amendment 1) but that it
02 does not change the contractual completion dates?
03 DR ABDEL WAHAB: Yes, it does not change the contractual
04 completion dates, that's why I say it is not an
05 extension of time and under reservation. So effectively
06 is doesn't, it is an attempted way to try and recover
07 and accelerate the type of work that needs to be done.
08 DR HAFEZ: Which is what you mean by pragmatically.
09 DR ABDEL WAHAB: Yes, precisely, sir.
10 What it did not do, it did not grant an extension of
11 time, they were originally saying it did, today, we are
12 glad to hear them say it did not. It contained no
13 admission of responsibility, at all, because this is the
14 case they were running, how can it be the case at all?
15 There is no contemporaneous delay analysis attributing
16 any preceding delays -- and by the way the LDs started
17 to apply from that first amendment, so that's another
18 act of substitute the conditional
19 and evidentiary exercise necessary to establish the
20 extension of time.
21 Now, the wording here is key they tell
22 you, we are the bad guys. At the time they had the
23 right and let me tell you, they had the ability to twist
24 arms, because they can say, no, no, no, you can find
25 someone else. They don't to that. the receipt

01 and sufficiency of which is here by mutually
02 acknowledged, the parties say sufficiency. That's a key
03 word, sir.
04 You cannot now come and claim entitlement to
05 anything, there is no EOT, no prolongation, not a single
06 penny. For all what we know we are owed money. The
07 original time for completion is not amended, and in no
08 case should be considered an extension of time
09 the could the court reporter have a break now please.
10 entire understandings, that is why you draw
11 and line and say, draw a line, let's be proactive,
12 pragmatic, in good faith and proceed forward. What they
13 have done, they didn't comply. What this he cannot do
14 is reopen the first amendment matters for compensation.
15 HAFEZ: Can we go back one slide, where does the language
16 originate. We have a reference to first amount annex 1
17 then it says part 1. Is that --
18 DR ABDEL WAHAB: That's R-2 is the bundle reference, that's
19 the first amendment, and at page 2, we can show it to
20 you right away. There. Benefit.
21 (the court reporter needs a break)
22 DR ABDEL WAHAB: That's R-2, it is on the screen.
23 DR HAFEZ: That's not my question. Can we go back and look
24 at the middle parts.
25 DR ABDEL WAHAB: Yes, the original time for completion.

01 DR ABDEL WAHAB: Yes.

02 DR HAFEZ: My question is that the footnote number 2 we have
03 been discussing or is that originate elsewhere?

04 DR ABDEL WAHAB: The original time for completion is not
05 amended, or revised --

06 DR HAFEZ: That's footnote 2, right.

07 DR ABDEL WAHAB: Yes,.

08 PRESIDENT: Counsel, I hate to interrupt the flow but the
09 reporter sent a mention, and I do apologise with the
10 court reporter, if we are few minutes late. Sorry.

11 DR ABDEL WAHAB: It is fine. Let's stop here, sir.

12 PRESIDENT: If you don't mind. 15 minutes then. Thank you.

13 DR ABDEL WAHAB: We will be exactly in 15 minutes time.

14 PRESIDENT: Thank you.

15

16 (4.06 pm)

17 (A short break)

18 (4.22 pm)

19 PRESIDENT: Sorry again for the interruption.

20 DR ABDEL WAHAB: Not at all, Mr President.

21 PRESIDENT: It was something we couldn't control.
22 You have the floor.

23 DR ABDEL WAHAB: Yes, sir.

24 So before I hand turnover Mr Karim I would like
25 again as I promised everything on the record. What we

01 prepared for you, along these slides, and again, the
02 contemporaneous records that shows the insufficiency of
03 manpower and resources.

04 So across the board, from 2018, all through, you
05 will find there is there a key for this slide.

06 Where I would say blue is respondent record, the
07 red, or pinkish red, or burgundy, I don't know, it is
08 THE, which is claimant's witness at the time. So this
09 was part of the record.

10 Again, I have to say this. I think claimant's
11 witness was not on day-to-day operations. Once he saw
12 the record, said it is better not to appear. The record
13 we are going to walk you through, we will see that.

14 Then we have ENR as well as the claimant in green.

15 So each date of those, each exhibit of these, marks
16 effectively contemporaneous records at the time of the
17 insufficiency of manpower and resources. Do we have an

18 answer to that from Sahara's side? No. Then -- and I'm
19 going to open, by the way, R-31, as I promised the

20 tribunal, later, it is going to come, that's the

21 Italferr one, but the second slide is respondent's

22 contemporaneous and repeated notifications of delay. So

23 again, across the board, all throughout 2018 to 2025,

24 the notifications, and again, the highlighted yellow

25 shows each and every exhibit.

01 Had we witnesses we would have taken them through
02 that, but it is an exercise for the tribunal to consider
03 consider.
04 Now, let's open R-31, but I will take you to the
05 slide. Here is R-31. We can open it, so that's the
06 Italferr, that's ENR's independent project manager. And
07 I must say, it is a rarity in construction projects,
08 when you have the employer's project manager, normally
09 the blame is directly to the main contractor. But
10 because of the flagrant breaches and the clarity of the
11 situation, it was clear that it is effectively Sahara
12 that is to be blamed. And here, Italferr, again,
13 in March 2020, speaking of this, said slow progress, you
14 can see the date, you can see Sahara's company, slow
15 performance and poor quality attitude.
16 That's even in the subject. This can only
17 demonstrate flagrant breaches and problems.
18 So to that extent it goes on to say:
19 "With reference the work supervision, monitoring and
20 inspection
21 (doc).
22 To that extent, entrusted to Siemens, subcontractor
23 Sahara, we would like to draw your attention [to the
24 following
25 (doc).

01 And I must say this, this letter which Siemens
02 received with no blame to Siemens can only confirm that
03 Siemens acted properly, in terms of administers its role
04 as a main contractor, and the main project manager for
05 the employer could not accuse Siemens of anything,
06 because he is shown the records, done site visits and
07 inspections and everything, and he found this is the
08 situation for Sahara. Slow progress of construction
09 activities. And slow increments of progress
10 percentages. We go on it says:
11 "The level of progress is constant for most sites.
12 (doc).
13 The level of progress is constant for most sites.
14 The huge time for subcontractor to finalise Italferr
15 inspector ears comments, then poor resource management
16 from subcontractor to minimise the duration
17 (doc).
18 Then it says the lack of action from subcontractor
19 to close the high percentages of open activities and
20 poor management as well bad quality ... ".
21 (doc).
22 That's a deadly combination.
23 Six months progress chart from Italferr annexes. So
24 this is not just, there were annexes, six months,
25 showing near flat progress lines across 14 sites,

01 progress was essentially stagnant.

02 We talk about photographs. That report,

03 Mr President, members of the tribunal, speaks volumes,

04 to the quality, to the jobs, to the competence, to the

05 adequacy, to the lack of good faith, the lack of

06 cooperation, by Sahara.

07 And this was even after the first amendment. Right?

08 One would have expected sufficiency, good, we have

09 turned the page, we are working, at the very least pick

10 up, do what you can. Nothing.

11 We passed that of course, now they were aware about

12 Italferr from the very beginning, but anyway we have

13 passed this on to them with a required recovery, hence

14 the recovery plan, and all that, and it mentioned please

15 do approximately zero, it not exceeding, we threatened,

16 we have done all what we can in that sense, and again,

17 poor performance attitude and approach continued.

18 Sahara was expressly warned about that.

19 Then before the first amendment there was again

20 a pattern, we have divided that by time, so even before

21 the first amendment -- and why did we address that?

22 Because their suggestion that the first amendment

23 operate #D because Siemens was somehow in breach and

24 they want to give everything -- it is not true. Because

25 there was a pal earn of delay and inadequate resources

01 and again each and every exhibit with the excerpts, what
02 we have tried to with the tribunal is distill the record
03 in fairness and reasonably and give the tribunal
04 effectively the road map to everything. The delays were
05 caused by Sahara, 10 of the 13 sites are completely
06 closed with zero manpower, zero manpower. As
07 I promised, everything as I mentioned earlier, when
08 I mentioned four sites had four to 7 workers, here is
09 the reference, R-30/1, and then three days before the
10 first amendment we have R-10, improper progress rates.
11 So Siemens said, okay, we are done, shall we need to
12 get you in a meeting room, we need to find a way,
13 recovery plan, pragmatically way forward, promises made,
14 and again, clear defaults.
15 THE's weekly reports. This again, the part of the
16 timeline that I showed you. So what happened here is
17 that five contemporaneous reports -- because they have
18 done, by the way, monthly field reports, THE, and they
19 have done weekly reports as well.
20 So before the first amendment with each exhibit you
21 will find the date referred to, the reference, the
22 exhibit on record, and what effectively THE recorded
23 verbatim, should these were the words of THE not us.
24 Activities planned at 100 per cent, achieved no
25 progress.

01 El Sawa, El gar qua, ... what we heard our colleague
02 Mr Nassar walking the tribunal through, that is the
03 record, that is the correct narrative, that is the
04 contemporaneous evidence that proves that there is no
05 manpower, no activities, and insufficient resources
06 being put forward.

07 We then continued after the first amendment, the
08 pattern continued, and here are the references, all
09 through, R-32, R-12, 11, 21.

10 Now, again, that is what I referred to as patience,
11 working collaborative and cooperatively. There is no
12 per civilianity on Siemens part, there is an attempt to
13 work.

14 And by the way, Siemens was doing work that Sahara
15 was supposed to do at no cost for Siemens. But imposing
16 on their resources and time, and after that, we have the
17 weekly reports, September to November to # 19, and these
18 are the week by reports, and again it records in clear
19 words, perhaps you can -- we can show the tribunal at
20 least one of them, perhaps we can open R-126. Or do you
21 prefer R-117. R-126/46. Just to show the tribunal.

22 DR HAFEZ: The transcript has you saying Siemens was doing
23 work that Sahara was supposed to do at no cost for
24 Siemens. What do you mean by that?

25 □202609270208DR ABDEL WAHAB: Yes, it is part of carrying Sahara forward,

01 sir. So Sahara was supposed to allocated to work, they
02 are supposed to be civil works and stuff, which they
03 continued to, but at the same time Siemens were
04 effectively looking at their manpower, the resources on
05 silent. This is not a day-to-day thing, that Siemens
06 was supposed to do. They needed to have their own
07 people there, but because of the problems identified by
08 Italferr, the issues that were there, the Siemens team,
09 apart from looking at the whole site, gave due attention
10 to Sahara's scope of work on a daily basis, which
11 imposed on the time and schedule of their own staff.
12 But it was a requirement to ensure that we are getting
13 things on track.

14 DR HAFEZ: I understand.

15 DR ABDEL WAHAB: So here you have, sir, reference, not
16 enough manpower, and again every single word we have
17 said there, see, Sahara's scope. Causes of delay. You
18 see that, sir? Even there, causes of delay. Each and
19 every exhibit. They come today and tell this tribunal
20 because of delay, it is Siemens (the clause of delay is
21 Siemens).

22 By any standard these were the causes
23 contemporaneously recorded. There is no delay case.
24 There is no basis to bring any claim against Siemens,
25 and that features across everything, and sometimes it is

01 even in red.

02 Another example is R-131. We have taken the

03 extract, we can open it for you, but what happens

04 effectively is a report of delayed activities. So

05 granite works, roof tile works, dry mix works, painting

06 works, MEP works, all scope of Sahara and all required

07 actions and delay.

08 This is not just a function of manpower, as we have

09 seen at all fir, it is manpower, it is quality

10 (Italferr), materials, all across the board.

11 This is at the time THE is the supervising

12 consultant, that by the way, they are relying on, who

13 did not appear.

14 DR HAFEZ: Could we be told, please, exactly what THE's

15 position was? When you say supervising consultant, whom

16 was it -- who hired it, who compensated it?

17 DR ABDEL WAHAB: Sure. Effectively THE was hired by

18 Siemens, as I understand they had two scopes, one in

19 relation to consultancy and supervisory role, and the

20 other scope supervision, yes, and consultancy, what

21 happened is they supervised the works of Sahara, of

22 Hasan Al em, of Gran-Tech, the three subcontractors.

23 What we know -- and here I will be very cautious, our

24 fact witness is there, and you can ask him that, but

25 I would be very cautious because that's the record we

01 know of, they were quite diligent, and active, but the
02 subcontractor Sahara did not like them, and they voiced
03 concerns to Siemens. Effectively saying -- and that
04 became Siemens' verified that, that Italferr had the
05 senior guy on site, junior members of the team from THE
06 were present, and they were simply abiding from by what
07 Italferr is instructing.
08 So for Siemens and its subcontractors, they wanted
09 THE gone, because if Italferr is doing that, why do we
10 need THE. So Siemens said okay, we are paying money, at
11 the end of the day they were rubber stamping from their
12 perspective what Italferr was doing, and at that
13 request, in light of the subcontractors, THE was then
14 removed. As I understand, with agreement of everyone.
15 And then they feature in this case.
16 Now, the person on the ground for THE responsible
17 for that as the project manager, his name is Mr Behiri
18 (^chk name). That was part of the questions we would
19 have asked, because he is not the testifying witness.
20 So as am Behiri is the one that signed a number of
21 communication and is is there on record (^).
22 What we had is Mr Fathy, Dr Tarek Fathy who is one
23 of the three founding partners of THE, he is the man in
24 the office, in the air conditioning, and as I mentioned,
25 once apparently was preparing for the hearing and saw

01 the record -- because he had two pages, none of which
02 referred to the montaria weekly reports and we had a lot
03 of questions about that --
04 DR HAFEZ: Is it fair to describe Italferr as the, if you
05 will, "Engineer under the main contract", and THE as the
06 "engineer under the civil works agreement", is that --
07 DR ABDEL WAHAB: That is a fair characterisation, sir.
08 DR HAFEZ: Right, okay. Thank you.
09 DR ABDEL WAHAB: But the interesting thing, as I mentioned,
10 it speaks in four voices, THE and Italferr and then all
11 the others. This again is part of the record, all
12 attributed to Sahara there.
13 It goes beyond shortages of manpower, into labour,
14 supervision, procurement of material, and even financial
15 constraints we had to deal with as Siemens.
16 I'll fast forward, in the interests of time.
17 Speaking of good faith, we are surprised that
18 Siemens is attacked on good faith, when as a matter of
19 fact the record shows otherwise. Despite not being
20 under contractual obligation, we provided an additional
21 advantage, that's in amendment 1, the first amendment,
22 bank assurance letters, and speaking of bad faith, they
23 in the submissions at least used that letter to say
24 these letters are extension of time, when they were
25 running after us to get these extensions to the bank and

01 these letters to the bank and we got that with a clear
02 statement that these are not extensions of time, of
03 course.
04 Shoring works, direct payments to Sahara's own
05 subcontractors and labour, employees, retention release
06 at the request, the performance guarantee, we reduced
07 that, despite the contract, and temporary site
08 facilities erected by us, despite being their scope,
09 remember, temp Ray permanent is their scope, and then
10 Siemens provide no delay during performance, exercising
11 only targeted remedies and reserving its right, at one
12 point telling them we are going to apply it.
13 These cannot be anything but acts of good faith and
14 collaboration.
15 Siemens was driven by the clear intention and desire
16 to get the project done. Even if they are taking
17 certain hits, but apparently that was not sufficient for
18 Sahara.
19 Now, the applicable law and evidentiary work,
20 a tribunal of this stature, I will not address it on the
21 law, except for few points I would like to say.
22 Let me say this. Now, what we have identified is
23 the clarity of the contractual language, the contract is
24 the law of the parties, all that. But what I would like
25 □202609270213 to address with you a few points.

01 Now, effectively the burden of proof, and we have
02 seen that, and the three elements, addressed to this as
03 well as the duty of mitigation. By the way, there has
04 been no duty -- they have not been adherence to the duty
05 of mitigation by Sahara to that effect, because they had
06 to do whatever they can to expedite and deliver the
07 works at their own cost, they have not done that, and
08 requested now Siemens to be liable for it.
09 The next slide is an important one. Why is it
10 important? Because again, as I mentioned, claimant's
11 case is a moving target, away from the port. They
12 started by saying, well, we are not running a detailed
13 comprehensive delay analysis case, because we have
14 presumptions.
15 Now that is nonsense, because delay analysis is
16 factual and technical, presumptions are legal.
17 Basically, again, unbelieverable.
18 They started by saying these are legal presumptions,
19 and that was in their response to -- and that's
20 a procedural application, article 52 response, they say
21 we have legal presumptions, and the S OC.
22 In that sense.
23 We actually told them that is wrong because they
24 identified no provision in the law, legal presumptions,
25 and you have a legal provision.

01 They had done nothing, they moved in light of that
02 response to say, by the way, it is not legal
03 presumptions, it is judicial presumptions, and here we
04 say judicial prongs assist an inference drawn by an
05 adjudicator from an established facts in evidence.
06 There are no established facts, and there is no
07 inference. It does not relieve the claimant from
08 proving the constitute elements of their claim (^), and
09 the primary facts must be proven. You cannot rely on
10 judicial presumptions that do not exist. You only do
11 that you have established and met your burden.
12 And the Court of Cassation itself, which is ILA40
13 ... presumptions or evidence and is not the sole basis
14 upon which judgment is based.
15 That is the additional layer. None of that.
16 So they say in the submissions that is the basis of
17 the delay case, absent that foundation, the delay case
18 fails.
19 That's why I'm saying all routes are blocked when it
20 comes to that, which is a rare treat in a case, I have
21 to say.
22 In addition to this we have provided further
23 evidence that judicial presumptions cannot contradict
24 the written record, and we have shown the inconsistency
25 in the cases, and they omitted notable references to

01 article 16 and 61 from the evidence law. That is why we
02 asked the tribunal to read the submissions with a grain
03 of salt and caution, given the repeated omissions, wrong
04 references, wrong citations, all that.

05 And now that takes me to 17.8 that we referred to
06 earlier, not going to dwell much on that, because the
07 tribunal is aware of the five exhaustive grounds, and
08 the applications not applied by Sahara, that addresses
09 the aspects that I touched upon earlier. We addressed
10 again the concurrent delay and failure to mitigate bar
11 recovery, so I'm not going to dwell this.

12 31, I'm going to address you on 30.1 and 29. Here
13 are the references as I mentioned. Subparagraph (i)
14 refers civil contractor shall for hit his right for the
15 claim. These are abundantly clear words, signed off by
16 the other side. Forfeiture can only mean -- and it is
17 not just repeated in one provision, to invite the
18 tribunal to infer whether it binds them in the other
19 provisions or not. No, forgot fitture of a right means
20 a waiver. There is no question about that. Not
21 a single authority can negate this.

22 Claim for payment, that's at paragraph 2, shall not
23 be considered unless included in the monthly statement.
24 We have seen already they have not made a request
25 for money (paragraph (ii)) except six years later, even

01 without an extension of time, which cannot stand.

02 Then the famous subparagraph (iii), and the debate,

03 and the questions we have seen regarding the civil

04 contractor precluding from asserting these claims.

05 I did offer my interpretation, I'm open to any questions

06 the tribunal has on the law or interpretation, but for

07 me the matter is (^word) effectively it says what it

08 says. Precluded from asserting these claims. They have

09 not put forward any evidence to suggest they should not

10 apply, they came up today with the interesting argument

11 that it is between the parties, but a claim is a claim.

12 If you can't assert a claim, it does not matter between

13 the parties inter partes all or with a third party, and

14 certainly not with a tribunal or a court.

15 And there is no doubt that any court will uphold

16 those provisions. The court of cassation expressly said

17 that such contractual periods are time bar provisions

18 with the parties are fully entitled to show to an extent

19 by agreement not limitation periods.

20 I say that, this is the law of the land, any

21 argument or attempt to say that these are public policy

22 or public order, is with respect nonsense.

23 DR HAFEZ: Sorry, could you tell us the distinction that is

24 drawn in the submissions between time bars and

25 limitation periods?

01 DR ABDEL WAHAB: Yes. So limitation periods as a matter of
02 Egyptian law we have limitation and prescription
03 periods, very much like Italian law, French law.
04 So a limitation period, when you have a debt, say,
05 you claim that debt over a period of time, three years,
06 five years, one year, 10 years, seven years in
07 commercial. These are limitation periods to an action
08 absent a contractual arrangement to bring in a claim for
09 a debt.
10 This you cannot shorten, and you cannot change.
11 That a matter of public policy but they still need
12 to be invoked.
13 So absent invocation this they do not apply.
14 These have nothing to do with contractual mechanisms
15 about waiver and admissibility of claims. Because
16 effectively to do so means that you are disregarding the
17 parties' agreement, and the law of the land dictates
18 that party autonomy, the contract makes the law the
19 party, this is effectively equivalent to a forfeiture,
20 waiver of right, estoppel, inadmissible claims. That is
21 why Siemens doing business in script have actually made
22 sure their contracts reflects that so there is no
23 confusion.
24 And yet we come to an arbitration with a clear
25 contractual matrix and provisions that refer to

01 a party's rights and a waiver.

02 Mr President, as a matter of Egyptian law, I have

03 the full right as a party to waive an entitlement or

04 a right. That must be unequivocal, and the unequivocal

05 nature to be express or implied, but it must be

06 unequivocal.

07 Here the provisions of the contract stands clear,

08 unambiguous and invite no interpretation, that they have

09 nothing to do with limitation periods dictated by law,

10 because the source, the legal obligation arises from the

11 contract whereas limitation periods, the legal right

12 arises under the law. They are completely separate

13 tracks. That's it. Does that answer you.

14 DR HAFEZ: It does. It goes a considerable distance, but

15 I have a further question, if I may.

16 DR ABDEL WAHAB: Sure.

17 DR HAFEZ: Now, you have got different language in 30.1.

18 And you have got them up on your slide.

19 DR ABDEL WAHAB: Yes.

20 DR HAFEZ: You see that under (i) the terms used are "the

21 civil contractor shall 'forfeit his right' for such

22 a claim", and un(iii) the term used is:

23 "The civil contractor is precluded from asserting

24 these claims."

25 (doc).

01 Are these -- how are we to interpret those? Are
02 they essentially driving at the same points? Do they
03 involve different legal mechanisms? Does anything turn
04 on the difference in language used?
05 DR ABDEL WAHAB: I can answer that. Practically speaking,
06 nothing in terms of the (^word). The legal notions
07 engaged in the three may be legally different, but they
08 all reach the same conclusion.
09 So under (i), shall forfeit his right, that is
10 a clear outright waiver.
11 The second one, shall not be considered, is
12 inadmissibility. Which means they cannot be considered.
13 Disregarded. Which leads ultimately to the same
14 pragmatic or practical effect, which is they cannot be
15 heard.
16 The third one, at the end of the period, which is
17 the 14 days, says it is precluded from asserting those
18 claims, and this is in line with the negotiation of stem
19 as a matter of Egyptian law, to that effect which leads
20 to the same conclusion as a waiver. You are estopped
21 from asserting those claims because you have waived and
22 forfeited your rights, looking at the --
23 MR ABDEL MAWLA: Estoppel is in Egyptian law?
24 DR ABDEL WAHAB: Of course it is --
25 ABDEL MAWLA: It is (^word) by court.

01 DR ABDEL WAHAB: It is part of Egyptian law, and in fact.

02 MR ABDEL MAWLA: Which law --

03 DR ABDEL WAHAB: Counsel in (^word) had a number of Court of

04 Cassation activities number of (^word) decisions.

05 MR ABDEL MAWLA: Consider the (^word) award is part of the

06 Egyptian law?

07 DR ABDEL WAHAB: I consider the Court of Cassation judgment,

08 sir, it is not arbitral law.

09 MR ABDEL MAWLA: To the Egyptian law, I can say I have

10 a cassation to get through it, or to use it, but I can

11 say this is part of the Egyptian law?

12 DR ABDEL WAHAB: Okay, so if you are driving at the position

13 that whether this is a precedent or a persuasive

14 authority, is my understanding correct?

15 MR ABDEL MAWLA: The term Egyptian law. Because why I'm

16 insisting here, because I don't think that Egyptian law

17 is -- by our president, so here, some terms has to be

18 clear.

19 We are now on the Egyptian law. Yes, things have

20 been said about limitation period and things like this,

21 this can be answered through what has been said. But

22 then I think about what is Egyptian law when it comes to

23 estoppel.

24 DR ABDEL WAHAB: Yes, if I may answer that, and if the

25 tribunal would indulge me to do that, although in all

01 modest what I'm going to do is law 101, and this is what
02 we teach our Cairo university in something
03 called the theory of law, and that is year 1.
04 When they study the theory of law and theory of
05 rights so. The theory of law talks about law. Law is
06 divided into legislation, and non-legislative sources.
07 Legislation is primary legislation like legislation law
08 X, press identical decree Y, and secondary resources
09 which are effectively executive regulations, is an
10 example.

11 MR ABDEL MAWLA: Yes.

12 DR ABDEL WAHAB: Circulars, whatever. These are the
13 legislative source under the auspices of the law. The
14 non-legislative sources includes court decisions and
15 includes doctrine by legal authorities.
16 We do not have a system of binding precedents, but
17 what we do have is effectively persuasive authorities
18 explaining the law and applying it.

19 Now that is in civil law.

20 Now get carried away with the academic. In public
21 and administrative law the court decisions actually make
22 the law to an extent. Why? Because it is not fully
23 developed, legislatively. So what actually has
24 happened, and we have that decision on record, by the
25 Court of Cassation, it has unveiled a general principle

01 of law, the source of which, as the court mentioned, is
02 that under the preliminary provisions of the Egyptian
03 Civil Code it refers to the various sources of law. One
04 of those sources is general principles of law and
05 natural law. So the Court of Cassation in the judgment
06 did not invent estoppel, it says this is one of the
07 fundamental principles, one, tied to good faith,
08 secondly, one of the general principles of law that
09 forms part of the whole (^word) of the Egyptian legal
10 system.
11 So to me when I say law it includes those
12 legislative non-legislative. Does that answer.
13 MR ABDEL MAWLA: For me, I have a clarification answer.
14 DR ABDEL WAHAB: A different one?
15 MR ABDEL MAWLA: Yes.
16 DR ABDEL WAHAB: But I'm --
17 DR ABDEL WAHAB: Appeal court can say a court award without
18 taking in consideration the cassation award before?
19 DR ABDEL WAHAB: The appeal?
20 MR ABDEL MAWLA: Yes.
21 DR ABDEL WAHAB: Theoretically this has happened.
22 MR ABDEL MAWLA: Yes.
23 DR ABDEL WAHAB: What happened is it went second time to the
24 Court of Cassation, and second time court of cassation
25 has the authority to send it back or stand and decide of

01 the decision.

02 MR ABDEL MAWLA:

03 DR ABDEL WAHAB: Are you using the law as a decision or the

04 legislation.

05 MR ABDEL MAWLA: The cassation award. Gone to the

06 court.

07 DR ABDEL WAHAB: Because of the --

08 MR ABDEL MAWLA: Excuse me, I used to be an appeal judge.

09 So I understand -- when I speak about the cassation

10 award, in front of us, before, not now.

11 DR ABDEL WAHAB: So the fact is there are cases where the

12 Court of Appeal has taken a different position from the

13 Court of Cassation.

14 MR ABDEL MAWLA: Yes judge then what happened is the party

15 challenges that decision again. The Court of Cassation

16 does one of two things, either they take the case and

17 decide it on the merit because they are a court of law,

18 on or he remand it back to the Court of Appeal with the

19 second circuit, a different circuit.

20 MR ABDEL MAWLA: This is right, but you cannot say this is

21 Egyptian law. You can't refer it for like cassation

22 award, we can use, it is acceptable -- I don't take

23 judgment -- we speak about the title of Egyptian.

24 DR HAFEZ: In the interests of time, is the position that

25 the Egyptian Court of Cassation recognises the doctrine

01 of estoppel in terms as being part of Egyptian law? Is
02 that the position.
03 DR ABDEL WAHAB: That is not just my position, that is the
04 100 per cent what the Court of Cassation said.
05 And what the Court of Appeal has even done, just to
06 be clear, in 2013 a decision, 2013, regarding something
07 called (^word) media city, where they said estoppel.
08 And then both courts, the Court of Cassation and the
09 Court of Appeal were racing who would recognise estoppel
10 first. I'm afraid there is no disagreement among the
11 courts, it is a question of who wants to take credit for
12 doing it first.
13 And the Court of Cassation went back and said by the
14 way we recognise estoppel since 1942, and that's
15 a decision.
16 DR HAFEZ: Is that RLA-7, is that the one you have up there?
17 DR ABDEL WAHAB: Yes.
18 We a law cash.
19 PRESIDENT: I understand, and we used some of your time, so
20 you had before the last question, before the last
21 question you had something like 20 minutes, so I would
22 like you to keep those 20 minutes, if it is not too
23 tight. Also because I'm looking at the time, and we
24 have the witness to be heard, so -- and you must be sure
25 to have the time allocated for the cross-examination, --

01 DR ABDEL WAHAB: True, but I want to do fairness to my
02 colleague as well.
03 Let me press with that, and I'll do my best.
04 So 29. Why don't we -- I'll do this, I'll do
05 something different. Let's open 29, directly from R-2.
06 Just open the exhibit right away.
07 R-2/48.
08 What you have heard today, I already addressed 30
09 now, what you heard today is that this double standard
10 about 29 not being applicable to them, and applied to
11 us.
12 Which we have already provided authorities on
13 record, legal authorities, and they are called legal
14 authorities of cases, supporting our position.
15 But beyond that, let's look at 29. What it says.
16 If a disputeres negligence to the present ... the
17 representatives of the parties concerned will do all in
18 their power to settle the
19 (doc).
20 Acting fairly and in good faith. Each of the
21 parties can put an end to such negotiations at any time
22 by notifying the other party of its decision in writing
23
24 (doc).
25 And then it goes on to say what it says.

01 What you heard from claimant today is nothing short
02 of the pot calling the kettle black.
03 They are blaming us, apart from the double standards
04 and the fact that they ran the argument that the delay
05 related claims are related, and they are inverse, heads
06 and tails of the same coin, so that in itself defeats
07 the whole purpose of the discussion, but I recognise the
08 difficulty they are in, because that's the only answer
09 they provide to the counterclaims.
10 The issue they run into is that this is a bar to
11 their claims.
12 But if the tribunal is minded, we have already
13 provided material, merit based safety ... wording offers
14 the answer. This is not an obligation on Siemens only.
15 And it is not an obligation only on the party seeking
16 relief, for claims. It is the other party invited,
17 shares the obligation to engage in good faith, so if you
18 send a claim, the other side has the right to say let's
19 discuss it and negotiate that in good faith. They have
20 not done that. And they started proceedings.
21 The very start of proceedings, effectively, means
22 that you are now in a different domain, different
23 universe, different realm, where the case being run,
24 again, requires us, not only to defend, but bring the
25 claims under the same contract. They have not

01 effectively done anything from their side to say that,
02 let's engage, let's concede, let's discuss. So they
03 are, if they claim we are in breach, they are in breach
04 in relation to both the claims and the counterclaims,
05 because it is a shared obligation.

06 So I'm afraid their position is of no assistance to
07 the tribunal. Let alone the fact that the law is on our
08 side, the practice is on our side and that we have
09 provided authorities, they have only provided arguments.

10 I will stop here, and I will hand over to my
11 colleague to address the tribunal.

12 MR RAMSIS: Mr President, members of the tribunal, I have
13 a lot to cover so I'll try to move as fast as possible
14 to cover -- I intend to cover the claims and
15 counterclaims as well.

16 So first --

17 DR HAFEZ: Yours is the unfortunate position is having to
18 cover claims and counterclaims in under 15 minutes. So
19 you are going to have to cut your coat.

20 MR RAMSIS: That's the plan. But I think we have a little
21 over that, if I'm not mistaken.

22 PRESIDENT: Five minutes.

23 MR RAMSIS: Okay. So --

24 MR ABDEL MAWLA: I think five minutes will not take up --

25 RAMSIS: Very much appreciated.

01 So I will turn now to Sahara's claim for
02 prolongation costs. As our colleagues from claimant's
03 side today, this claim represents around 80 per cent of
04 the total amounts claimed by Sahara in this arbitration.
05 Sahara however has not established the essential
06 requirements required to recover those prolongation
07 costs, Sahara has not established any defined period of
08 excusable and compensatable delay, it has not
09 established a necessary causal link between any alleged
10 event and the prolongation claimed. And it has not
11 proved the costs. Alleged by incurred.
12 So I start with the first point. Sahara has not
13 established any excusable or compensatable delay, Sahara
14 as we have addressed today does not seek any extension
15 of time, there is does not establish its entitlement to
16 any extension of time, and of course to recover
17 prolongation costs Sahara needs to prove that a critical
18 delay incurrd and that this delay, this critical delay,
19 is excusable and compensatable under the civil works
20 agreement.
21 One interesting point, Sahara seeks to answer that
22 deficiency by relying on what it calls a factual
23 extension. The completion period. But Sahara itself
24 distinguishes that factual extension from a contractual
25 extension under the civil works agreement. The fact

01 that completion occurred later does not mean that the
02 works were extended from a contractual standpoint.
03 More fundamentally, Sahara never identifies any
04 period of compensatable prolongation. There are 14
05 technical buildings in relation to Sahara's scope under
06 the civil works agreement. Multiple alleged delay
07 events, and years of performance. Yet Sahara does not
08 identify the period of delay caused by Siemens. Any
09 period of delay caused by Siemens.
10 That is fatal to both causation and quantum.
11 So, before turning to the alleged delay indicators
12 that Sahara relies on in this arbitration, we
13 respectfully invite the tribunal to first consider the
14 effect of the first amendment on the matters Sahara now
15 seeks to rely upon in relation to these alleged delay
16 indicators, many of the matters Sahara now invokes
17 pre-date the first amendment.
18 So that takes me to Sahara's so-called delay
19 indicators. The issue is not whether events occurred
20 during the course after the project. The issue is
21 whether Sahara has proved that any particular event
22 caused critical delay for which Siemens is responsible.
23 Sahara's evidence as Dr Abdel Wahab said today never
24 makes that bridge.
25 HAFEZ: I'm troubled by a part of the argument. On your

01 case, annex A, footnote 2, those are not revised
02 completion dates. But that was the principal benefits
03 of the first addendum to the claimant in these
04 proceedings.

05 Can you at one at the same time say they are not
06 entitled to the revised completion dates, because they
07 have not established that I was awarded a corresponding
08 extension of time under the RNE agreement, and at the
09 same time claim the benefit of the wiping the slate
10 clean, or the tabla (^word) by way of defence to
11 entitlement, their entitlement potentially proceeding
12 that date?

13 MR RAMSIS: I try to answer you, sir, and of course if you
14 need further clarifications I will be happy to provide
15 those.

16 The first amendment, it is -- it represented
17 a pragmatic commercial arrangement that the parties
18 agreed to. So the parties agreed that there are revised
19 completion dates, however, because the first amendment,
20 or those revised completion dates were not based on any
21 delay analysis at the time, that Sahara has made, and
22 therefore, or has undertaken, and therefore the parties
23 at the time did not consider those revised completion
24 dates to constitute an extension of time.

25 So this does not prove anything, this does not

01 represent or constitute an admission in any way by
02 Siemens, and of course we have addressed the point in
03 relation to annex 1, the footnote 2, are and we have
04 heard claimant's position today. Claimant's position,
05 or claimant's interpretation, is that this does not mean
06 that Siemens will receive a EOT under the main contract.
07 This is not what the claimant has pleaded.
08 Of course another point is claimant did not request
09 during the production of documents phase any EOTs
10 granted to Siemens under the main contract.
11 So the record is clear. The record does not contain
12 anything, Sahara should have requested those documents,
13 should it intended to rely on this qualification in
14 annex 1, it did not.
15 DR HAFEZ: I have this point, but -- so let's just assume
16 hypothetically that we are with you on the
17 interpretation of the footnote. Let's just assume that.
18 That would mean that they would be denied the
19 benefits of what they -- a perceived benefit of the
20 amendment, of the first amendment. Was that the only
21 benefit they would receive under that amendment? And if
22 it is, can you at one at the same time use the amendment
23 to shield your client from liability whilst denying them
24 the benefit, the principal benefit, potentially the
25 principal benefit of that instrument on the premise that

01 they have failed to establish receipt by the main
02 contractor of a corresponding extension of time under
03 the RNE agreement.
04 MR RAMSIS: If I can answer that.
05 One, it is not uncommon to have a recovery plan when
06 a party is delayed (Dr Abdel Wahab), so the immediate
07 legal answer to that is they are not denied a benefit
08 much a party cannot benefit from its own wrongdoing. So
09 the wrongdoing is the delay, and the confirmation of
10 annex 1 or amendment 1 is to give the opportunity try
11 and accelerate and recover, to the extent possible, but
12 then the answer comes from page 2, effectively, R-4/2,
13 where I referred the tribunal to the sufficiency of what
14 they got. And we showed the tribunal the slide of the
15 6,750,000 perhaps money as well as the dates as well as
16 the adequacy of what they got in exchange. None of
17 which as part of the bargain relates to an extension of
18 time.
19 So they took an informed decision, and agreed at the
20 time, that the benefit they have received under that
21 agreement is in consideration for what they have now
22 going to do, which they failed to do afterwards.
23 So the premise of the question actually starts from
24 a benefit being denied, when as abler in of fact the
25 benefit forms part of the consideration under that first

01 amendment.

02 MR RAMSIS: If I may add to that, respondent's position is

03 that claimant has indeed benefited from the first

04 amendment. First of all, we have the first amendment

05 recorded prior to agreeing to the (^word) application of

06 LDs.

07 Number 1.

08 Number 2, the price adjustment formula was also

09 revised to take into account the revised completion

10 dates as opposed to the original completion dates in the

11 (^word) agreement. The additional advance payment that

12 Dr Abdel Wahab has just mentioned, so all of these were

13 measures of assistance, provided to Sahara during the

14 performance of the works.

15 DR ABDEL WAHAB: But the one thing it wanted to make clear

16 is that this is not a EOT, so there is no argument about

17 potential prolongation, because you can't get

18 prolongation without a EOT.

19 DR HAFEZ: Your case then is that that is not the only

20 benefit of that agreement, that agreement was valuable

21 to them even if the revised completion dates were

22 conditional, and that they received other benefits which

23 you say include the advance payments and --

24 MR RAMSIS: The adjustment part.

25 HAFEZ: Adjustment to the formula.

01 DR ABDEL WAHAB: Yes, and delay and penalties no applied
02 early on but from the date of the first enhancement.
03 DR HAFEZ: And for bear answer as to delay penalties.
04 MR ABDEL MAWLA: Excuse me, adjustment payment is part of
05 the code? Applying an article of the contractual?
06 MR RAMSIS: You mean the price adjustment formula? It is
07 parliament of the first agreement and part of
08 (Simultaneous speakers - unclear) ^.
09 MR ABDEL MAWLA: It was applied? Remind ram it was applied
10 in accordance with the contract.
11 MR ABDEL MAWLA: Yes. When did you apply it?
12 MR RAMSIS: What do you mean, sir, if you can please --
13 MR ABDEL MAWLA: Was it applied before --
14 MR RAMSIS: It was applied during the performance of the
15 works,.
16 MR ABDEL MAWLA: Or several years?
17 MR RAMSIS: Let me explain.
18 The price adjustment formula, what it does.
19 MR ABDEL MAWLA: It is an article, shall it is an article,
20 yes?
21 MR RAMSIS: I'll try to the best --
22 MR ABDEL MAWLA: What I'm asking is it is an article?
23 MR RAMSIS: It is a provision in the contract.
24 Let me just try to clarify, because what the price
25 adjustment formula sets out is a base date, which

01 is November 2017, and it says that there is
02 a mathematical midpoint between this base date and the
03 dates on which the works should have been completed.
04 So here what it says, and we can open up the
05 relevant clause, and I think this is very important
06 because there is a confusion on claimant's side in
07 respect to this issue, the fact that we processed price
08 adjustment payments does not mean that we accepted or
09 admitted any kind of delays. What we did is we applied
10 the contract, we applied the dates.
11 MR ABDEL MAWLA: Applied the contract or applied had a?
12 MR RAMSIS: Sorry?
13 MR ABDEL MAWLA: You said now we applied the contract?
14 MR RAMSIS: We applied the contract, yes. What we applied
15 is not the actual completion date pleaded by claimant in
16 this arbitration, just to be clear.
17 So that's the point. The fact that we processed
18 invoices for price adjustment invoices does not mean
19 that we used the actual completion dates as I mentioned.
20 The formula operates as follows. We have the base date,
21 we have the contractual completion dates, and there is
22 the midpoint. Right? So this midpoint shifts if they
23 take -- if they are granted an extension of time, and
24 I think the provision is up here on screen, and of
25 course the tribunal can consider accordingly.

01 Any further questions sir.

02 MR ABDEL MAWLA: No, no.

03 DR HAFEZ: Could I just be told where the price adjustment
04 formula is addressed in annex A? Sorry, in the first
05 amendment?

06 MR RAMSIS: I think it is annex 5 at page -- annex 2.
07 This price adjustment formula replaced the price
08 adjustment formula under the civil works agreement.
09 So moving on to the delay indicators, and I'll try
10 to be quick, and of course the slides are on record, and
11 with the tribunal, so -- and references as well, so
12 I will not waste time opening up documents, but what we
13 want to highlight in relation to this slide is that
14 claimant itself acknowledged that those delay indicators
15 were not intended to constitute a comprehensive analysis
16 of the effects of those delays, and in the SOR following
17 that statement claimant refers to the Sahara report as
18 being the document they rely on for this comprehensive
19 analysis. And of course as the tribunal will test the
20 author of Sahara's report evidence tomorrow, this
21 evidence does not by any means constitute
22 a comprehensive analysis of any sort.

23 DR HAFEZ: Is the reference there to paragraph 117 which
24 Dr Abdel Wahab referred to, of the reply?

25 RAMSIS: Correct, sir.

01 So let me turn to the first delay indicator, first
02 alleged delay indicator.
03 Sahara's case on this event is internally
04 inconsistent. Its own contemporaneous assessment
05 recorded nine or 10 days. Its S OC alleged 75 days, as
06 a result of the advance payment issue, its reply then
07 referred to approximately 70 days. But the more
08 fundamental point is contractual. Under article 11.4.
09 1(a), Siemens obligation to release the advance payment
10 was conditional upon Sahara providing the required
11 guarantee.
12 Sahara does not address that condition in advancing
13 this delay allegation nor does it establish that the
14 timing of the advance payment caused any critical delay
15 to completion.
16 So the chronology here is decisive, sir, Siemens'
17 obligation to release the advance was conditional on
18 Sahara providing the required guarantee. Sahara
19 provided it 31 days late, Siemens paid eight days later,
20 Sahara then thanked Siemens for speeding the process up.
21 In addition, the delay analysis of Mr Abdelbakey,
22 respondent's independent delay expert, identifies no
23 critical delay attributable to the advance payment.
24 The second indicator, it relates to site handover,
25 here too Sahara asks the tribunal to infer delay from

01 timing alone. The civil works disagreement not require
02 all 14 sites to be hand over within a week, annex 1
03 contemplated separate and overlapping periods for 14
04 separate work fronts, and in fact, six sites were
05 actually handed over within 13 days from concluding the
06 first, the civil works agreement, four more were handed
07 over in May 2018, and all sites were handed over during
08 2018.

09 The point we want to make is that Sahara still had
10 to prove how any timing issue affected the critical
11 path, and for how long. It has not done so.

12 I now turn to the third indicator. Change orders.
13 Sahara places considerable emphasis on the number or
14 the volume of change orders. But the civil works
15 agreement expressly, as we can see on screen, it
16 expressly contemplated changes to Sahara's scope, and
17 this includes article 17.9, 17.3, 17.78, they all
18 address different aspects of the same issue, and of
19 course this is now before the tribunal.

20 So Sahara did not carry out the exercise required
21 under the sufficiently works agreement to show how any
22 change caused critical delay to the works. It did not
23 do any such analysis.

24 The number of change orders does not establish that
25 any one of them caused critical delay to completion.

01 Sahara's own change request records are fatal to its
02 case.
03 Many forms, which claimant has referred to, record
04 no time impact, and many say that time impact would be
05 assessed through a delay analysis, but the delay
06 analysis was never produced by Sahara.
07 A list of change orders does not identify
08 an effected activity, criticality, duration or impact on
09 completion.
10 The evidence also shows that change orders did not
11 stop Sahara from progress on affected original scope and
12 we have provided this on the slide. One more point on
13 the change orders, Sahara invoked in its S OC
14 25 per cent threshold. It did not provide -- it did not
15 refer to any contractual provision, it is it not provide
16 or adduce any legal authority supporting that
17 proposition.
18 The civil works ... changes and even on Sahara's own
19 proposed threshold the figures fall short as you can see
20 on screen in this slide.
21 Another point, another delay indicator alleged by
22 Sahara concerned alleged sequencing and priorities.
23 Sahara's premise is that the buildings had to be
24 completed in alleged particular sequence. The civil
25 works agreement says otherwise. Annex 7 sets out

01 overlapping periods, and Mr Abdelbakey found no
02 programme logic linking progress on one building to
03 completion of another.
04 So the alleged prioritisation therefore does not
05 establish any critical or compensable delay.
06 One of the documents referred to or relied on by
07 claimant in relation to this alleged sequencing is an
08 illustration which itself states that this is
09 a geographical phases layout. As explained by engineer
10 has am (^) that the grouping was organisational, and
11 Sahara's own drawing calls it geographical phases lay
12 out, so there is no basis for treating the 14 buildings
13 as having to proceed in a prescribed sequence, still
14 less for establishing delay.
15 The 12th indicator concerns two alleged tendencies
16 and I think we have heard today from our colleagues on
17 claimant's side, those alleged dependseries relate to
18 permanent power and the completion of the CTC building.
19 Neither is established.
20 Under the civil works agreement testing and
21 commissioning formed part of Sahara's scope, and Sahara
22 was responsible for providing the power required to
23 perform that scope.
24 As to the CTC building, Mr Abdelbakey found no
25 evidence of dependsesy alleged by Sahara.

01 So neither alleged dependency supports Sahara's
02 delay case, and of course we have several slides on
03 those particular issues with the specific contractual
04 provisions applicable including with respect to the
05 power source, because this is a point Sahara raises
06 which directly contradicts the agreement. What the
07 agreement says, and of course it is on screen, that it
08 is responsible to execute the construction scope of
09 work, and it should be executed by Sahara and shall
10 comprise everything necessary, and then we have 6.7,
11 which addresses in particular on site testing, all
12 necessary testing works, and also we have annex 1, which
13 is the most relevant provision in relation to Sahara's
14 obligation to provide the power source, which states
15 explicitly that the civil contractor shall be
16 responsible for the provision of all power to execute
17 the construction scope of work.

18 The terms of the contract cannot be clearer.

19 PRESIDENT: Just to provide you with some useful
20 information, we have counted, just without counting our
21 questions and our -- you have time until 20 to 6. Just
22 to balance what claimant had and used.

23 MR RAMSIS: So I have around 30 minutes?

24 PRESIDENT: A little less than 20 minutes, more or less.

25 I'm wondering whether the witness will be, first of all

01 available.

02 DR ABDEL WAHAB: He is here, sir, he is yours today.

03 PRESIDENT: And I hope that also the court reporter will be

04 with us until -- if we will be a little late than what

05 we scheduled, but we supposed to stop at 6.

06 DR ABDEL WAHAB: The court reporter is in London.

07 PRESIDENT: Yes.

08 DR ABDEL WAHAB: There is two hours difference. Dubai. One

09 hour difference.

10 PRESIDENT: Well, if you can check in the meantime, let's

11 speed up. Ram remind quickly on the eighth indicator,

12 and I think this is a point that is important to

13 highlight to the tribunal in light of what was discussed

14 today, Sahara's waiver case contradicts when it comes to

15 delay penalties the express wording of article 10.1.

16 Continued performance cannot be treated as a waiver,

17 where the contract expressly preserves Siemens right to

18 impose delay penalties and this is on screen.

19 And this is another authority that we have adduced

20 in evidence supporting our interpretation with respect

21 to the forbearance that Siemens has exercised throughout

22 the execution of the works.

23 Of course Sahara's own cited authorities which are

24 not on the record they confirm the same principle.

25 Now, I come to Sahara's own and concurrent delays.

01 The contemporaneous record shows persistent
02 performance deficiencies ... prolongation are assessed
03 and Dr Abdel Wahab went through some of these
04 contemporaneous records from THE, Italferr, Siemens and
05 Sahara itself. The point is, when it comes to the
06 prolongation costs claim is that Sahara's own and
07 concurrent delays must also be accounted for in
08 assessing causation and compensation. Sahara must
09 identify the additional costs caused by any delay for
10 which it seeks to hold Siemens responsible, as distinct
11 from costs arising from its own delay.
12 That is especially important under article 17.8(e),
13 as Dr Abdel Wahab has highlighted which only omits for
14 delays solely tribunallable for Siemens (^).
15 This also aligns with Egyptian law, where
16 non-excusable delay operates concurrently, the
17 contractor must segregate the excusable or compensable
18 delay from its own delay before compensation can be
19 awarded.
20 So I would address briefly the Sahara report, and of
21 course tomorrow the tribunal will have the opportunity
22 to test the evidence, but of course the Sahara report
23 does not apply a recognised delay analysis methodology,
24 it does not identify the critical path, it does not
25 perform a windows analysis time impact analysis or as

01 planned versus as-built analysis, it identifies events
02 and dates but does not demonstrate their causal effect
03 on completion.
04 By contrast to the Sahara report, Siemens has placed
05 before the tribunal -- so by contrast to the Sahara
06 report adduced by claimant, Siemens has placed before
07 this tribunal an independent delay analysis ... briefly
08 of course we will address that tomorrow, but
09 Mr Abdelbakey, he applies a recognised windows based
10 delay analysis, he divides the analysis into three
11 timeframes, he then assesses each of the 14 technical
12 buildings individually against the as-built critical
13 path.
14 It is also important to be absolutely clear about
15 what the expression potentially excusable means, if
16 I can just take the tribunal very briefly to
17 Mr Abdelbakey's report itself, because the
18 qualifications there, Mr President, members of the
19 tribunal, they are express and fundamental.
20 Mr Abdelbakey as we can see on screen does not find
21 any -- that any such delay is contractually excusable,
22 he does not find liability, he does not find entitlement
23 to extension of time, potentially excusable is a delay
24 analysis classification only. The maximum period that
25 is capable of constituting excusable critical delay, if

01 proven, and of course subject to the tribunal
02 determining the underlying facts and contractual
03 entitlement.
04 Critically, that classification does not establish
05 any entitlement to compensation. Mr Abdelbakey states
06 in clear express unequivocal terms that a finding of
07 maximum potentially excusable delay does not by itself
08 establish come penceability. He then goes further and
09 confirm that is on a project wide basis on which Sahara
10 advances its prolongation costs claim he identifies no
11 period of potentially compensable prolongation
12 attributable to Siemens.
13 And of course the following slides, they address the
14 conclusions of Mr Abdelbakey in greater detail.
15 So the conclusion on prolongation is clear.
16 Zero days, zero days of project wide compensable
17 prolongation, Sahara claims 120 million EGP, in
18 prolongation costs, but Mr Abdelbakey's independent
19 delay analysis identifies no period of -- no period
20 capable of supporting that claim.
21 I now turn from delay in causation to quantum. In
22 addition to its failure to establish any expensable
23 delay, Sahara still had to prove the costs it actually
24 incurred. It did not. Sahara produced no
25 contemporaneous cost records for the prolongation costs

01 claimed, no project ledgers, no payroll records, no
02 purchase orders, invoices or proof of payment, document
03 production confirmed this evidentiary gap. When Siemens
04 requested the invoices, payroll records, cost ledgers
05 and other contemporaneous records Sahara did not produce
06 them. Instead, it confirmed that its claim was based on
07 tender percentages rather than costs actually incurred.
08 For a claim of more than 120 million that
09 evidentiary gap is striking.
10 I believe claimant's counsel today has
11 referred to article 221, and we respectfully invite the
12 tribunal to check this article which confirms
13 respondent's position, that claimant has failed to
14 establish actual loss. Tender prolongation costs based
15 on estimates, or based on allowances, tender allowances
16 and tender rates, this does not represent actual loss.
17 So concluding on the prolongation costs claim, the
18 conclusion is straightforward. Sahara is not
19 established entitlement, has not established critical
20 delay, has not established a compensable period and not
21 proved actual loss, so the claim for 120 million must
22 therefore be dismissed.
23 I'll address now the other claims, I think I have
24 20 minutes, right?
25 No, you have 9 minutes. 20 to 6.

01 MR RAMSIS: Very briefly, we have many claims advanced by
02 Sahara in this arbitration, which are delay related
03 claims, and if the prolongation costs claim falls,
04 everything else falls away.
05 Before I move to the counterclaims, one point of
06 clarification on slide 138.
07 So this slide here, at the very top on the left
08 side, I think does not reflect 100 per cent the
09 respondent's position so I wanted to correct that for
10 the record. We do not say that the preliminary
11 completion certificate for each technical building has
12 not yet been issued, had a we say is that the parties
13 had agreed on an alternative arrangement whereby, or
14 this alternative arrangement was actually proposed by
15 Sahara itself by requesting a phased reduction of the
16 performance guarantee in consideration for retaining
17 retention amounts in relation to three buildings.
18 Now moving to Siemens counterclaims, I'll address
19 those very briefly.
20 So first, starting with delay penalties. Siemens is
21 entitled delay penalties under article 10.1 and 5.3 of
22 the first amendment. Sahara missed the applicable
23 completion dates, the delays materially ex I had the
24 contractual cap, Siemens claims only the capped amount,
25 the 10 per cent (exceed), not the full amount produced

01 by the delay penalty mechanism.

02 Article 10.1 expressly allocates burden. I think

03 this is one of the points we touched on today. Siemens

04 does not have to prove actual damage as a condition to

05 applying agreed penalty. Once delay against the

06 contractual dates is established, Sahara must prove that

07 it was not responsible for that delay, and if Sahara

08 relies on the absence of damage under article 224 of the

09 Civil Code, the burden of proving that also -- the

10 burden of proving that also rests on Sahara. It has

11 done neither.

12 Sahara suggested today that it had requested

13 documents, concerning delay penalties under the main

14 contract during the production of documents phase. Just

15 to be clear, it did not. What the request that Sahara I assume was referring to was request

16 number 3 of

17 claimant's production of documents requests, which

18 sought only the last payment certificate under the main

19 contract.

20 The tribunal denied that request on the grounds

21 stated in PO6, including because the request was

22 irrelevant, immaterial and overly broad.

23 More importantly, Sahara never requested the records

24 of any delay penalties, actual delay penalties allegedly

25 imposed on Siemens, nor did it request documents

26 evidencing Siemens actual losses resulting from Sahara's

01 breaches and delays. Sahara had the opportunity during
02 the production of documents phase to seek the evidence
03 necessary to discharge its burden under article 224, it
04 elected not to do so. It cannot now rely on the absence
05 of evidence that it never sought, in order to discharge
06 a burden that rests squarely on it.

07 So on the primary computation, the delay penalties
08 that respondent is entitled to is 10.8 million, and of
09 course there is a correction that we have highlighted,
10 there is a correction to that slide which we have
11 highlighted this morning.

12 Moving to the direct payments, to subcontractors
13 contractors and labour (^).

14 DR HAFEZ: Sorry when you say correction to the slide,
15 presumably you will circulate an errata at some point.

16 MR RAMSIS: Actually the updated PowerPoint presentation,
17 I think it is with you, sir, at the moment.

18 PRESIDENT: Okay.

19 MR RAMSIS: It is also included in the USBs we have provided
20 provided.

21 DR HAFEZ: If that's the one, that's fine. I have it.
22 Thank you.

23 MR RAMSIS: Moving to the direct payments subcontractors and
24 labour. The starting point is Sahara's own obligation
25 under article 8.1. Sahara was required to provide all

01 labour and resources necessary for it to perform its own
02 scope of work, yet its work force and subcontractors
03 went unpaid to the point that progress was affected and
04 Sahara itself acknowledged substantial debts to its
05 subcontractors. Siemens then stepped in, with Sahara's
06 knowledge and agreement, to make direct payments so that
07 the works could continue.
08 Those were payments for Sahara's own work force, and
09 labour. Made on the basis of lists and amounts supplied
10 by Sahara itself.
11 Moving to the temporary construction facilities
12 counterclaim --
13 DR HAFEZ: Just to be clear, you are not just saying you
14 paid subcontractors, you are saying you paid staff
15 members.
16 MR RAMSIS: We paid subcontractors of Sahara as well as
17 labour, Sahara's labour on site, in relation to the
18 project. And that was done through a third party named
19 IDS, are and IDS, the means through which the payments
20 were being made, and everything is evidenced in our
21 submissions, and of course confirmed by our independent
22 quantum expert.
23 DR HAFEZ: Okay.
24 RAMSIS: So moving to the temporary construction
25 facilities counterclaim, of course -- and I think this

01 is something that is not disputed between the parties,
02 that the civil works agreement places the temporary
03 facilities squarely in Sahara's scope. The
04 section 01500 article 8.1, and annex 5 all point in the
05 same direction. Sahara does not seriously dispute the
06 contractual responsibility, its case is it performed it.
07 Their evidence shows it did not fully do so.
08 Of course, I would refer the tribunal to engineer
09 ... for how long, and what Siemens then had to arrange
10 in its place at several sites Sahara provided no
11 facilities at all, at others the facilities were
12 unsuitable or were not maintained throughout the works,
13 Siemens therefore had to provide those facilities and
14 arrange the missing facilities itself.
15 This slide on screen (Islam Hussain).
16 This slide on screen shows our respondent's
17 independent criminal expert's assessment of this
18 counter.
19 Moving to the remedial works counterclaim, Siemens
20 repeatedly notified defects Sahara, Sahara did not
21 rectify them, the counterclaim is therefore for costs
22 actually incurred when Siemens performed or procured the
23 remedial works that Sahara should have carried out under
24 article 16 of the civil works agreement which is on
25 their own screen.

01 Sahara assess it remedied the defects, but has
02 produced no contemporaneous record proving that. And of
03 course we have seen the relevant contractual provisions
04 in the civil works agreement in relation to Sahara's
05 obligation to retain records relating to its performance
06 of its scope of work, and under Egyptian law and as well
07 the civil works agreement documentation, it was Sahara
08 that had to prove performance (^), it cannot discharge
09 that burden by shifting it to Siemens, prove that the
10 remedial works were not completed.

11 I now turn to as-built drawings. The civil works
12 agreement required Sahara at no additional cost to
13 prepare as-built drawings recording the permanent works
14 as actually executed on ground. Siemens repeatedly
15 requested those drawings and warned that if Sahara did
16 not provide them, Siemens would prepare them on Sahara's
17 behalf, and recover the cost and this is all on the
18 record.

19 And the evidence identifies 19 drawings prepared by
20 Siemens in Sahara's place, and as well the respondent's
21 independent quantum expert's assessment.

22 Moving through the unfinished remarks, the extorting
23 point that the outstanding items were recorded in
24 Sahara's presence and signed by its own managers, Sahara
25 does not dispute the obligation to complete them, its

01 case is only that it plated it (^), that means the
02 dispute is proof of discharge, and the burden of course
03 relies on Sahara as we have discussed in relation to the
04 remedial works counterclaim as well.
05 Additional -- just to clarify regarding the relief
06 that seems seeks with respect to the unfinished remarks,
07 are what Siemens seeks in relation to that is an order
08 by the tribunal requiring Sahara to complete these works
09 during a fixed period, during a period to be fixed by
10 the tribunal, failing that, a declaration that Siemens
11 may complete them at Sahara's expense, and recover the
12 actual and reasonable costs in doing so.
13 Moving to the additional raised floor tiles, very
14 briefly, section 10270 (^) required 2 per cent spare
15 stock of each colour and component to be delivered
16 before the completion certificate. This was spare
17 stock. Not wastage and not material consumed during
18 installation. Sahara has produced again no
19 contemporaneous record showing that the required stock
20 was actually delivered in what quantity, when, and
21 where.
22 And then, the last counterclaim is the repayment of
23 the price adjustment overpayment, and of course the
24 tribunal is well informed and well aware of that
25 counterclaim and the quantum expert's assessment in that

01 regard, and this concludes my --

02 DR ABDEL WAHAB: There is one point that I want to show the

03 tribunal that I promised they will not regret in

04 a couple of minutes.

05 In a couple of minutes.

06 Open the exhibit. It is useful for the tribunal to

07 see the project on a map. And it is on record. The

08 reason for that, sir, it is one thing. Now, you will

09 see here there has been a bit of a debate, I must say,

10 it is not an open submission by Sahara that they are

11 within a so-called military area. They are not claiming

12 that, unless I'm mistaken. Perfect. So at least that's

13 an area of agreement.

14 What they have mentioned a military area -- by the

15 way the military area is the darker green side that is,

16 what do I call it, a straight line perpendicular,

17 a 90 degrees one. These are inside a glowing green

18 colour. The only time it features, and I say that, it

19 is when Sahara ran the argument -- remember the good

20 company point that I made in the introduction, that not

21 only them but Hasan Allam and Gran-Tech are in delay.

22 Hasan Allam and Gran-Tech have military area, and these

23 are of course different zones. Sahara's project ends at

24 Ba'alwa, this is the area. From the beginning in part,

25 the 14 sites, up until there. So even on the border

01 there.

02 I say that as well in full transparency, and

03 I understand claimant is not disagreeing with that, to

04 make it clear that there is nothing in relation to the

05 military area.

06 So any issues about delay in handing over or

07 whatever, does not apply to them because they are not in

08 the military area. That's the couple of minutes

09 I wanted to make clear and it is on record, exhibit

10 RE1-94.

11 Thank you.

12 MR ABDEL MAWLA: Silence of the claimant is an accepting or

13 denying?

14 DR ABDEL WAHAB: They can tell us.

15 MR ABDEL MAWLA: Consider it acceptance?

16 DR ABDEL WAHAB: They nodded, is that agreed?

17 MR ABDEL MAWLA: I'm not forcing anyone to answer, but this

18 was not --

19 PRESIDENT: Is it a statement that you do -- no, no, but the

20 question, my question is, is it, the map that has been

21 shown, does correspond to your understanding of where

22 the territory of let's say competence of the three

23 subcontractors, one it is Sahara, and I think we all

24 agree that it is on the left side of the map, but the

25 other two, Gran-Tech and the third one that I would not

01 dare to pronounce, thank you very much, is were in
02 charge. That's the question.
03 MR ZEAD: (microphone muted).
04 DR ABDEL WAHAB: In fairness E they were nodding in
05 agreement the silence seems to come across and complete
06 I (microphone muted). Mutual mute. (microphone muted).
07 (microphone muted). Don't know your project --
08 MR ZEAD: Are we forced to answer it now.
09 DR ABDEL WAHAB: You don't know your project?
10 MR ZEAD: That's a simple question. Are we forced to answer
11 it now.
12 PRESIDENT: You are not forced. You can say I don't answer.
13 MR ZEAD: No, I will not answer it now. I will get to
14 this -- I will address this issue in my pores hearing
15 briefs.
16 PRESIDENT: Okay. Fair enough.
17 DR ABDEL WAHAB: Fair enough, I apologise, because they
18 don't run a case that they are in a military area, and I want the tribunal to draw an inference that
19 they do
20 not know the project site they were working in, and that
21 is an answer.
22 PRESIDENT: That will be on our hands to take a conclusion,
23 and to have an opinion of their reply, that could be
24 probably different, but that's something in our hands,
25 they decided not to answer, and that we will --
MR ABDEL MAWLA: I think what I heard not answering now.

01 Not not answering.

02 PRESIDENT: Well --

03 MR ABDEL MAWLA: That's what I heard. Is it right?

04 MR ZEAD: No, no -- not answer now. I said I will address

05 this issue in the post-hearing briefs. That's what

06 I said. You can check the transcript.

07 PRESIDENT: Okay.

08 MR ABDEL MAWLA: So you have an answer. But not now.

09 MR ZEAD: Not now.

10 MR ABDEL MAWLA: There is an answer.

11 MR ZEAD: I repeat.

12 PRESIDENT: I think I repeat. I think fair enough, that's

13 their strategy in answering, and I think it is up to

14 them in

15 some way -- they are responsible what they are doing,

16 and you are entitled of course to --

17 DR ABDEL WAHAB: Indeed, Mr President, can we then get

18 a confirmation that their case will not include new

19 materials, I couldn't arguments or any change in the

20 submissions they have one without the case, in

21 accordance with the procedural order. I would like

22 a confirmation there.

23 PRESIDENT: That is not -- they don't have to confirm.

24 That's an order by this arbitral tribunal this they have

25 to comply with: they and you as well.

01 So --

02 DR HAFEZ: The position on both sides is quite clear. The

03 point is a small one, probably goes to nothing, let's

04 I couldn't move on. But we have the position. (Just

05 move on).

06 PRESIDENT: Can we move to the witness? Examination? And I hope that the court reporter
will ...

07 DR HAFEZ: We are good?

08 PRESIDENT: Five minutes of break, and then we start. We

09 are not too late.

10 (Off record discussion)

11

12 (5.51 pm)

13 (A short break)

14 (5.59 pm)

15

16 Eng Islam Hussain.

17 (

18 PRESIDENT: We start again, and open the record.

19 PRESIDENT: Good afternoon, Mr Islam Hussein. My name is

20 Stefano Azzali, I'm the Chair of this arbitral tribunal,

21 and first of all, I wish to thank you, not only because

22 you have been waiting almost all day, but also to have

23 accepted to appear as a witness in this arbitral

24 proceedings.

25 You have signed a witness statement that I believe

01 you have in front of you. Do you have in front of you?

02 WITNESS: Yes, I do.

03 PRESIDENT: Thank you. And do you confirm it is your

04 witness statement.

05 WITNESS: (microphone muted).

06 PRESIDENT: Do you want to make any amendment to the witness

07 statement you have in front of you? Witness.

08 I will repeat the question because your microphone

09 was muted.

10 So you have signed the witness statement from front

11 of you and do you confirm it is your witness statement.

12 WITNESS: Yes, I confirm.

13 PRESIDENT: Thank you. Now it is much better. Thank you.

14 Do you have any modification to make to your witness

15 statement?

16 WITNESS: No, I don't have.

17 PRESIDENT: Very good.

18 One -- I have to advise you, that you are testifying

19 as a witness, and you will do it not under oath, because

20 that's not the way arbitration works, but I wish to

21 remind you that you should declare and you should state

22 to the best of your of course possibility, to declare

23 that you will tell the truth, nothing but the truth.

24 Because you might have consequences in case, depending

25 on the applicable law of your, any false testimony that

01 you might render. Are you aware of it.

02 WITNESS: Yes, I'm fully aware of it.

03 PRESIDENT: Very good. Now you know how it works, are

04 respondent will have few minutes, I believe, then you

05 will tell me, according to our schedule was

06 approximately five minutes for a direct examination,

07 some questions from respondent, then the floor will move

08 to claimant for half an hour, that was our schedule, and

09 then back to respondent for the re-direct, five minutes,

10 questioning.

11 I ask you not to interrupt the questions, and try to

12 answer straight to the question that will be posed, and

13 if you do not understand the question don't worry, just

14 ask to repeat and it will be done.

15 I think I have nothing else and I leave the floor to

16 respondent.

17

18 Examination-in-chief by Dr Abdel Wahab

19

20 DR ABDEL WAHAB: ... asking the questions that -- we have no

21 further questions. She was planning to do exactly not

22 with the appropriate gravitas and sophistication, but it

23 would have been an attempt. But we are silenced.

24 PRESIDENT: So we move to.

25 DR HAFEZ: Can we put the witness statement onto the record,

01 can we do that, so that ...

02 SPEAKER: Engineer Islam Hussein's witness statement is on

03 the record as in the bundle reference RW-1.

04 DR HAFEZ: RW-1. Can it be brought up. Does the witness

05 have the screen.

06 A. Yes, it is my screen.

07 DR HAFEZ: You are going to be shown now your witness

08 statement. You need to identify it, you will be shown

09 the first page and the last page, with your signature.

10 That's the last page.

11 SPEAKER: To you confirm this is your signature?

12 A. Yes, this is my signature, yes.

13 PRESIDENT: Thank you. Now it is working. Claimant, you

14 have the floor.

15

16 Cross-examination by Mr Zead

17 MR ZEAD: I have a few questions, it is going to be real

18 quick.

19 My first question is you joined on March --

20 5 March 2019, is that correct (Mr Nassar)?

21 A. Yes, this is correct.

22 MR NASSAR: You were not personally involved in the project

23 in 2018.

24 A. No. I wasn't involved.

25 Q. And you did not witness the events which occurred before March 2019?

01 A. No, but I'm familiar with them. (audio distortion).
02 head (the witness is too close to the microphone). (audio
03 . (audio distortion). (audio distortion).
04 Subcontracts and contractors, and also when I got
05 like in the next position as a construction manager, it
06 has been all that has been handed over to me from the
07 period construction.

08 Q. Okay. And in paragraph 2 in your statement you
09 expressly said that for events pre-dating your
10 involvement you relied on the contemporaneous project
11 records, and information provided to you by engineer
12 Mohammed (^word), is that correct?

13 A. , that.

14 Q. Therefore, your statement described events
15 before March 2019, those matters are not based on your
16 own observation?

17 A. No, it is based on what I got from Mohammed Emara, and
18 the data I got in the mails and the letters in the --
19 with the document control.

20 Q. Okay. You were also employed by Siemens through the
21 period covered by your evidence?

22 A. Yes, I'm still employed with Siemens.

23 Q. Okay, and the evidence you have given in this statement
24 is evidence on behalf of Siemens in this proceedings?

25 A. All the evidence, the written evidence, it is from the

01 project from Siemens.

02 Q. Okay, so you said that you joined in March 2019, you
03 were informed that the planned strategy was the three
04 civil contractor to progress the allocated stations in
05 parallel, that's correct?

06 A. Yes that's correct.

07 Q. You were not present when the strategy was originally
08 formulated?

09 A. Sorry, can you repeat the question?

10 Q. You were not present that -- when the strategy was
11 originally formulated?

12 A. No, but this is the scope that I got as soon as I got
13 employed, that I have the station distributed to me, and
14 the contractor that I will be assigned to, and the
15 stations will work in parallel.

16 Q. So you are you were not present also when the decision
17 concerning the original sequence of the work were made
18 in 2018, is that correct?

19 A. I didn't, like, get the period of March 2019, if there
20 was any plan of --

21 Q. Okay. So in paragraph 14 you said that Sahara's
22 understanding of the execution sequence is not how we
23 understood it. That is your understanding
24 from March 2019 onwards rather than your personal
25 knowledge of what was agreed or instructed in 2018?

01 A. Sorry, can you repeat the paragraph? Because I was
02 lost.

03 In paragraph 14 you said that Sahara's understanding of
04 the execution sequence is not how we understood it, is
05 that your understanding from March 2019 onwards, rather
06 than your personal knowledge of what was agreed, or
07 instructed in 2018?

08 A. In my time when I got employed at March, all the parties
09 agreed that all the sites have been working in parallel
10 and this is what have been done as soon as I got
11 employed, and this is what I have been told I've been
12 assigned to when I joined Siemens.

13 Q. Okay and you said that the time you joined in March 19,
14 all 14 sites had been handed turnover Sahara, that's
15 correct?

16 A. Yes, all the sites were already ongoing. Some sites are
17 already finished structural work, and yeah, and that --

18 Q. You did not personally witness the handover of all 14
19 sites before 2019?

20 A. No, I didn't witness any site handover.

21 Q. So your statement therefore relies on project records of
22 that proposition?

23 A. Sorry, can you repeat again?

24 Q. Your statement therefore relies on project records that,
25 for that proposition?

01 A. Yeah, my statement when, what I witnessed as soon as
02 I got into the project, that, yeah, all the 14 sites was
03 already handed over and this is my statement. It was
04 relying on this.

05 Q. Okay. And you have not identified in your statement
06 a single document recording all 14 sites were
07 continuously available for every category of work from
08 the date of their prospective handover -- respective
09 handover?

10 A. Sorry, can you repeat again the question?

11 Q. You have not identified your statement -- in your
12 statement a single document recording that all 14 sites
13 were continuously available for every category of work
14 from the date of their respective handover?

15 A. In my statement I stated that by the time I started all
16 the sites was already working, some sites are more
17 advanced than another, but all was already ongoing.
18 There was not ... --

19 Q. Okay. Mr Zead will continue the questioning.

20

21 Cross-examination by Mr Zead.

22 MR ZEAD: You say that each building was a separate work
23 front and --

24 DR HAFEZ: I invite you to refer to the paragraph number so
25 that we can follow with you, and so that the witness can

01 orient himself.

02 DR ABDEL WAHAB: (microphone muted).

03 MR ZEAD: Okay, it is about the parallel working for the 14

04 sites. One minute.

05 DR HAFEZ: Unless you use paragraphs any concession will not

06 be much use to you afterwards.

07 MR ZEAD: One minute, sir.

08 MR ABDEL MAWLA: If you are not prepared to ask by paragraph --

09 MR ZEAD: I'm opening the statement.

10 PRESIDENT: He has the witness statement.

11 (pause).

12 DR HAFEZ: Did you have in mind paragraph 21, perhaps? The

13 one about separate work fronts?

14 MR ZEAD: I'm opening the statement. One minute, sir.

15 21, yes.

16 In paragraph 21 you say that each building was

17 a separate work front and could be progressed

18 independently, right?

19 A. Yes.

20 Q. But you accept that works within each building

21 considered a different activities which you subject to

22 different prerequisite approvals, interfaces and access

23 requirements, is that correct?

24 A. Sorry, can you repeat?

25 Q. You accept that the works within each building consisted

01 of different activities, which were subject to different
02 prerequisites, which is approvals, interfaces and access
03 requirements for each building?

04 A. I have no idea, like you are insisting, but as I said in
05 my statement, the stations are not depending on each
06 other, not depending on --

07 Q. No, no, no, my question is each building has its own
08 approvals, its own interfaces and access requirements,
09 that's a very simple question?

10 A. Yes, yes.

11 Q. Okay.

12 Have you prepared a critical path analysis
13 demonstrating that every activity Sahara says was
14 affected by Siemens --

15 PRESIDENT: That's for the technical expert. This is a fact
16 witness.

17 MR ZEAD: I know, sir, but he was a manager of the project
18 at the time.

19 Did you recommend --

20 PRESIDENT: Microphone.

21 A. I didn't prepare any delay analysis because it was not
22 in my responsibility.

23 Q. Did you recommend to the internal department in your
24 company that they prepare a critical path analysis for
25 the project?

01 A. No, there was a related department for this.

02 Q. You say you observed insufficient manpower, equipment,
03 and supervision from March 2019 onwards, correct?

04 A. Yes, this is correct.

05 Q. You have not provided the tribunal with a resource
06 loaded programme showing for each of the 14 buildings
07 the manpower Siemens says Sahara was contractually
08 required to deploy, right?

09 A. Sorry, repeat again?

10 Q. You have not provided in your statement with a resource
11 loaded programme showing for each of the 14 buildings
12 the manpower Siemens says that Sahara was contractually
13 required to deploy,?

14 A. No, but as I said before, the plan that I got employed
15 for that the sites will be working in parallel, but what
16 I witnessed since day 1, that most of the sites are
17 idle, one or two sites is working, even if it was
18 different activities, it still just the work focussed in
19 one site and not the other ones.

20 DR HAFEZ: This is not his question. You need to answer his
21 question.

22 Do you have a transcript in front of you?

23 A. Yes, I have that.

24 DR HAFEZ: You have that. Can I invite you to make your
25 questions shorter, and may I invite you to read the

01 transcript before you respond.

02 MR ZEAD: So we are going to stop the timer?

03 HAFEZ: No, no, carry on.

04 PRESIDENT: Pose shorter questions. That's an advice.

05 (Off record discussion)

06 DR HAFEZ: He does not have a transcript.

07 A. No.

08 DR HAFEZ: Can he be given a transcript. Is that something

09 that can be done very quickly on the fly? He needs to

10 be -- so just to explain. This is a record of

11 everything that is being said in this room. Your

12 question is going to be there, the counsel's question is

13 going to be there, and so will your responses.

14 So instead of asking counsel to repeat, just read

15 the question.

16 A. Okay.

17 DR HAFEZ: Thank you.

18 Can you see from where you are?

19 A. Yes, I can see it.

20 DR HAFEZ: Can we blow it up, I see it is not the entirety

21 of the screen. Can we make life easier?

22 A. It is okay for me. I can read from it.

23 DR HAFEZ: Let's proceed then.

24 MR ZEAD: Okay. You sent a lot of emails and letters to

25 Sahara stating that each building lacks manpower. Where

01 did you get the number of manpower from?

02 A. I didn't -- I sent because the site was idle, so it was

03 zero manpower, even with the letters, and with the

04 emails, the subject of the mail was zero manpower.

05 MR ZEAD: So they finished all the buildings with no one on

06 site?

07 A. Unfortunately, they finished as I said not in parallel,

08 they focused on one site each. But in the time that

09 I sent the letter like this, or a mail like this, as

10 I said, I exhibited since day 1 that all the sites will

11 have activities ongoing and workers.

12 Q. So what you are saying you sent letters and emails based

13 on your expectation?

14 A. It is not my expectation --

15 Q. You just said you expected?

16 A. No, from the job that I got from the job description --

17 Q. That's my main question?

18 PRESIDENT: Don't overamb.

19 MR ZEAD: Yes.

20 PRESIDENT: Go ahead, finish.

21 A. As I said from day 1, the job descriptions and the plan

22 was the site that you have the lead on, it will work in

23 parallel, so I exhibited that every site I visited in

24 all days that I will see activity ongoing in the site.

25 But as I said, I see the activity ongoing in one site,

01 and the other sites were idle, with no manpowers, just

02 the security and the normal people in the site.

03 SPEAKER: (microphone muted).

04 A. The security after the site, the site engineer, if the

05 site engineer is there, there are people of daily --

06 that work for Sahara, they are daily there. Not

07 subcontractors or skilled workers that are doing an

08 activity.

09 DR HAFEZ: Okay.

10 A. It was also clear in the daily manpower that they sent

11 it to us.

12 PRESIDENT: Can I ask you something. It is clear that if no

13 one was there, there is a lack of manpower. Because

14 zero is a lack of manpower.

15 How would you say that five employees from Sahara

16 were sufficient, while eight -- while three were not, or

17 15 were not? I mean, how would you evaluate the lack of

18 manpower? I mean, just to understand. Because if there

19 were three, well, there are plenty of people, they had

20 30, no one.

21 A. I can explain this.

22 It depends on the opened activity per site, like

23 some sites there is a painting activity, can be

24 performed. Some site, the (^word) and bathrooms it be

25 performed. There is already idle manpower, which

01 activity depending on the area, that covers it, for
02 example, the painting activity. The idle number,
03 depending on the area, how many floors.
04 For example the idle for our stations let's say 6,
05 four experienced and two inexperienced supports him.
06 It is of course, I managed something like this if he
07 provided to me, it is lack of manpower. Because in the
08 end the area is bigger than two, and I want of course
09 portion (audio distortion). Make no sense to
10 provide 20 for the same area head (the witness is too
11 close to the microphone).

12 DR ABDEL WAHAB: There is a problem with the transcript
13 because the word used is idle ... he did not mean idle,
14 he meant because of your question, Mr President, I think -- you can ask him. Because I think he
15 was
16 talking about the ideal. Not idle. They are different
17 words completely.

18 PRESIDENT: Was not ideal number. It was when you believed
19 that manpower are not sufficient. If there is zero, of
20 course, they are insufficient. But how would you --
21 your answer, at least I understood your answer, but my
22 question was not the ideal number for being sufficiently
23 there.

24 A. Yes, yes, I understand your question, and I hope my
25 answer was clear.

26 PRESIDENT: I did understand.

01 So it is fine for me.

02 HAFEZ: Ideal as opposed to idle. Fine, we understand.

03 MR ZEAD: You did mention activities right now. So at the

04 moment if there were any jobs that should be done from

05 Siemens side, like approvals, for example, so lack of

06 manpower here does not exist because Sahara has nothing

07 in the project or the building to do, in a specific

08 building, there is zero lacking manpower? What --

09 A. Well, as I said, we weekly used to send the opened

10 activity. For example, there is opened activity like

11 painting, raised floor, not depending on each other.

12 For the claying of approvals or something, from my

13 side, that I was mainly with Sahara, our project depends

14 that the stations (my sites) are two types, Sahara had

15 two types of them, okay? So we already have the

16 experience if we finished on site. The delaying of

17 approval of drawing, sometimes I give instruction on

18 site, like proceed to the other site, and sometimes we

19 have to wait if there is something like critical to do

20 or can't be undone.

21 This is what I have to do. But if there is, for

22 example, if there is activities that can be done, there

23 is 10 of activities that still opened, so I can't be

24 judging if activity have a specific problem or

25 a specific --

01 Q. Can you specify for the tribunal what do you mean by
02 open activities? And the delay from your side that you
03 just stated?

04 A. Opened tit means for example the status of the site now,
05 we can perform number of activities, as I said, like --

06 Q. Sorry for interrupting, please specific. We as Siemens?

07 A. No, the Siemens and the Sahara and the project
08 management of Sahara.

09 Q. Okay.

10 A. For example, like plumbing work, with electrical work,
11 painting, full ceiling, roof installation, it can be all
12 this opened tit and not depending on each other.

13 So at least I would understand if they proceed with
14 activity, which is in the end not all the activity can't
15 be blocking each other or depending on each other.

16 Q. So you admit there was a delay from your side that
17 Sahara has nothing to do with it and Sahara cannot
18 perform the work unless you give them the designated
19 activity?

20 A. In my answer I didn't admit it, but as I said, in all
21 the buildings are typical, so in the end, if there is
22 a delay in approvals or any kind of shop drawing, we
23 already performed in another site, so --

24 Q. So you just said that all buildings were typical. Do
25 you mean typical drawings for all buildings?

01 A. Typical drawings and typical design.
02 So why did you revised the design after the contractor
03 designed on the typical?
04 A. Sorry, which part to this?
05 Q. You just said that all building designs were typical?
06 A. Exactly.
07 Q. But -- and then you revised that typical drawings at
08 some stage of the project? As a project manager?
09 A. Revised what you mean by revised?
10 Q. You give a different design for any building during the
11 project?
12 A. No, all the buildings from internally the original scope
13 are the same.
14 Q. Not talking about internally, because we don't know
15 internal --
16 A. I mean from the building from inside. The only
17 difference between building and another was the land
18 skip, depending on the site and the situation of the
19 location of the building.
20 DR ABDEL WAHAB: To where in his testimony or the evidence
21 the design or whatever is mentioned?
22 MR ZEAD: He just stated that on the before question.
23 DR ABDEL WAHAB: I think you need to direct him to his
24 witness statement, which part? Because I think you are
25 asking him on things that are don't know whether he is

01 aware of it.

02 ZEAD: Okay.

03 At paragraph starting from paragraph 68 from your

04 statement, about the change orders, you rely upon change

05 requests from (^word) which records no time impact for a number of changes. Is that correct?

06 That change

07 orders did not change or impact the time or schedule of

08 the project?

09 A. What I noticed and I witnessed that some change orders

10 or change requests was with document like sometimes it

11 was no time impact, and sometimes the time impact will

12 be decided later on another stage.

13 Q. You also accept in your statement that other change

14 requests recorded seven days additional time.

15 A. Sorry? Which was?

16 Q. In paragraph 70, if you can read it, I quote:

17 "Siemens and Sahara used a standard change request

18 form. The form identified the scope and price of the

19 proposed change and required any additional time for

20 completion to be stated."

21 This is your statement, sir.

22 My question is: you accept that some change requests

23 impact the time schedule of the project?

24 A. No, I wasn't included in any of the acceptance of the

25 change requests. While the time impact as I told you --

Q. This is your statement, sir. I'm not reading -- I'm

01 reading something differently?

02 A. You said about the change request that I accepted

03 a seven days time impact. I never said it.

04 Q. Paragraph 76.

05 DR HAFEZ: Are you sure the you have the right

06 paragraph number.

07 MR ZEAD: 76, can you highlight the paragraph. Second line.

08 "each record seven days". 76, sorry.

09 :

10 "Other change requests identify only limited

11 additional time do the

12 (doc).

13 And he stated references:

14 " ... for example, each record seven days. Certain

15 other forms state that the time impact would be assessed

16 through an overall

17 (doc).

18 So there is a delay analysis?

19 A. Yes, this is what I say, that the overall, what it is

20 written in the change request, if they mentioned a time

21 impact, it is a time to be -- the activity to be done.

22 But in the end, the comments, general comments that they

23 accepted, Sahara and procurement from Siemens, that they

24 said it would be subbed later to delay analysis because

25 in the end the procurement department are not entitled

01 to say this change request located in the critical path

02 so it will affect the end date of the project or no it

03 was in the critical path --

04 Q. So there was a critical path for the project. Of

05 course. It is a contract. (Answer).

06 Q. Did you read that delay analysis? Sorry, the critical

07 path? You saw it?

08 A. No. I already saw the timeline, the time schedule in

09 the contract, as I told you, anything related to delay

10 analysis or this, it is not in my department. So I'm

11 not fully aware of that, I just take the (^word) and

12 also for me to be back to the time schedule is just to

13 determine the activity, the contractual duration of each

14 activity.

15 In paragraph 78, you talk about the inspection

16 request. You rely on the fact that inspection request

17 continued to be submitted after Sahara's readiness

18 letter.

19 A. Yes.

20 Q. But an inspection request relates to a particular item

21 of work rather than necessarily establishing the

22 contractual status of the entire building, correct?

23 A. Yes.

24 Q. Are but you have not identified a contractual provision

25 in your statement stating that the submission of

01 a subsequent inspection request automatically means that
02 the area readiness declaration had no contractual
03 significance?

04 A. What I mean by change request, had a change request.

05 Q. Inspection request. Inspection request, that the
06 activity of the inspection request is still not accepted
07 by the client or by his consultant or have comment
08 (answer) even after we hand over the sites, they still,
09 we have a time as per contract to cover this comment.
10 Can be like painting, they had comments in painting, so
11 we repainted even after handing over, some comments on
12 the flooring, are this comments that we can cover it
13 later. We cover it and close the inspection request
14 after the handover.

15 Q. So you agree that the existence of subsequent
16 information does not by itself establish the cause of
17 delay between the readiness date and the eventual
18 handover date?

19 A. Of course there is some activities that can make the
20 building is not ready for operate. In the end, after
21 each hand over with the client, we say, even with this
22 comments, the building can be operated or are -- these
23 comments don't hold the operation. But of course some
24 requests, some activities, holds the operation. For
25 example the test and commissioning, there may be

01 activities can be related to maybe electrical stuff,
02 HVAC, and so on.
03 So it depends on the criticality of the activity of
04 the inspection request.
05 PRESIDENT: Counsel, you have five minutes more.
06 MR ZEAD: Okay, sir.
07 Q. You said in your statement that THE left in April 2020?
08 DR HAFEZ: Where.
09 MR ZEAD: I'll get it right now. Otherwise we will go back
10 to -- yes.
11 (unclear)
12 A. I think he was referring to earlier statement?
13 MR ZEAD: Yes, you stated that THE day-to-day supervisory
14 role on the project ended in or around April 2020.
15 Who performed THE job?
16 DR HAFEZ: Sorry, just for the transcript, we need to say
17 this is paragraph 107.
18 MR ZEAD: Yes, I'm referring to paragraph 107 from the
19 witness statement. I'm going to repeat the question.
20 You stated in paragraph 107, following your
21 statement, that THE day-to-day supervisory role on the
22 project ended in or around April 2020. Is that correct?
23 A. Yes, correct.
24 Q. Who did their role when they left the project?
25 A. It was Siemens team leaders.

01 So Siemens did approved the inspection request rather
02 than the THE?

03 A. Yeah, then it is about the site supervision, that day by
04 day, like I see when activity start, and if there is
05 a problem or anything in the site, we have to be there.
06 Not only with the inspection request.

07 DR EL-SIRAFY: According to article 1, paragraph 1, yes,
08 here, from your description as project manager, on
09 5 March 2019, and also responsible for PPL civil works
10 until 2022, promoted to construction manager with
11 responsibilities for all subcontractors until June 2023,
12 right?. Also civil work team leader.

13 A. I started as civil work team leader.

14 Q. That's all right, right?

15 A. Yes.

16 Q. It okay. So the first question, when did you first
17 consider that there was a delay in the project from
18 Sahara side?

19 A. As I told you, as soon as I joined, I got a briefing
20 about the project, where we stand, a brief about each
21 subcontractor and each contractor. For me all my sites
22 were Sahara sites. I didn't have any contract with any
23 subcontractors in any station, so my former manager,
24 Emara told me a brief about Sahara, their stand, the
25 problems that we are surveying, and of course like each

01 site where it stands, any other problem or any other

02 agreement has been held.

03 Q. Please, I need exact year, or date. When. When you

04 noticed that there is a delay from Sahara's side?

05 A. I had been told as soon as I joined that Sahara sites

06 are delayed, regarding financial problems, and try --

07 Q. I need just date?

08 A. As I told you, this is as soon as I joined. Briefing

09 that I got. Told you he will work with Sahara as

10 subcontractor, they have the site, stated the sites that

11 Sahara have and they are delayed and they are surfing

12 some financial problem, try to support as MP as you can

13 in the site. This is how I started the work. And

14 I started to notice also as I told you earlier, when we

15 comparing the strategies that I have been told from

16 Siemens, that all the other sites cannot work in

17 parallel, and how is the site performed by Sahara in the

18 site. Also, this is how I noticed by my eyes this time

19 that yeah, there is delays.

20 MR ABDEL MAWLA: Sorry foreinterruption. What you have been

21 informed, so it was informed to you as has been said to

22 Sahara, or I couldn't informed.

23 A. Which.

24 MR ABDEL MAWLA: My question is you have been informed by

25 something, which was sent to Sahara or just informed?

01 No, it is a belief that in the kick-off meeting in my
02 joining with my manager, say, like giving me a brief
03 about the project and a brief about -- but of course he
04 didn't support his words at this time with, yeah, we
05 sent this letter. It was just a general talking,
06 a general like briefing, to kick off and start my job.
07 MR ABDEL MAWLA: So you have been informed is general
08 talking not something has been delivered to Sahara?
09 A. No, at this time of course they didn't show me the
10 previous document or anything. I didn't see this in the
11 beginning.
12 MR ABDEL MAWLA: You aware if this document has been sent to
13 Sahara or just a general talking inside --
14 A. No, of course --
15 MR ABDEL MAWLA: Let me finish.
16 A. Of course.
17 MR ABDEL MAWLA: It is a general talking, you have been
18 informed it was, then according to this general talking,
19 which is not officially informed to Sahara, you have
20 answered?
21 A. No. In the beginning, as I said, it was a kick-off
22 meeting and they talked about it. Of course it is
23 a delaying that they said we have been letters to go and
24 back about the delays and the cause of it, but in the
25 end it, with this presentation there was no document,

01 like here it is your first day of work, see this letter,
02 or see this letter from one year ago, it was like this.
03 Like a presentation, like a kick-off meeting.
04 MR ABDEL MAWLA: At this presentation you didn't even ask
05 them, it was informed to the other company Sahara, or
06 I couldn't this is for you?
07 A. No, he told me already the delaying was already
08 communicated between them.
09 MR ABDEL MAWLA: You have any document for this?
10 A. Document that they told -- no, it is a kick-off meeting,
11 of course it is -- no. It was just like informing,
12 let's say --
13 MR ABDEL MAWLA: I cannot understand. But everything is
14 written -- that this is a general talking information?
15 A. A general talking information, of course not officially.
16 MR ABDEL MAWLA: Without document.
17 A. Seeing any documents, yes.
18 MR ABDEL MAWLA: Thank you.
19 DR EL-SIRAFY: Okay.
20 A. Okay, I'm with you.
21 PRESIDENT: Time is over. But you can ask one last question
22 question.
23 MR ZEAD: One last question, I think.
24 DR ABDEL WAHAB: They have taken 40 minutes, we are in the
25 tribunal's hands. Let them do whatever they wish.

01 ZEAD: Yes, the witness just stated couple of minutes ago
02 that all buildings were typical and the main issue was
03 in the landscape as an open activity, for example.
04 A. I didn't say the main issue. I said this is the
05 difference between site and another. The landscape is
06 different between site and another, depends on the
07 location, depends on the location of the site. It is
08 not was designed yet. But the building itself, the
09 rooms size, everything, the MEP, the electrical --
10 Q. So the landscape is different?
11 A. The landscape just different, depends on the site --
12 Q. Yes, so can Sahara execute the landscape works if
13 Siemens has not completed the inspection chamber are the
14 laying cables outside the buildings and the electrical
15 work, or can the landscape working executed regardless
16 of whether those works have been completed or not?
17 A. The landscape work can be computed. It happened already
18 with Sahara, it happened with the other subcontractor.
19 Without the trenching work to the building has
20 been established, and I already give example in my
21 statement.
22 MR ZEAD: Okay. Thank you. I have nothing more.
23 PRESIDENT: I may have a question, but first, I would like
24 to leave the possibility for a re-direct if you wish.
25 DR ABDEL WAHAB: If you please, sir, there isn't anything,

01 but just a clarification.

02

03 Re-examination by Dr Abdel Wahab

04 DR ABDEL WAHAB: Perhaps start with the last question posed

05 by the tribunal. I had understood, and please correct

06 me if I'm wrong, that you are saying on the first day

07 you arrived, you were briefed in a meeting, internal.

08 A. Internal, yes.

09 Q. Regarding a delay by Sahara. Is my understanding

10 correct?

11 A. Regarding the project, they give me the brief about the

12 project, where we stand, my stations, my subcontractors

13 that I'm responsible of, and the general notes, or the

14 general notice about, or the general history about the

15 subcontractors that I'm going to deal with.

16 Q. After that, did you have access to a written record of

17 documentation, notification, whatever?

18 A. Yes, of course after this I have access according to my

19 title, yes.

20 Q. What did you see from that record after that?

21 A. I already got -- it depends on the situation, which

22 document I check. I checked the generally ... also it

23 was something interesting that it was going --

24 DR ABDEL WAHAB: I think the question was posed regarding

25 delays or communications to Sahara regarding their delay

01 delay.

02 No likely the delay this time was about the starting of
03 the handed over sites, delay of shop drawings, but
04 nothing like it was something that I have to be careful.

05 It was just starting the work and I didn't have to get
06 deeply in problem is most likely I started with what
07 I have on the ground, or work with my subcontractor.

08 Q. You mentioned that you are only working with Sahara,
09 right?

10 A. Yes, I started only with Sahara. Until I get promoted
11 to construction manager that I had to manage the other
12 subcontractors.

13 Q. And later on, when you got more in depth what did you
14 notice regarding Sahara's performance?

15 A. Later on, while I'm working with Sahara independently,
16 or when I got contact with other subcontractors?

17 Q. With Sahara, sir, Sahara is the only party in this
18 arbitration?

19 A. When I worked with Sahara, as I said, like the first
20 conflict was about the managing of the sites, and then
21 the financial situation, it was clearly they keep
22 talking about it, we tried to support as much time as we
23 can, with many means, and that's it. I started to deal
24 with them like how it works, like if they -- I tried so
25 hard with the communication, and the letters about the

01 manpower, about the sites, but in the end I had to deal
02 with it that I (^word) to them we need to work in this
03 site, with need to work on the priorities, that started
04 to come later.

05 Q. Did you see any record by THE -- you know who THE is?

06 A. Yes, of course I know who THE is, it was a consultant
07 hired by Siemens.

08 Q. Did you see any communications to them from Italferr or
09 THE?

10 A. Yeah, I saw the communication, I was aware of the
11 communication, I was in the loop about the communication
12 between THE the subcontractor and THE and 258 fer
13 regarding the programme.

14 Q. What did that say about Sahara's performance?

15 A. It still stating the same about lack of manpower.

16 I had, about the quality and the activities on the site,
17 handling the inspection requests, but in the end as
18 I told you with THE I tried to help with site. I held

19 from Sahara, I held from THE, the situation, maybe ... I didn't in the end I didn't like take the
20 word from THE
21 for (^word) or for good, like I have to investigate
22 myself.

22 Q. You were asked a question by counsel at transcript
23 page 271, lines 4 and 5, about first the question was
24 posed about delay analysis, then you were ask the
25 question was there a critical path for the project.

01 Your answer was of course?

02 A. Of course, every project has a critical path.

03 Q. Can you explain what is the critical path? Is it the
04 same thing as delay analysis?

05 A. The critical path of the project -- is it the same thing
06 as a delay analysis.

07 A. It is not the same thing.

08 Q. Cans must explain then?

09 A. The critical path of any project it is a group of
10 activities that make the longest path of the time line
11 of the project, that any change of this critical path it
12 will directly affect the finishing of the project. And
13 some activities are not on the critical path, which
14 delay or not, doesn't affect the timeline of the
15 project. This is a critical path. The delay analysis,
16 it is analysis to do to investigate and to locate the
17 delay. If this delay located on the critical path, so,
18 yeah, it will affect the timeline of the project, or
19 this delay is not on the critical path, so whatever time
20 it got, it didn't affect the big timeline of the
21 project, or the critical path of the project. This is a delay analysis and this is the critical path.

22 Q. Can you tell the tribunal who presence -- you were asked
23 questions about the baseline schedule. Who presence
24 a baseline schedule?

25 Sorry, again?

01 Q. You were asked questions about the baseline schedule.
02 You are familiar with that term?
03 A. Yes, the baseline, okay.
04 Q. Who presence the baseline schedule?
05 A. It is (^word).
06 Q. Sorry?
07 A. The planners.
08 Q. The project, you have the employer, main contractor,
09 subcontractor, for the project with Sahara, who presence
10 the baseline?
11 A. The baseline, can you give examples?
12 Q. Not examples, the baseline schedule for this project
13 with Sahara for the 14 buildings, who presence it first?
14 A. I guess it is also prepared by the subcontractors, not
15 by Siemens, every time schedule it is given by the
16 subcontractors --
17 Q. I guess?
18 A. No, it is normally in all the project, the timeline
19 and --
20 MR ABDEL MAWLA: "I guess".
21 A. No, for me I guess it is like something like obvious.
22 Subcontractor is the one who provides the time schedule
23 of the contract.
24 DR ABDEL WAHAB: Who is the subcontractor in this project?
25 No, I mean the contractor, Sahara, in his contract, of

01 course. Every contractor is responsible about the
02 timeline of his contract.
03 DR ABDEL WAHAB: Okay, thank you.
04 MR ABDEL MAWLA: So we have now the question which have been
05 asked by Dr Abdel Wahab, that what you have informed?
06 Saw it in a document.
07 A. Later on when I start work.
08 MR ABDEL MAWLA: You present it as a reference to your
09 witness?
10 A. Of course, for the time before March 2019 I used some of
11 it.
12 MR ABDEL MAWLA: You present it in your reference to
13 witnesses but you have generally informed as an internal
14 talking and then you were asked by Prof Mohammed if
15 there is a document, you say as I know, you can answer
16 again, yes, but this document is represented?
17 A. Yes, this document is represented.
18 MR ABDEL MAWLA: Represented here?
19 A. Yes, some documents are represented here.
20 MR ABDEL MAWLA: What document?
21 A. Which document?
22 MR ABDEL MAWLA: Internal document of delay.
23 A. The internal document of delay -- I told you it is not
24 documented, like when someone joined (^word) the
25 kick-off meeting is not recorded (team.

01 MR ABDEL MAWLA: The question is Dr Mohammed asked you, this
02 discussion, this general talking, did you see
03 a document, you said yes?
04 A. Yes -- in --
05 MR ABDEL MAWLA: (audio distortion).
06 A. Okay, sorry.
07 PRESIDENT: You want to finish?
08 A. No, it is because I have conflict between if the
09 kick-off meeting is documented in the kick-off -- in
10 kick-off meeting that when I joined they showed me
11 documents, and my answer was no, in both questions. But
12 later on, when I got my title, of course I had access to
13 all data. I had access to all data even before
14 I joined. If there is something, and have I gone
15 something I need to back to people who attended this
16 case, or this problem, I had my already my manager,
17 Mohammed Emara that I can ask him.
18 MR ABDEL MAWLA: But when you prepared your witness you
19 referred to such document?
20 A. The document before I joined?
21 MR ABDEL MAWLA: What you have been informed, sir.
22 DR HAFEZ: The question he is asking you is whether once you
23 joined, and you say you have consulted the records,
24 whether those records are referred to in your
25 statements.

01 MR ABDEL MAWLA: What you have been informed.

02 A. Yes. It is stated in my statement.

03 MR ABDEL MAWLA: Statement as a witness or statement as

04 a document?

05 PRESIDENT: (microphone muted).

06 DR HAFEZ: There is a kick-off meeting -- just listen to me,

07 and if you disagree, say I disagree. If you agree, of

08 course say you agree.

09 There is a kick-off meeting, that's what

10 I understand your evidence to say. There is a kick-off

11 meeting at which you are given a project progress

12 report, correct?

13 A. Not a report, it is a brief by talking.

14 DR HAFEZ: Yes. Check progress, oral brief. And that is

15 all you are given at that meeting, correct?

16 A. Yes, that's correct.

17 DR HAFEZ: You subsequently have access to records of

18 project progress, correct.

19 A. Yes, correct.

20 DR HAFEZ: The question to you is: do you reference those

21 project records in your witness statement.

22 A. Yes, I put some of them in my witness statement.

23 DR HAFEZ: When you say used, do you mean referred to them.

24 A. Yes, I referred to some of them.

25 HAFEZ: Are these the documents we can see in the

01 footnotes, is that what you have in mind?

02 A. Yes. You can show me which document also you need to --

03 DR HAFEZ: I have no idea which document we are concerned

04 with.

05 A. Yeah -- exactly. What I used in my statement, the time

06 before I joined, I back to the document that already

07 there, and if there is a document something like not

08 clear, I back to ask Emara again, he still with us and

09 he ...

10 SPEAKER OFF CAMERA: (microphone muted).

11 A. Some of them was before I joined.

12 DR HAFEZ: Let me ask you a question. This is my question.

13 When you had a chance to consult the project records

14 once you have come on board, did those records

15 correspond to, were consistent with the oral brief you

16 were given when you were first onboarded?

17 A. Yes.

18 DR HAFEZ: Okay. That's all.

19 PRESIDENT: I have a question.

20 Were you also in charge with let's say the employer,

21 the final client, or whatever, Egyptian national

22 railways, were you this charge with talking to them, and

23 in regular report to them?

24 A. Yes, exactly. I had a direct contact with them, I was

25 like the one who was responsible to deliver the work to

01 them.

02 PRESIDENT: Okay. Did they -- because that's something that

03 I'm quite curious to know. Were they -- did they

04 express any worries about the duration of the project?

05 And how was the -- there was any pressure or what was

06 your experience? Because you are the only one probably

07 today and tomorrow to have experienced the project.

08 A. I contacted also the one who was responsible for my

09 scope on the other scopes, and for him it was like the

10 normal client talking. Like try to push more, try to

11 push your contractors, like that.

12 PRESIDENT: They were not worried then.

13 A. No, for the sill scope, no, there was no, like, only the

14 station specifically like you need to finish this

15 station, it happens when they (priorities you need to

16 get this station ready or something, and we start like

17 one month earlier before the date of the delivery, go to

18 the site, we make like meeting in the site, with ENR and

19 also we get the contractors, that's on site. We say our

20 comment about it is missing, what it needs to be done,

21 what activities is still not finished, and we put a date

22 to finish the remaining activity and there is a remarks

23 that we have inside.

24 At this time of course they be hard on me on this

25 time.

01 PRESIDENT: After November 2022, you were no longer in
02 charge of the project were you?
03 A. November 2022?
04 PRESIDENT: 2022. That's, I guess, the time you --
05 A. No, until now I am still in charge of the project.
06 I started as civil team leader, we were a team of six
07 team leaders and our manager Emara and then
08 on November 2022 I be the construction manager, the team
09 is down and stuff and I got hold of the construction
10 manager, construction manager, I wasn't only have the
11 scope of Sahara, I had the scope of all the contractors.
12 PRESIDENT: A wider scope. Okay.
13 A. Project manager, let's say exactly the same scope, but I had to be empowered by the project
14 manager to finish
15 and close the project.
16 PRESIDENT: Okay. Okay.
17 One additional question, we were talking about
18 manpower I would like to know, how many management team
19 of Sahara were in charge with the 14 buildings? To the
20 best of your knowledge, of course?
21 A. I was, of course, for my knowledge, I know almost all
22 the team, I can tell you by names.
23 The management, the top management assist one by
24 a project manager, (^word), and of course top management
25 of the company, like -- and then in the site, there was
some like, let's say site engineer, with them, so when I joined this was like four site engineer,
and two

01 safety officers. This is how they started.

02 And then started to reduce by the time, like -- but

03 not back to when it started exactly. That was the

04 hugest number. Yes.

05 Q. And they were in charge with all the 14 buildings

06 construction, were they?

07 A. Yes.

08 PRESIDENT: Okay. I have nothing else. Do you have

09 anything?

10 DR HAFEZ: I just want to make sure that I understand you

11 correctly. The president asked you whether you were the

12 interface between the -- not just with the

13 subcontractors, but also with the employers.

14 A. Yes.

15 DR HAFEZ: And you answered yes. And the president then

16 asked you whether the employer was worried, or concerned

17 about the delays on the project. I understood to you

18 say that he employer was not worried.

19 A. I didn't say not worried. I said normally he keep

20 sending that like any client. You have to push more

21 manpower, there is no activity, the quality, but pushing

22 pushing, and like really like being hard, it is like

23 when like he informed me you are late in this station,

24 you need to deliver it by the end of this month, by two

25 months, three months, he give me a specific date, and we

01 started to like focus in the stations with subcontractor
02 first he tell me what is missing, of course at that time
03 aware of, what activities are delayed, what is the last
04 inspection request of the station, last time the station
05 worked and had inspection request, and he keep focusing
06 on this. But generally, yes, he kepted overall the
07 project, he keep giving me like letters from time to
08 time, monthly, are two months, of course, also if there
09 is a quality defects or something in the site, he keep
10 giving me the warnings. So it was, this is how the
11 project was going. But focusing and really concerns and
12 pushing me hard, and escalating, as I said, by the time
13 that it being clear this station had to be ready, yes or
14 yes, at this specific time (at these areas).

15 DR HAFEZ: I asks you this because we have been told that
16 the time for completion was originally 10 months, and
17 ultimately the project lasted for seven years.

18 And therefore, I'm trying to see how your evidence
19 sits with that.

20 A. As I have been saying, I was responsible for the civil
21 scope. About the delaying or the all the project with
22 Siemens with ENR project, delays and stuff, I'm not
23 aware of. I was just talking about the civil scope.

24 Which by the way is like the minor scope of work or the
25 minor project of the whole project, that depends mainly

01 on the track innovations and the signalling, and the
02 stuff, the work done on the railway.

03 So when I speak, and when I speak I speak just about
04 the scope of the civil works, about the building scope
05 exactly.

06 DR HAFEZ: Understood. Thank you.

07 PRESIDENT: Okay. Seems that the day 1 is over, I guess.

08 Thank you very much for having waited for so long,
09 and thanks for having accepted to appear.

10

11 (The witness was released)

12 Just a couple of final information. One, I would
13 ask the parties to let us any if there is any change in
14 the programme of tomorrow. Because --

15 DR ABDEL WAHAB: (microphone muted).

16 PRESIDENT: It applies to both parties, because you might
17 also have some --

18 DR ABDEL WAHAB: They are coming. At least unless they are
19 kidnapped or killed, other than that.

20 PRESIDENT: Hopefully not.

21 DR ABDEL WAHAB: But I need to know. Of course I need to
22 hope this is a question we will have an answer to other
23 than coming back in the post-hearing briefs.

24 ZEAD: To the best of my knowledge, yes.

25 DR ABDEL WAHAB: Best of your knowledge. I'm not sure

01 that's good enough, sir.

02 PRESIDENT: Because today honestly if you were informed

03 yesterday at 1 pm, I would have expected --

04 DR ABDEL WAHAB: We didn't speak, just so you know.

05 PRESIDENT: To inform everybody. I hope tomorrow the three

06 experts will all come, but if something happens, and

07 I hope not, please, please let us know, let everybody

08 know as soon as possible, because otherwise it will be a waste of time and work and energy for

09 all of us.

10 The second remark, I would invite both party

11 tomorrow, because it is going to be three long, long

12 examinations, --

13 DR ABDEL WAHAB: The quantum expert is assisted by an

14 assistant who is appearing tomorrow. He will not take

15 the stand but he will be in the hearing room, so we are

16 notifying you and that is normal practice of the experts

17 testimony.

18 PRESIDENT: That is no strange practice.

19 My request is please do your best, I didn't want to

20 interrupt, but to avoid leading questions. Don't

21 suggest -- it is a general remark. Don't suggest

22 answers, and no personal evaluation, if possible, so

23 please exercise as much as possible your advocacy and

24 cross-examination skills, because it is going to be

25 a long day, and we need to be efficient.

26 DR ABDEL WAHAB: I understand that this is in the re-direct,

01 circumstances because by definition cross-examination is
02 leading.
03 DR HAFEZ: Yes, what we mean to say is if it is your
04 witness, don't lead.
05 DR ABDEL WAHAB: Of course. Of course.
06 PRESIDENT: Is there anything else from my colleagues? Very
07 good.
08 Thank you very much. See you tomorrow then.
09 9.30 sharp, Swiss time.
10 (7.11 pm)
11 (The hearing adjourned to 9.30 am on Monday,
12 28 September 2026)